

SUPPLEMENT TO OFFICIAL STATEMENT DATED NOVEMBER 16, 2016

\$2,195,000
WEST HILLS COMMUNITY COLLEGE DISTRICT
2016 GENERAL OBLIGATION REFUNDING BONDS,
SERIES A
SCHOOL FACILITIES IMPROVEMENT DISTRICT NO. 2
(COALINGA AREA)

\$14,455,000
WEST HILLS COMMUNITY COLLEGE DISTRICT
2016 GENERAL OBLIGATION REFUNDING BONDS,
SERIES B
SCHOOL FACILITIES IMPROVEMENT DISTRICT NO. 3
(LEMOORE AREA)

This **Supplement to Official Statement** (this “**Supplement**”) is dated November 29, 2016 and amends and supplements that certain Official Statement dated November 16, 2016 (the “**Official Statement**”) relating to the above-captioned bonds of the West Hills Community College District.

Purpose of Supplement. This Supplement corrects the redemption date of the District’s 2008 SFID No. 3 Series B Bonds, as shown in the fourth paragraph of “THE BONDS – Financing Plan – *SFID No. 3*” and the table below:

The 2008 SFID No. 3 Series B Bonds were issued as current interest bonds (the “**2008 SFID No. 3 Series B Current Interest Bonds**”) and convertible capital appreciation bonds (the “**2008 SFID No. 3 Series B Convertible Capital Appreciation Bonds**”). The 2008 SFID No. 3 Series B Current Interest Bonds maturing on or after August 1, 2022 are subject to optional redemption on August 1, 2021 at a redemption price equal to the principal amount thereof together with accrued interest thereon to the date fixed for redemption, with no premium. The 2008 SFID No. 3 Series B Convertible Capital Appreciation Bonds are subject to optional redemption on August 1, 2031 at a redemption price equal to the principal amount thereof together with the accrued interest thereon to the date fixed for redemption, with no premium, and are not being refunded with proceeds of the Series B Bonds.

WEST HILLS COMMUNITY COLLEGE SFID NO. 3 Identification of Refunded 2008 Series B Bonds

Maturities to be Refunded (August 1)	CUSIP†	Principal Amount Redeemed	Redemption Date	Redemption Price (% of Par Amount Redeemed)
2041 T	95330T BF3	\$7,950,000	<u>08/01/2021</u>	100.0%

T: Term Bond

† CUSIP Copyright American Bankers Association. CUSIP data herein is provided by Standard & Poor’s CUSIP Service Bureau, a division of McGraw Hill Companies, Inc. Neither the District nor the Underwriter is responsible for the accuracy of such data.

This Supplement constitutes an integral part of the Official Statement, and recipients are requested to attach this Supplement to the Official Statement.

END OF SUPPLEMENT

NEW ISSUE -- FULL BOOK-ENTRY

INSURED RATING: S&P: "AA"
UNDERLYING RATING: S&P: "A+"
 (See "RATINGS" herein)

In the opinion of Jones Hall, A Professional Law Corporation, San Francisco, California, Bond Counsel, subject, however to certain qualifications described herein, under existing law, the interest on the Bonds is excluded from gross income for federal income tax purposes and such interest is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations, although for the purposes of computing the alternative minimum tax imposed on certain corporations, such interest is taken into account in determining certain income and earnings. In the further opinion of Bond Counsel, such interest is exempt from California personal income taxes. See "TAX MATTERS" herein.

\$2,195,000

**WEST HILLS COMMUNITY COLLEGE DISTRICT
 2016 GENERAL OBLIGATION REFUNDING BONDS,
 SERIES A
 SCHOOL FACILITIES IMPROVEMENT DISTRICT NO. 2
 (COALINGA AREA)**

\$14,455,000

**WEST HILLS COMMUNITY COLLEGE DISTRICT
 2016 GENERAL OBLIGATION REFUNDING BONDS,
 SERIES B
 SCHOOL FACILITIES IMPROVEMENT DISTRICT NO. 3
 (LEMOORE AREA)**

Dated: Date of Delivery**Due: August 1, as shown on inside cover**

Authority. The West Hills Community College District 2016 General Obligation Refunding Bonds, Series A (School Facilities Improvement District No. 2 (Coalinga Area)) (the "Series A Bonds") are being issued by the West Hills Community College District (the "District") on behalf of its School Facilities Improvement District No. 2 (Coalinga Area) ("SFID No. 2") for the purpose of refunding on an advance basis certain outstanding general obligation bonds of SFID No. 2. The West Hills Community College District 2016 General Obligation Refunding Bonds, Series B (School Facilities Improvement District No. 3 (Lemoore Area)) (the "Series B Bonds" and together with the Series A Bonds, the "Bonds") are being issued by the District on behalf of its School Facilities Improvement District No. 3 (Lemoore Area) ("SFID No. 3" and together with the SFID No. 2, the "Improvement Districts") for the purpose of refunding on an advance basis certain outstanding general obligation bonds of SFID No. 3. The Bonds are being issued pursuant to certain provisions of the California Government Code and resolutions adopted by the Board of Trustees of the District on October 18, 2016.

Security. The Board of Supervisors of each County in which the Improvement Districts are located has the power and is obligated to annually levy and collect *ad valorem* taxes upon all property subject to taxation in the Improvement Districts without limitation of rate or amount (except certain personal property which is taxable at limited rates) for the payment of principal of and interest on the Bonds. There are currently other outstanding series of general obligation bonds in the District that are similarly secured by tax levies. All general obligation bonds of the District, including the Bonds, are issued on a parity basis with one another. See "SECURITY FOR THE BONDS."

Issuance and Payments. The Bonds will be issued in the denomination of \$5,000 each or any integral multiple thereof. The Bonds will be issued in book-entry form only, and will be initially issued and registered in the name of Cede & Co. as nominee of The Depository Trust Company ("DTC"). Purchasers will not receive physical certificates representing their interests in the Bonds. Interest with respect to the Bonds accrues from the date of delivery, and is payable semiannually on February 1 and August 1 of each year, commencing February 1, 2017. Payments of principal and interest on the Bonds will be paid by U.S. Bank National Association, as Paying Agent, to DTC for subsequent disbursement to DTC Participants who will remit such payments to the beneficial owners of the Bonds. See "APPENDIX F -- Book-Entry-Only System" herein.

Redemption. The Bonds are subject to optional and mandatory redemption prior to maturity as described herein. See "THE BONDS --Optional Redemption" and "--Mandatory Sinking Fund Redemption."

Municipal Bond Insurance. The scheduled payment of principal of and interest on the Bonds when due will be guaranteed under an insurance policy to be issued concurrently with the delivery of the Bonds by Assured Guaranty Municipal Corp. See "BOND INSURANCE."



This cover page contains information for general reference only. It is not a summary of all the provisions of the Bonds. Investors must read the entire official statement to obtain information essential in making an informed investment decision.

MATURITY SCHEDULES
 (See inside front cover)

The Bonds are offered when, as and if issued, subject to the approval as to their legality by Jones Hall, A Professional Law Corporation, San Francisco, California, Bond Counsel. Jones Hall, A Professional Law Corporation, is also serving as Disclosure Counsel to the District. Certain matters will be passed on for the Underwriter by Nossaman LLP, Irvine, California. It is anticipated that the Bonds in book-entry form will be available for delivery through the facilities of DTC on or about December 8, 2016.

WELLS FARGO SECURITIES

MATURITY SCHEDULES

\$2,195,000
WEST HILLS COMMUNITY COLLEGE DISTRICT
2016 GENERAL OBLIGATION REFUNDING BONDS,
SERIES A
(SCHOOL FACILITIES IMPROVEMENT DISTRICT NO. 2)
(Coalinga Area)

BASE CUSIP[†]: 95330P

Maturity Date (August 1)	Principal Amount	Coupon	Yield	Price	CUSIP[†]
2017	\$55,000	2.000%	1.040%	100.617	95330PGC3
2023	130,000	4.000	2.280	110.551	95330PGD1
2024	135,000	5.000	2.490	117.376	95330PGE9
2025	150,000	4.000	2.680	110.125	95330PGF6
2026	160,000	5.000	2.820	118.297	95330PGG4
2027	175,000	5.000	2.960	117.007 C	95330PGH2
2028	190,000	5.000	3.100	115.734 C	95330PGJ8
2029	205,000	3.000	3.280	97.117	95330PGK5
2030	220,000	5.000	3.300	113.944 C	95330PGL3
2031	240,000	5.000	3.370	113.325 C	95330PGM1
2032	260,000	4.000	3.780	101.760 C	95330PGN9
2033	275,000	4.000	3.840	101.275 C	95330PGP4

C: Priced to the first optional par call date of August 1, 2026.

† CUSIP Copyright 2016, CUSIP Global Services, and a registered trademark of American Bankers Association. CUSIP data herein is provided by CUSIP Global Services, which is managed on behalf of American Bankers Association by S&P Capital IQ. Neither the District nor the Underwriter takes any responsibility for the accuracy of the CUSIP data.

\$14,455,000
WEST HILLS COMMUNITY COLLEGE DISTRICT
2016 GENERAL OBLIGATION REFUNDING BONDS,
SERIES B
(SCHOOL FACILITIES IMPROVEMENT DISTRICT NO. 3)
(Lemoore Area)

BASE CUSIP[†]: 95330P

\$6,535,000 Serial Bonds

Maturity Date (August 1)	Principal Amount	Coupon	Yield	Price	CUSIP[†]
2017	\$365,000	3.000%	1.040%	101.260	95330PGQ2
2018	120,000	2.000	1.280	101.169	95330PGR0
2019	120,000	3.000	1.480	103.930	95330PGS8
2020	120,000	3.000	1.690	104.613	95330PGT6
2021	125,000	3.000	1.900	104.869	95330PGU3
2022	130,000	4.000	2.060	110.290	95330PGV1
2023	135,000	3.000	2.280	104.415	95330PGW9
2024	395,000	5.000	2.490	117.376	95330PGX7
2025	420,000	5.000	2.680	117.797	95330PGY5
2026	450,000	5.000	2.820	118.297	95330PGZ2
2027	485,000	5.000	2.960	117.007 C	95330PHA6
2028	515,000	5.000	3.100	115.734 C	95330PHB4
2029	555,000	3.000	3.280	97.117	95330PHC2
2030	595,000	5.000	3.300	113.944 C	95330PHD0
2031	635,000	5.000	3.370	113.325 C	95330PHE8
2032	665,000	4.000	3.780	101.760 C	95330PHF5
2033	705,000	4.000	3.840	101.275 C	95330PHG3

\$7,920,000 4.000% Term Bond Due August 1, 2041 Yield: 4.080% Price: 98.759 CUSIP[†]: 95330PHH1

C: Priced to the first optional par call date of August 1, 2026.

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GENERAL INFORMATION ABOUT THIS OFFICIAL STATEMENT

Use of Official Statement. This Official Statement is submitted in connection with the sale of the Bonds referred to herein and may not be reproduced or used, in whole or in part, for any other purpose. This Official Statement is not a contract between any bond owner and the District or the Underwriter.

No Offering Except by This Official Statement. No dealer, broker, salesperson or other person has been authorized by the District or the Underwriter to give any information or to make any representations other than those contained in this Official Statement and, if given or made, such other information or representation must not be relied upon as having been authorized by the District or the Underwriter.

No Unlawful Offers or Solicitations. This Official Statement does not constitute an offer to sell or the solicitation of an offer to buy nor may there be any sale of the Bonds by a person in any jurisdiction in which it is unlawful for such person to make such an offer, solicitation or sale.

Estimates and Projections. When used in this Official Statement and in any continuing disclosure by the District, in any press release and in any oral statement made with the approval of an authorized officer of the District, the words or phrases "will likely result," "are expected to", "will continue", "is anticipated", "estimate", "project," "forecast", "expect", "intend" and similar expressions identify "forward looking statements" within the meaning of the Private Securities Litigation Reform Act of 1995. Such statements are subject to risks and uncertainties that could cause actual results to differ materially from those contemplated in such forward-looking statements. Any forecast is subject to such uncertainties. Inevitably, some assumptions used to develop the forecasts will not be realized and unanticipated events and circumstances may occur. Therefore, there are likely to be differences between forecasts and actual results, and those differences may be material.

Information in Official Statement. The information set forth in this Official Statement has been furnished by the District and other sources which are believed to be reliable, but it is not guaranteed as to accuracy or completeness.

Document Summaries. All summaries of the Resolutions or other documents referred to in this Official Statement are made subject to the provisions of such documents and qualified in their entirety to reference to such documents, and do not purport to be complete statements of any or all of such provisions.

Bond Insurance. Assured Guaranty Municipal Corp. ("AGM") makes no representation regarding the Bonds or the advisability of investing in the Bonds. In addition, AGM has not independently verified, makes no representation regarding, and does not accept any responsibility for the accuracy or completeness of this Official Statement or any information or disclosure contained herein, or omitted herefrom, other than with respect to the accuracy of the information regarding AGM supplied by AGM and presented under the heading "Bond Insurance" and "Appendix H - Specimen Municipal Bond Insurance Policy".

Involvement of Underwriter. The Underwriter has provided the following statement for inclusion in this Official Statement: The Underwriter has reviewed the information in this Official Statement in accordance with, and as a part of, its responsibilities to investors under the Federal Securities Laws as applied to the facts and circumstances of this transaction, but the Underwriter does not guarantee the accuracy or completeness of such information.

No Securities Laws Registration. The Bonds have not been registered under the Securities Act of 1933, as amended, or the Securities Exchange Act of 1934, as amended, in reliance upon exceptions therein for the issuance and sale of municipal securities. The Bonds have not been registered or qualified under the securities laws of any state.

Effective Date. This Official Statement speaks only as of its date, and the information and expressions of opinion contained in this Official Statement are subject to change without notice. Neither the delivery of this Official Statement nor any sale of the Bonds will, under any circumstances, give rise to any implication that there has been no change in the affairs of the District, Fresno, Kings, San Benito, Monterey and Madera Counties, the other parties described in this Official Statement, or the condition of the property within the District since the date of this Official Statement.

In connection with the offering of the Bonds, the Underwriter may over allot or effect transactions which stabilize or maintain the market price of such Bonds at a level above that which might otherwise prevail in the open market. Such stabilization, if commenced, may be discontinued at any time.

Website. The District maintains a website. However, the information presented on the website is not a part of this Official Statement and should not be relied upon in making an investment decision with respect to the Bonds. References to website addresses presented herein are for informational purposes only and may be in the form of a hyperlink solely the reader's convenience. Unless specified otherwise, such websites and the information or links contained therein are not incorporated into, and are not part of, this final official statement for purposes of, and as that term is defined in, SEC Rule 15c2-12.

Underwriter's Statement. The Underwriter has reviewed the information in this official statement pursuant to their responsibilities to investors under the federal securities laws, but the Underwriter does not guarantee the accuracy or completeness of such information.

WEST HILLS COMMUNITY COLLEGE DISTRICT

BOARD OF TRUSTEES

Mark McKean, President, Trustee Area 5
Nina Oxborrow, Vice President, Trustee Area 1
Jack Minnite, Clerk, Trustee Area 2
Martin Maldonado, Trustee Area 3
Bobby Lee, Trustee Area 4
Steve Cantu, Trustee Area 6
Jeff Levinson, Trustee Area 7

DISTRICT ADMINISTRATION

Dr. Frank P. Gornick, Chancellor
Ken Stoppenbrink, Deputy Chancellor

PROFESSIONAL SERVICES

BOND COUNSEL and DISCLOSURE COUNSEL

Jones Hall, A Professional Law Corporation
San Francisco, California

UNDERWRITER

Wells Fargo Bank, National Association
Los Angeles, California

UNDERWRITER'S COUNSEL

Nossaman, LLP
Irvine, California

FINANCIAL ADVISOR

Dale Scott & Company Inc.
San Francisco, California

PAYING AGENT, TRANSFER AGENT, BOND REGISTRAR and ESCROW BANK

U.S. Bank National Association
Los Angeles, California

VERIFICATION AGENT

Causey Demgen & Moore P.C.
Denver, Colorado

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\$2,195,000
WEST HILLS COMMUNITY COLLEGE DISTRICT
2016 GENERAL OBLIGATION REFUNDING BONDS,
SERIES A
(SCHOOL FACILITIES IMPROVEMENT DISTRICT NO. 2)
(Coalinga Area)

\$14,455,000
WEST HILLS COMMUNITY COLLEGE DISTRICT
2016 GENERAL OBLIGATION REFUNDING BONDS,
SERIES B
(SCHOOL FACILITIES IMPROVEMENT DISTRICT NO. 3)
(Lemoore Area)

INTRODUCTION

This Official Statement, which includes the cover page and appendices hereto, provides information in connection with the sale of the West Hills Community College District 2016 General Obligation Refunding Bonds, Series A (School Facilities Improvement District No. 2 (Coalinga Area)) (the “**Series A Bonds**”) and the West Hills Community College District 2016 General Obligation Refunding Bonds, Series B (School Facilities Improvement District No. 3 (Lemoore Area)) (the “**Series B Bonds**”) and together with the Series A Bonds, the “**Bonds**”).

The Series A Bonds are being issued by the West Hills Community College District (the “**District**”) on behalf of its School Facilities Improvement District No. 2 (Coalinga Area) (“**SFID No. 2**”) for the purpose of refunding on an advance basis certain outstanding general obligation bonds of SFID No. 2. The Series B Bonds are being issued by the District on behalf of its School Facilities Improvement District No. 3 (Lemoore Area) (“**SFID No. 3**”) and together with the SFID No. 2, the “**Improvement Districts**”) for the purpose of refunding on an advance basis certain outstanding general obligation bonds of SFID No. 3. See “THE BONDS - Financing Plan.”

The Bonds are being issued pursuant to the provisions of Articles 9 and 11 of Chapter 3 of Part 1 of Division 2 of Title 5 of the California Government Code, commencing with Section 53550 of said Code (the “**Refunding Law**”), and pursuant to resolutions adopted by the Board of Trustees of the District on October 18, 2016 (the “**Resolutions**”). Capitalized terms used herein and not otherwise defined have the meanings assigned in the Resolutions.

This Introduction is not a summary of this Official Statement. It is only a brief description of and guide to, and is qualified by, more complete and detailed information contained in the entire Official Statement, including the cover page and appendices hereto, and the documents summarized or described herein. A full review should be made of the entire Official Statement. The offering of the Bonds to potential investors is made only by means of the entire Official Statement.

The District and the School Facilities Improvement Districts

The District. The District was formed in 1961, but was operational 30 years earlier in the form of a Coalinga Extension Center of what was then called Fresno State College. Originally, the District encompassed the same area as the Coalinga High School District. Thereafter annexation elections expanded the District’s geographical boundaries, making the District today into one of the largest community college districts in the State.

The District serves an area of approximately 3,600 square miles, encompassing portions of the following five counties: Fresno, Kings, San Benito, Monterey and Madera. Based on assessed valuations for 2016-17, approximately 61% of the assessed value of the District is in Fresno County, and approximately 34% of the District’s assessed value is in Kings County.

SFID No. 2. SFID No. 2 was formed by the Board of Trustees of the District following a public hearing on July 22, 2008, pursuant to the provisions of Chapter 2 (commencing with Section 15300) of Part 10 of Division 1 of the California Education Code (the “**Act**”) and proceedings taken by the District. SFID No. 2 is comprised of areas within San Benito, Monterey and Fresno Counties, and is conterminous with the boundaries of the Coalinga-Huron Unified School District.

SFID No. 3. SFID No. 3 was formed by the Board of Trustees of the District following a public hearing on July 22, 2008, pursuant to the provisions of the Act and proceedings taken by the District. SFID No. 3 is comprised of areas within Kings and Fresno Counties, and covers the combined boundaries of Lemoore Union High School, Riverdale Joint Unified School District and Reef-Sunset Unified School District.

See “THE DISTRICT,” “THE IMPROVEMENT DISTRICTS” and “APPENDIX B – General and Financial Information About the District.”

Sources of Payment for the Bonds

The Bonds represent a general obligation of the District. The Boards of Supervisors of Fresno County, Monterey County, San Benito County and Kings County (each a “**County**” and collectively the “**Counties**”) has the power and is obligated to annually levy and collect ad valorem taxes upon all property subject to taxation in the Improvement Districts without limitation of rate or amount (except certain personal property which is taxable at limited rates) for the payment of principal of and interest on the Bonds. See “SECURITY FOR THE BONDS” herein.

Bond Insurance

The scheduled payment of principal of and interest on the Bonds when due will be guaranteed under an insurance policy to be issued concurrently with the delivery of the Bonds by Assured Guaranty Municipal Corp. See “BOND INSURANCE.”

Purpose of Issue

The Series A Bonds are being issued for the purpose of refunding, on an advance basis, certain outstanding general obligation bonds of SFID No. 2. The Series B Bonds are being issued for the purpose of refunding, on an advance basis, certain outstanding general obligation bonds of SFID No. 3. See “THE BONDS -- Purpose of Issue,” “-Financing Plan” and “SOURCES AND USES OF FUNDS” herein.

Description of the Bonds

The Bonds will be issued in fully registered form only, registered in the name of Cede & Co. as nominee of The Depository Trust Company (“**DTC**”), and will be available to actual purchasers of the Bonds (the “**Beneficial Owners**”) in the denominations set forth on the cover page hereof, under the book-entry system maintained by DTC, only through brokers and dealers who are or act through DTC Participants as described herein. Beneficial Owners will not be entitled to receive physical delivery of the Bonds. See “THE BONDS -- Book-Entry-Only System.”

The Bonds are subject to optional and mandatory redemption prior to maturity as described herein. See “THE BONDS –Optional Redemption” and “–Mandatory Sinking Fund Redemption.”

Legal Matters

Issuance of the Bonds is subject to the approving opinion of Jones Hall, A Professional Law Corporation, San Francisco, California, as bond counsel (“**Bond Counsel**”), to be delivered in substantially the forms attached hereto as Appendix D. Jones Hall, A Professional Law Corporation will also serve as disclosure counsel (“**Disclosure Counsel**”) to the District. *Payment of the fees of Bond Counsel, Disclosure Counsel and Underwriter’s Counsel is contingent upon issuance of the Bonds.*

Tax-Exempt Status

In the opinion of Bond Counsel, interest on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of the federal individual and corporate alternative minimum taxes, although it is included in certain income and earnings in computing the alternative minimum tax imposed on certain corporations. In the further opinion of Bond Counsel, such interest is exempt from California personal income taxes. See “TAX MATTERS” and Appendix D hereto for the forms of Bond Counsel’s opinions to be delivered concurrently with the Bonds.

Authority for Issuance of the Bonds

The Bonds are issued pursuant to the Refunding Law and pursuant to Resolutions. See “THE BONDS - Authority for Issuance” herein.

Continuing Disclosure

The District has covenanted and agreed that it will comply with and carry out all of the provisions of the Continuing Disclosure Certificate. The form of the Continuing Disclosure Certificate is included in Appendix E hereto. See “CONTINUING DISCLOSURE” herein.

Other Information

This Official Statement speaks only as of its date, and the information contained herein is subject to change.

Copies of documents referred to herein and information concerning the Bonds are available from the Chancellor’s Office, West Hills Community College District, 9900 Cody Street, Coalinga, CA 93210, Phone: 559-934-2180. The District may impose a charge for copying, mailing and handling.

This Official Statement is not to be construed as a contract with the purchasers of the Bonds. Statements contained in this Official Statement which involve estimates, forecasts or matters of opinion, whether or not expressly so described herein, are intended solely as such and are not to be construed as representations of fact. The summaries and references to documents, statutes and constitutional provisions referred to herein do not purport to be comprehensive or definitive, and are qualified in their entireties by reference to each of such documents, statutes and constitutional provisions.

The information set forth herein has been obtained from official sources that are believed to be reliable, but it is not guaranteed as to accuracy or completeness, and is not to be construed as a representation by the District. The information and expressions of opinions herein are subject to change without notice and neither delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the District since the date hereof. This Official Statement is submitted in connection with the sale of the Bonds referred to herein and may not be reproduced or used, in whole or in part, for any other purpose.

[END OF INTRODUCTION]

THE DISTRICT

The District was formed in 1961 but was operational 30 years earlier in the form of a Coalinga Extension Center of what was then called Fresno State College. Originally, the District encompassed the same area as the Coalinga High School District. Thereafter annexation elections expanded the District's geographical boundaries, making the District today into one of the largest community college districts in the State. The District serves an area of approximately 3,600 square miles, encompassing portions of the following five counties: Fresno, Kings, San Benito, Monterey and Madera. Based on assessed valuations for 2016-17, approximately 61% of the assessed value of the District is in Fresno County, and approximately 34% of the District's assessed value is in Kings County. For information regarding the property in the District including assessed valuations, see "SECURITY FOR THE BONDS."

The West Hills Community College District provides postsecondary education to the students of Coalinga-Huron Unified School District, Lemoore Union High School District, Riverdale Joint Unified School District, Golden Plains Unified School District, Firebaugh-Las Deltas Unified School District, Reef- Sunset Unified School District, and Mendota Unified School District. The West Hills Community College District maintains a District Office and a center at Naval Air Station Lemoore. For general and financial data about the District, see "APPENDIX B – General and Financial Information About the District."

THE IMPROVEMENT DISTRICTS

SFID No. 2. SFID No. 2 was formed by the Board of Trustees of the District following a public hearing on July 22, 2008, pursuant to the provisions of the Act and proceedings taken by the District. SFID No. 2 is located in Fresno, Monterey and San Benito counties, and is coterminous with the boundaries of the Coalinga-Huron Unified School District. All of the necessary filings under State Law for SFID No. 2 were filed with the State Board of Equalization. The total assessed valuation in SFID No. 2 for fiscal year 2016-17 represents approximately 19% of the total 2016-17 assessed valuation in the District. See "SECURITY FOR THE BONDS" herein.

The Series A Bonds represent a general obligation of the District with respect to SFID No. 2, and are payable solely from *ad valorem* taxes levied on taxable parcels within SFID No. 2.

SFID No. 3. SFID No. 3 was formed by the Board of Trustees of the District following a public hearing on July 22, 2008, pursuant to the provisions of the Act and proceedings taken by the District. SFID No. 3 is located in Kings and Fresno counties, and covers the combined boundaries of Lemoore Union High School District, Riverdale Joint Unified School District and Reef-Sunset Unified School District. All of the necessary filings under State Law for SFID No. 3 were filed with the State Board of Equalization. The total assessed valuation in SFID No. 3 for fiscal year 2016-17 represents approximately 45% of the total 2016-17 assessed valuation in the District. See "SECURITY FOR THE BONDS" herein.

The Series B Bonds represent a general obligation of the District with respect to SFID No. 3, and are payable solely from *ad valorem* taxes levied on taxable parcels within SFID No. 3.

THE BONDS

Authority for Issuance

The Bonds are issued pursuant to the provisions of Articles 9 and 11 of Chapter 3 of Part 1 of Division 2 of Title 5 of the California Government Code, commencing with Section 53550 of said Code (the “**Refunding Law**”), and pursuant to resolutions adopted by the Board of Trustees of the District on October 18, 2016 (the “**Resolutions**”).

Financing Plan

SFID No. 2. SFID No. 2 received authorization at an election held on November 4, 2008 to issue \$11,600,000 of general obligation bonds (the “**SFID No. 2 Authorization**”).

On March 18, 2009 the District, on behalf of SFID No. 2, issued \$2,998,815.35 Bonds of the School Facilities Improvement District No. 2 (Coalinga Area) of the West Hills Community College District 2008 Election, General Obligation Bonds, Series A (the “**2008 SFID No. 2 Series A Bonds**”) pursuant to the SFID No. 2 Authorization.

The 2008 SFID No. 2 Series A Bonds were issued as current interest bonds (the “**SFID No. 2 Current Interest Bonds**”) and capital appreciation bonds (the “**SFID No. 2 Capital Appreciation Bonds**”). The SFID No. 2 Current Interest Bonds are subject to optional redemption on August 1, 2019 at a redemption price equal to the principal amount thereof together with accrued interest thereon to the date fixed for redemption, with no premium. The Series A Bonds are being issued by the District to refund on an advance basis certain maturities of the outstanding SFID No. 2 Current Interest Bonds (the “**Refunded SFID No. 2 Bonds**”), as shown in the following table.

WEST HILLS COMMUNITY COLLEGE SFID NO. 2 Identification of Refunded Bonds

Maturities to be Refunded (August 1)	CUSIP†	Principal Amount Redeemed	Redemption Date	Redemption Price (% of Par Amount Redeemed)
2023	95330S AP4	\$115,000	08/01/2019	100.0%
2024	95330S AQ2	125,000	08/01/2019	100.0
2029 T	95330S AV1	835,000	08/01/2019	100.0
2033 T	95330S AZ2	1,000,000	08/01/2019	100.0
Total:		\$2,075,000		

T: Term Bond

† CUSIP Copyright American Bankers Association. CUSIP data herein is provided by Standard & Poor's CUSIP Service Bureau, a division of McGraw Hill Companies, Inc. Neither the District nor the Underwriter is responsible for the accuracy of such data.

The SFID No. 2 Capital Appreciation Bonds are not subject to redemption prior to their maturity, and will remain outstanding following the issuance of the Series A Bonds. See “DEBT SERVICE SCHEDULES” for the remaining debt service on the SFID No. 2 Capital Appreciation Bonds.

SFID No. 3. SFID No. 3 received authorization at an election held on November 4, 2008 to issue \$31,000,000 of general obligation bonds (the “**SFID No. 3 Authorization**”).

On March 19, 2009 the District, on behalf of SFID No. 3, issued \$5,999,836.65 Bonds of the School Facilities Improvement District No. 3 (Lemoore Area) of the West Hills Community College District 2008 Election, General Obligation Bonds, Series A (the **“2008 SFID No. 3 Series A Bonds”**) pursuant to the SFID No. 3 Authorization. On March 9, 2011 the District, on behalf of SFID No. 3, issued \$12,343,908.25 Bonds of the School Facilities Improvement District No. 3 (Lemoore Area) of the West Hills Community College District 2008 Election, General Obligation Bonds, Series B (the **“2008 SFID No. 3 Series B Bonds”**) pursuant to the SFID No. 3 Authorization.

The 2008 SFID No. 3 Series A Bonds were issued as current interest bonds (the **“2008 SFID No. 3 Series A Current Interest Bonds”**) and capital appreciation bonds (the **“2008 Series A SFID No. 3 Series A Capital Appreciation Bonds”**). The 2008 SFID No. 3 Series A Current Interest Bonds maturing on or after August 1, 2021 are subject to optional redemption on August 1, 2019 at a redemption price equal to the principal amount thereof together with accrued interest thereon to the date fixed for redemption, with no premium. The 2008 SFID No. 3 Series A Capital Appreciation Bonds are not subject to redemption prior to their maturity, and will remain outstanding following the issuance of the Series B Bonds. See “DEBT SERVICE SCHEDULES” for the remaining debt service on the 2008 SFID No. 3 Series A Capital Appreciation Bonds.

The 2008 SFID No. 3 Series B Bonds were issued as current interest bonds (the **“2008 SFID No. 3 Series B Current Interest Bonds”**) and convertible capital appreciation bonds (the **“2008 SFID No. 3 Series B Convertible Capital Appreciation Bonds”**). The 2008 SFID No. 3 Series B Current Interest Bonds maturing on or after August 1, 2021 are subject to optional redemption on August 1, 2019 at a redemption price equal to the principal amount thereof together with accrued interest thereon to the date fixed for redemption, with no premium. The 2008 SFID No. 3 Series B Convertible Capital Appreciation Bonds are subject to optional redemption on August 1, 2031 at a redemption price equal to the principal amount thereof together with the accrued interest thereon to the date fixed for redemption, with no premium, and are not being refunded with proceeds of the Series B Bonds.

The Series B Bonds are being issued by the District to refund on an advance basis certain maturities of the outstanding 2008 SFID No. 3 Series A Bonds and the 2008 SFID No. 3 Series B Bonds (collectively, the **“Refunded SFID No. 3 Bonds”** and, together with the Refunded SFID No. 2 Bonds, the **“Refunded Bonds”**), as shown in the tables below.

WEST HILLS COMMUNITY COLLEGE
SFID NO. 3
Identification of Refunded 2008 Series A Bonds

Maturities to be Refunded (August 1)	CUSIP†	Principal Amount Redeemed	Redemption Date	Redemption Price (% of Par Amount Redeemed)
2024	95330P EH4	\$280,000	08/01/2019	100.0%
2029 T	95330P AN1	1,825,000	08/01/2019	100.0
2031 T	95330P EQ4	1,000,000	08/01/2019	100.0
2033 T	95330P ES0	1,145,000	08/01/2019	100.0
Total:		\$4,250,000		

T: Term Bond

† CUSIP Copyright American Bankers Association. CUSIP data herein is provided by Standard & Poor's CUSIP Service Bureau, a division of McGraw Hill Companies, Inc. Neither the District nor the Underwriter is responsible for the accuracy of such data.

WEST HILLS COMMUNITY COLLEGE
SFID NO. 3
Identification of Refunded 2008 Series B Bonds

Maturities to be Refunded (August 1)	CUSIP†	Principal Amount Redeemed	Redemption Date	Redemption Price (% of Par Amount Redeemed)
2041 T	95330T BF3	\$7,950,000	08/01/2019	100.0%

T: Term Bond

† CUSIP Copyright American Bankers Association. CUSIP data herein is provided by Standard & Poor's CUSIP Service Bureau, a division of McGraw Hill Companies, Inc. Neither the District nor the Underwriter is responsible for the accuracy of such data.

Escrow Fund

The District will deliver the net proceeds of the Bonds to U.S. Bank National Association, as escrow agent (the "**Escrow Bank**"), for deposit in the escrow fund (the "**Escrow Fund**") established under the Escrow Agreement (the "**Escrow Agreement**"), entered into by and between the District and the Escrow Bank.

The Escrow Bank will invest all amounts deposited in the Escrow Fund in the Federal Securities set forth in the Escrow Agreement. From the maturing principal of the Federal Securities and the investment income and other earnings thereon, and any moneys held in cash in the Escrow Fund, the Escrow Agent will pay the redemption price of the Refunded Bonds.

Sufficiency of the deposits in the Escrow Fund for those purposes will be verified by Causey Demgen & Moore P.C. (the "**Verification Agent**"). See "VERIFICATION OF MATHEMATICAL ACCURACY" below.

The amounts held and invested by the Escrow Bank in the Escrow Fund are pledged solely to the payment of the Refunded Bonds. Neither the funds deposited in the Escrow Fund nor the interest on the invested funds will be available for the payment of debt service with respect to the Bonds.

Description of the Bonds

General. The Bonds will be issued in book-entry form only, and will be initially issued and registered in the name of Cede & Co. as nominee for DTC. Purchasers will not receive physical certificates representing their interest in the Bonds.

Payments. Interest with respect to the Bonds accrues from the dated date set forth on the cover hereof (the "**Dated Date**"), and is payable semiannually on February 1 and August 1 of each year (each a "**Bond Payment Date**") commencing February 1, 2017. Each Bond shall bear interest from the Bond Payment Date next preceding the date of registration and authentication thereof unless (i) it is registered and authenticated as of a Bond Payment Date, in which event it shall bear interest from such date, or (ii) it is registered and authenticated prior to a Bond Payment Date and after the close of business on the fifteenth (15th) day of the month preceding such Bond Payment Date, in which event it shall bear interest from such Bond Payment Date, or (iii) it is registered and authenticated prior to January 15, 2017, in which event it shall bear interest from the date of original delivery; *provided, however*, that if at the time of authentication of a Bond, interest is in default thereon, such Bond shall bear interest from the

Bond Payment Date to which interest has previously been paid or made available for payment thereon.

Interest on the Bonds, including the final interest payment upon maturity, is payable by check or draft of the Paying Agent mailed on the Bond Payment Date via first-class mail to the Owner thereof at such Owner's address as it appears on the bond register maintained by the Paying Agent at the close of business on the fifteenth (15th) day of the month preceding the Bond Payment Date (the "**Record Date**"), or at such other address as the owner may have filed with the Paying Agent for that purpose, or upon written request filed with the Paying Agent as of the Record Date by an owner of at least \$1,000,000 in aggregate principal amount of Bonds, by wire transfer. See also "Book Entry Only System" below.

The Bonds shall be issued in the denomination of \$5,000 principal amount each or any integral multiple thereof. The Bonds mature on August 1, in the years and amounts set forth on the inside cover page hereof.

Book-Entry Only System

The Bonds will be issued in book-entry form only and will be initially issued and registered in the name of Cede & Co., as nominee for The Depository Trust Company, New York, New York ("**DTC**"). DTC will act as securities depository of the Bonds. Individual purchases of the Bonds will be made in book-entry form only. Purchasers will not receive physical delivery of the Bonds purchased by them. Payments of principal of and interest on and the accreted value on the Bonds will be made by the Paying Agency (defined below) to DTC for subsequent disbursement through DTC Participants (defined herein) to the beneficial owners of the Bonds. See "APPENDIX F – Book-Entry Only System" herein.

Paying Agent

As long as DTC is the registered owner of the Bonds and DTC's book-entry method is used for the Bonds, the Paying Agent will send any notice of redemption or other notices to owners only to DTC. Any failure of DTC to advise any DTC Participant, or of any DTC Participant to notify any Beneficial Owner, of any such notice and its content or effect will not affect the validity or sufficiency of the proceedings relating to the redemption of the Bonds called for redemption or of any other action premised on such notice.

The Paying Agent, the District, the Counties, and the Underwriter of the Bonds have no responsibility or liability for any aspects of the records relating to or payments made on account of beneficial ownership, or for maintaining, supervising or reviewing any records relating to beneficial ownership, of interests in the Bonds.

Optional Redemption

Series A Bonds. The Series A Bonds maturing on or prior to August 1, 2026 are not subject to optional redemption prior to maturity. The Series A Bonds maturing on or after August 1, 2027 are subject to redemption prior to maturity, as a whole or in part, and by lot within a maturity, at the option of the District, from any available source of funds, on August 1, 2026, and on any date thereafter, at a redemption price equal to the principal amount thereof together with accrued interest thereon to the date fixed for redemption, with no premium.

For the purpose of selection for optional redemption, Series A Bonds will be deemed to consist of \$5,000 portions, and any such portion may be separately redeemed.

Series B Bonds. The Series B Bonds maturing on or prior to August 1, 2026 are not subject to optional redemption prior to maturity. The Series B Bonds maturing on or after August 1, 2027 are subject to redemption prior to maturity, as a whole or in part, and by lot within a maturity, at the option of the District, from any available source of funds, on August 1, 2026, and on any date thereafter, at a redemption price equal to the principal amount thereof together with accrued interest thereon to the date fixed for redemption, with no premium.

For the purpose of selection for optional redemption, Series B Bonds will be deemed to consist of \$5,000 portions, and any such portion may be separately redeemed.

Mandatory Sinking Fund Redemption

Series B Bonds. The Series B Bonds maturing on August 1, 2041 (the “**Term Bonds**”) are subject to mandatory sinking fund redemption prior to their maturity, by lot, without premium, on each August 1, in the years and in the amounts as set as follows:

Term Bonds Maturing August 1, 2041

Redemption Year (August 1)	Principal Amount to Be Redeemed
2037	\$40,000
2038	1,075,000
2039	2,080,000
2040	2,265,000
2041 (maturity)	2,460,000

Selection of Bonds for Redemption

When less than all Outstanding Bonds are to be redeemed, the Paying Agent shall select Bonds for redemption as designated by the District. Within a maturity, the Paying Agent shall select Bonds for redemption by lot. Redemption by lot shall be in such a manner as the Paying Agent shall determine; provided, however, that the portion of any Bond to be redeemed in part shall be in the Principal Amount of \$5,000 or any integral multiple thereof.

Notice of Redemption

The Paying Agent shall mail notice of redemption not fewer than 20 nor more than 60 days prior to the redemption date by registered or certified mail, postage prepaid, to the respective Owners of any Bonds designated for redemption at their addresses appearing on the Bond Register. If a Bond is not registered solely to a Securities Depository, the Paying Agent shall also give notice of redemption of Bonds to the Securities Depositories and the Information Service (at the same time it mails notice of redemption to the Owners) by registered or overnight mail.

Each notice of redemption shall state (a) the Bonds or designated portions thereof (in the case of redemption of the Bonds in part but not in whole) which are to be redeemed, (b) the date of redemption, (c) the place or places where the redemption will be made, including the name and address of the Paying Agent, (d) the redemption price, (e) the CUSIP numbers (if

any) assigned to the Bonds to be redeemed, (f) the Bond numbers of the Bonds to be redeemed in whole or in part and, in the case of any Bond to be redeemed in part only, the Principal Amount of such Bond to be redeemed, and (g) the original issue date, interest rate and stated maturity date of each Bond to be redeemed in whole or in part. Each such notice shall further state that on the specified date there shall become due and payable upon each Bond or portion thereof being redeemed the Redemption Price thereof, together with the interest accrued to the redemption date, and that from and after such date, interest with respect thereto shall cease to accrue in value.

Neither failure to receive or failure to send any notice of redemption nor any defect in any such Redemption Notice so given shall affect the sufficiency of the proceedings for the redemption of the affected Bonds.

Satisfaction and Discharge of Bonds

Bonds may be paid by the District in any of the following ways:

- (i) by paying or causing to be paid the principal or redemption price of and interest on such Bonds, as and when the same become due and payable;
- (ii) by irrevocably depositing, in trust, at or before maturity, money or securities in the necessary amount (as provided in the Resolutions) to pay or redeem such Bonds; or
- (iii) by delivering such Bonds to the Paying Agent for cancellation by it.

If the District shall pay all outstanding Bonds and shall also pay or cause to be paid all other sums payable by the District, then and in that case, at the election of the District, and notwithstanding that any Bonds shall not have been surrendered for payment, the Resolutions and other assets made under the Resolutions and all covenants, agreements and other obligations of the District under the Resolutions shall cease, terminate, become void and be completely discharged and satisfied, except only as provided in the Resolutions. In such event, upon request of the District, the Paying Agent shall cause an accounting for such period or periods as may be requested by the District to be prepared and filed with the District and shall execute and deliver to the District all such instruments as may be necessary to evidence such discharge and satisfaction, and the Paying Agent shall pay over, transfer, assign or deliver to the District all moneys or securities or other property held by it pursuant to the Resolutions which are not required for the payment or redemption of Bonds not theretofore surrendered for such payment or redemption.

Registration, Transfer and Exchange of Bonds

If the book entry system is discontinued, the person in whose name a Bond is registered on the Bond Register shall be regarded as the absolute owner of that Bond. Payment of the principal of and interest on any Bond shall be made only to or upon the order of that person; none the District, the Counties or the Paying Agent shall be affected by any notice to the contrary, but the registration may be changed as provided in the Paying Agent Agreement.

Any Bond may, in accordance with its terms, be transferred, upon the books required to be kept pursuant to the provisions of the Resolutions, by the person in whose name it is registered, in person or by his duly authorized attorney, upon surrender of such Bond for

cancellation at the Principal Office at the Paying Agent, accompanied by delivery of a written instrument of transfer in a form approved by the Paying Agent, duly executed. The Paying Agent shall require the payment by the Owner requesting such transfer of any tax or other governmental charge required to be paid with respect to such transfer.

Whenever any Bond or Bonds shall be surrendered for transfer, the District shall execute and the Paying Agent shall authenticate and deliver a new Bond or Bonds, for like aggregate principal amount. No transfers of Bonds shall be required to be made (a) fifteen days prior to the date established by the Paying Agent for selection of Bonds for redemption or (b) with respect to a Bond after such Bond has been selected for redemption.

Bonds may be exchanged at the Principal Office of the Paying Agent for a like aggregate principal amount of Bonds of authorized denominations and of the same maturity. The Paying Agent will require the payment by the Owner requesting such exchange of any tax or other governmental charge required to be paid with respect to such exchange. No exchanges of Bonds shall be required to be made (a) fifteen days prior to the date established by the Paying Agent for selection of Bonds for redemption or (b) with respect to a Bond after such Bond has been selected for redemption.

SOURCES AND USES OF FUNDS

The sources and uses of funds with respect to the Bonds are as follows:

<u>Sources of Funds:</u>	<u>Series A Bonds</u>	<u>Series B Bonds</u>
Principal Amount of Bonds	\$2,195,000.00	\$14,455,000.00
Net Original Issue Premium	<u>206,461.70</u>	<u>504,895.50</u>
<i>Total Sources</i>	\$2,401,461.70	\$14,959,895.50
<u>Uses of Funds:</u>		
Deposit into the Escrow Funds	\$2,356,993.81	\$14,653,280.84
Costs of Issuance ⁽¹⁾	<u>44,467.89</u>	<u>306,614.66</u>
<i>Total Uses</i>	\$2,401,461.70	\$14,959,895.50

(1) Costs of Issuance include legal fees, Underwriter's discount, financial advisor's fee, printing costs, rating agency fees, insurance premium, verification agent fee and other miscellaneous expenses.

DEBT SERVICE SCHEDULES

Debt Service Schedule for the Series A Bonds. The following table shows the debt service schedule with respect to the Series A Bonds (assuming no optional redemptions).

West Hills Community College District Debt Service Schedule for the Series A Bonds

Bond Year Ending August 1	Series A Bonds Principal	Series A Bonds Interest	Total Debt Service
2017	\$55,000.00	\$62,036.25	\$117,036.25
2018	--	94,750.00	94,750.00
2019	--	94,750.00	94,750.00
2020	--	94,750.00	94,750.00
2021	--	94,750.00	94,750.00
2022	--	94,750.00	94,750.00
2023	130,000.00	94,750.00	224,750.00
2024	135,000.00	89,550.00	224,550.00
2025	150,000.00	82,800.00	232,800.00
2026	160,000.00	76,800.00	236,800.00
2027	175,000.00	68,800.00	243,800.00
2028	190,000.00	60,050.00	250,050.00
2029	205,000.00	50,550.00	255,550.00
2030	220,000.00	44,400.00	264,400.00
2031	240,000.00	33,400.00	273,400.00
2032	260,000.00	21,400.00	281,400.00
2033	275,000.00	11,000.00	286,000.00
Total	\$2,195,000.00	\$1,169,286.25	\$3,364,286.25

Debt Service Schedule for the Series B Bonds. The following table shows the debt service schedule with respect to the Series B Bonds (assuming no optional redemptions).

**West Hills Community College District
Debt Service Schedule for the Series B Bonds**

Bond Year Ending August 1	Series B Bonds Principal	Series B Bonds Interest	Total Debt Service
2017	\$365,000.00	\$386,100.42	\$751,100.42
2018	120,000.00	585,600.00	705,600.00
2019	120,000.00	583,200.00	703,200.00
2020	120,000.00	579,600.00	699,600.00
2021	125,000.00	576,000.00	701,000.00
2022	130,000.00	572,250.00	702,250.00
2023	135,000.00	567,050.00	702,050.00
2024	395,000.00	563,000.00	958,000.00
2025	420,000.00	543,250.00	963,250.00
2026	450,000.00	522,250.00	972,250.00
2027	485,000.00	499,750.00	984,750.00
2028	515,000.00	475,500.00	990,500.00
2029	555,000.00	449,750.00	1,004,750.00
2030	595,000.00	433,100.00	1,028,100.00
2031	635,000.00	403,350.00	1,038,350.00
2032	665,000.00	371,600.00	1,036,600.00
2033	705,000.00	345,000.00	1,050,000.00
2034	--	316,800.00	316,800.00
2035	--	316,800.00	316,800.00
2036	--	316,800.00	316,800.00
2037	40,000.00	316,800.00	356,800.00
2038	1,075,000.00	315,200.00	1,390,200.00
2039	2,080,000.00	272,200.00	2,352,200.00
2040	2,265,000.00	189,000.00	2,454,000.00
2041	2,460,000.00	98,400.00	2,558,400.00
Total	\$14,455,000.00	\$10,598,350.42	\$25,053,350.42

Combined Debt Service Schedule. The following schedule shows the combined debt service with respect to the Bonds together with other outstanding general obligation bonds of the District and the Improvement Districts (assuming no optional redemptions).

**West Hills Community College District
Combined Debt Service Schedule**

Bond Year Ending Aug. 1	District Bonds			SFID No. 1 Bonds			SFID No. 2 Bonds			SFID No. 3 Bonds				Total Debt Service
	2012 Refunding Bonds	2014 Series A Bonds	2015 Refunding Bonds Series C	2008 Bonds, Series A	2008 Bonds, Series B	Series A Bonds	2008 Bonds, Series A	2008 Bonds, Series B	2016 Refunding Bonds, Series A	2008 Bonds, Series A	2008 Bonds, Series B	2012 Bonds, Series A	2016 Refunding Bonds, Series B	
2017	\$235,000.00	\$1,085,240.00	\$944,537.50	\$153,337.50	\$427,181.26	\$97,500.00	\$115,250.00	\$405,075.02	\$117,036.25	\$207,043.76	\$151,850.00	\$535,198.76	\$751,100.42	\$5,225,350.47
2018	236,900.00	1,120,470.00	943,787.50	163,337.50	445,181.26	97,500.00	115,250.00	425,075.02	94,750.00	217,043.76	181,850.00	544,298.76	705,600.00	5,291,043.80
2019	232,900.00	--	946,787.50	176,512.50	451,581.26	97,500.00	115,250.00	445,075.02	94,750.00	227,043.76	216,850.00	558,198.76	703,200.00	4,265,648.80
2020	238,100.00	--	948,987.50	183,637.50	467,681.26	97,500.00	115,250.00	465,075.02	94,750.00	237,043.76	256,850.00	571,798.76	699,600.00	4,376,273.80
2021	236,300.00	--	944,237.50	199,975.00	472,681.26	97,500.00	110,250.00	495,075.02	94,750.00	247,043.76	291,850.00	587,548.76	701,000.00	4,478,211.30
2022	234,300.00	--	948,237.50	--	487,681.26	337,500.00	110,250.00	520,075.02	94,750.00	257,368.76	336,850.00	602,298.76	702,250.00	4,631,561.30
2023	232,100.00	--	945,487.50	--	492,581.26	350,500.00	--	533,650.02	224,750.00	266,793.76	376,850.00	616,048.76	702,050.00	4,740,811.30
2024	236,550.00	--	946,237.50	--	507,181.26	362,250.00	--	558,550.02	224,550.00	--	416,850.00	633,798.76	958,000.00	4,843,967.54
2025	235,700.00	--	940,237.50	--	521,181.26	377,750.00	--	577,550.02	232,800.00	--	461,350.00	650,298.76	963,250.00	4,960,117.54
2026	234,450.00	--	942,737.50	--	529,306.26	396,750.00	--	600,518.76	236,800.00	--	517,100.00	665,548.76	972,250.00	5,095,461.28
2027	232,787.50	--	948,237.50	--	541,668.76	409,000.00	--	622,231.26	243,800.00	--	558,400.00	683,448.76	984,750.00	5,224,323.78
2028	240,700.00	--	953,187.50	--	553,062.50	427,450.00	--	642,612.50	250,050.00	--	612,850.00	699,698.76	990,500.00	5,370,111.26
2029	238,050.00	--	952,237.50	442,734.00	572,750.00	--	--	665,412.50	255,550.00	--	669,275.00	714,298.76	1,004,750.00	5,515,057.76
2030	--	--	952,200.00	462,237.30	581,312.50	--	--	691,825.00	264,400.00	--	712,400.00	732,248.76	1,028,100.00	5,424,723.56
2031	--	--	--	482,439.45	594,125.00	--	--	711,650.00	273,400.00	--	772,775.00	749,998.76	1,038,350.00	4,622,738.21
2032	--	--	--	498,650.50	611,000.00	--	--	735,162.50	281,400.00	--	844,300.00	770,998.76	1,036,600.00	4,778,111.76
2033	--	--	--	520,000.00	621,750.00	--	--	767,175.00	286,000.00	--	904,880.00	789,998.76	1,050,000.00	4,939,803.76
2034	--	--	--	--	1,061,500.00	--	--	1,090,910.00	--	--	1,549,170.00	811,998.76	316,800.00	4,830,378.76
2035	--	--	--	--	1,093,250.00	--	--	1,126,795.00	--	--	1,633,510.00	831,748.76	316,800.00	5,002,103.76
2036	--	--	--	--	1,126,250.00	--	--	1,168,600.00	--	--	1,715,640.00	849,561.26	316,800.00	5,176,851.26
2037	--	--	--	--	1,160,250.00	--	--	1,202,200.00	--	--	1,804,820.00	870,841.26	356,800.00	5,394,911.26
2038	--	--	--	--	--	--	--	1,242,800.00	--	--	864,570.00	895,528.76	1,390,200.00	4,393,098.76
2039	--	--	--	--	--	--	--	--	--	--	--	918,418.76	2,352,200.00	3,270,618.76
2040	--	--	--	--	--	--	--	--	--	--	--	939,823.76	2,454,000.00	3,393,823.76
2041	--	--	--	--	--	--	--	--	--	--	--	964,743.76	2,558,400.00	3,523,143.76
2042	--	--	--	--	--	--	--	--	--	--	--	987,406.26	--	987,406.26
4043	--	--	--	--	--	--	--	--	--	--	--	1,013,381.26	--	1,013,381.26
2044	--	--	--	--	--	--	--	--	--	--	--	1,037,500.00	--	1,037,500.00
2045	--	--	--	--	--	--	--	--	--	--	--	1,064,762.50	--	1,064,762.50
Total	\$3,063,837.50	\$2,205,710.00	\$13,257,137.50	\$2,397,393.25	\$13,319,156.36	\$3,148,700.00	\$681,500.00	\$15,693,092.70	\$3,364,286.25	\$1,659,381.32	\$15,850,840.00	\$22,291,444.02	\$25,053,350.42	\$121,985,829.3

SECURITY FOR THE BONDS

General

The Boards of Supervisors of the Counties have the power and are obligated to annually levy and collect ad valorem taxes upon all property subject to taxation in the Improvement Districts without limitation of rate or amount (except certain personal property which is taxable at limited rates) for the payment of principal of and interest on the Bonds. Such taxes are required to be levied annually, in addition to all other taxes, during the period that each series of Bonds are outstanding in an amount sufficient to pay the principal and interest on such series of each series of Bonds when due. Such taxes, when collected, will be deposited into a separate debt service fund for each series of Bonds (together, the **"Debt Service Funds"**), which will be maintained by Fresno County and which is created by statute for the payment of principal of and interest on each series of Bonds when due. Although Fresno County will maintain the Debt Service Funds pledged to the repayment of the each series of Bonds, the Bonds are not a debt of Fresno County.

The monies in the Debt Service Funds, to the extent necessary to pay the principal and interest on the related series of Bonds as the same become due and payable, shall be transferred by Fresno County to the Paying Agent which, in turn, shall pay such monies to DTC to pay the principal and interest on such series of Bonds. DTC will thereupon make payments of principal and interest on the Bonds to the DTC Participants who will thereupon make payments of principal and interest to the Beneficial Owners of the Bonds. See "APPENDIX F – BOOK-ENTRY ONLY SYSTEM."

The amount of the annual *ad valorem* tax levied by the Counties to repay the Bonds will be determined by the relationship between the assessed valuation of taxable property in SFID No. 2, SFID No. 3 or the District, as applicable, and the amount of debt service due each series of Bonds. A reduction in the assessed valuation of taxable property in SFID No. 2, SFID No. 3 or the District caused by economic factors beyond the District's control, such as economic recession, slower growth, or deflation of land values, a relocation out of the District by one or more major property owners, or the complete or partial destruction of such property caused by, among other eventualities, an earthquake, flood or other natural disaster, could cause a reduction in the assessed value of the District and necessitate an unanticipated increase in the annual tax levy in SFID No. 2, SFID No. 3 or the District.

Ad Valorem Property Taxation

Taxes are levied by the Counties for each fiscal year on taxable real and personal property which is situated in the District as of the preceding January 1. For assessment and collection purposes, property is classified either as "secured" or "unsecured" and is listed accordingly on separate parts of the assessment roll. The **"secured roll"** is that part of the assessment roll containing State-assessed public utilities property and real property having a tax lien which is sufficient, in the opinion of the Fresno County Assessor, to secure payment of the taxes. Other property is assessed on the **"unsecured roll."**

Property taxes on the secured roll are due in two installments, on November 1 and February 1 of each fiscal year. If unpaid, such taxes become delinquent on December 10 and April 10, respectively, and a 10% penalty attaches to any delinquent payment. Property on the secured roll with respect to which taxes are delinquent becomes tax defaulted on or about June 30 of the fiscal year. Such property may thereafter be redeemed by payment of a penalty of

1.5% per month to the time of redemption, plus costs and a redemption fee. If taxes are unpaid for a period of five years or more, the property is subject to sale by the Tax Collector/Treasurer.

Property taxes on the unsecured roll are due as of the January 1 lien date and become delinquent, if unpaid, on August 31. A 10% penalty attaches to delinquent unsecured taxes. If unsecured taxes are unpaid at 5:00 p.m. on October 31, an additional penalty of 1.5% attaches to them on the first day of each month until paid. The taxing authority has four ways of collecting delinquent unsecured personal property taxes: (1) bringing a civil action against the taxpayer; (2) filing a certificate in the office of the respective County Clerk specifying certain facts in order to obtain a lien on certain property of the taxpayer; (3) filing a certificate of delinquency for record in the respective County Clerk and County Recorder's office in order to obtain a lien on certain property of the taxpayer; and (4) seizing and selling personal property, improvements, or possessory interests belonging or assessed to the assessee.

Assessed Valuations

The assessed valuation of property in the District is established by the assessor in each County, except for public utility property which is assessed by the State Board of Equalization. Assessed valuations are reported at 100 percent of the "full value" of the property, as defined in Article XIII A of the California Constitution. Prior to 1981-82, assessed valuations were reported at 25% of the full value of property. For a discussion of how properties currently are assessed, see "CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS."

Certain classes of property, such as churches, colleges, not-for-profit hospitals, and charitable institutions, are exempt from property taxation and do not appear on the tax rolls. No reimbursement is made by the State for such exemptions.

The District. Property within the District had a net taxable assessed valuation for fiscal year 2016-17 of \$10,413,812,536. Shown in the following table are the assessed valuations for the District for the past ten years.

WEST HILLS COMMUNITY COLLEGE DISTRICT
Assessed Valuation
Fiscal Year 2007-08 through Fiscal Year 2016-17

Fiscal Year	Local Secured ⁽¹⁾	Unsecured	Total
<u>Fresno County Portion</u>			
2007-08	\$3,806,241,027	\$309,666,296	\$4,115,907,323
2008-09	4,026,579,228	244,231,817	4,270,811,045
2009-10	4,521,741,835	302,795,199	4,824,537,034
2010-11	4,631,936,364	326,376,049	4,958,312,413
2011-12	5,390,245,974	340,283,691	5,730,529,665
2012-13	5,105,728,213	338,709,143	5,856,076,091
2013-14	5,596,442,006	357,658,634	6,321,158,025
2014-15	5,822,186,795	342,677,460	6,568,606,466
2015-16	5,094,098,148	342,288,539	6,246,386,687
2016-17	6,013,604,656	351,766,291	6,365,270,947
<u>Kings County Portion</u>			
2007-08	\$2,494,499,248	\$109,114,879	\$2,603,614,127
2008-09	2,925,070,351	126,598,967	3,051,669,318
2009-10	2,848,088,323	112,603,112	2,960,691,435
2010-11	3,029,831,329	122,514,414	3,152,345,743
2011-12	3,064,503,982	128,254,751	3,192,758,733
2012-13	3,042,918,189	130,356,614	3,216,640,756
2013-14	3,073,214,774	136,052,657	3,247,762,174
2014-15	3,014,941,680	206,825,356	3,263,312,555
2015-16	3,251,565,830	127,327,468	3,378,893,298
2016-17	3,395,367,459	152,102,361	3,547,469,820
<u>Madera County Portion</u>			
2007-08	\$146,324,218	\$2,165,235	\$148,489,453
2008-09	147,894,681	4,146,731	152,041,412
2009-10	169,209,535	4,694,796	173,904,331
2010-11	179,291,572	5,716,051	185,007,623
2011-12	170,503,078	5,718,557	176,221,635
2012-13	200,247,993	8,161,013	208,415,306
2013-14	292,790,991	8,202,955	301,000,246
2014-15	356,991,677	8,256,338	365,254,315
2015-16	436,323,833	9,236,217	445,560,050
2016-17	483,442,307	9,048,086	492,490,393

	<u>Monterey County Portion</u>		
2007-08	\$5,450,628	\$10,130	\$5,460,758
2008-09	5,678,514	12,350	5,690,864
2009-10	5,785,566	35,250	5,820,816
2010-11	5,663,895	2,350	5,666,245
2011-12	6,654,184	3,080	6,657,264
2012-13	6,935,096	3,060	6,938,156
2013-14	7,065,479	3,010	7,068,489
2014-15	6,907,331	4,450	6,911,781
2015-16	7,459,733	4,310	7,464,043
2016-17	7,554,300	4,250	7,558,550
	<u>San Benito County Portion</u>		
2007-08	\$887,009	\$0	\$887,009
2008-09	900,961	0	900,961
2009-10	912,833	0	912,823
2010-11	909,966	0	909,966
2011-12	915,003	0	915,003
2012-13	929,174	0	929,174
2013-14	969,351	0	969,351
2014-15	973,104	0	973,104
2015-16	1,011,716	0	1,011,716
2016-17	1,022,826	0	1,022,826
	<u>Total Community College District</u>		
2007-08	\$6,453,402,130	\$420,956,540	\$6,874,358,670
2008-09	7,106,123,465	374,989,865	7,481,113,330
2009-10	7,545,738,092	420,128,357	7,965,866,449
2010-11	7,847,990,826	454,615,864	8,302,606,690
2011-12	8,452,822,221	474,260,079	8,927,082,300
2012-13	8,356,758,665	477,229,830	9,288,999,483
2013-14	8,970,482,601	501,917,256	9,877,958,285
2014-15	9,202,000,587	445,294,030	10,205,058,221
2015-16	9,185,138,570	478,856,534	10,079,315,794
2016-17	9,900,891,548	512,920,988	10,413,812,536

(1) Includes Utility.

Source: California Municipal Statistics, Inc.

SFID No. 2. Property within SFID NO. 2 has a net taxable assessed valuation for fiscal year 2016-17 of \$2,000,651,550. Shown in the following table are the assessed valuations for SFID No. 2 for the past ten years.

**WEST HILLS COMMUNITY COLLEGE
SFID NO. 2
Assessed Valuation
Fiscal Year 2007-08 through Fiscal Year 2016-17**

Fiscal Year	Local Secured	Utility	Unsecured	Total
<u>Fresno County Portion</u>				
2007-08	\$1,398,461,749	\$2,726,483	\$112,793,357	\$1,513,981,589
2008-09	1,538,455,184	2,190,449	78,174,340	1,618,819,973
2009-10	1,815,945,803	2,190,449	78,700,363	1,896,836,615
2010-11	1,778,701,244	2,270,999	80,338,778	1,861,311,021
2011-12	1,986,187,119	2,024,285	84,752,237	2,072,963,641
2012-13	2,117,461,354	2,695,379	81,875,081	2,202,031,814
2013-14	2,245,864,882	2,695,379	83,299,996	2,331,860,257
2014-15	2,357,557,675	2,685,519	90,574,987	2,450,818,181
2015-16	2,050,274,819	3,571,080	90,407,351	2,144,253,250
2016-17	1,894,111,307	3,571,080	94,387,787	1,992,070,174
<u>Monterey County Portion</u>				
2007-08	\$5,450,628	\$0	\$10,130	\$5,460,758
2008-09	5,678,514	0	12,350	5,690,864
2009-10	5,785,566	0	35,250	5,820,816
2010-11	5,663,895	0	2,350	5,666,245
2011-12	6,654,184	0	3,080	6,657,264
2012-13	6,935,096	0	3,060	6,938,156
2013-14	7,065,479	0	3,010	7,068,489
2014-15	6,907,331	0	4,450	6,911,781
2015-16	7,459,733	0	4,310	7,464,043
2016-17	7,554,300	0	4,250	7,558,550
<u>San Benito County Portion</u>				
2007-08	\$887,009	\$0	\$0	\$887,009
2008-09	900,961	0	0	900,961
2009-10	912,833	0	0	912,823
2010-11	909,966	0	0	909,966
2011-12	915,003	0	0	915,003
2012-13	929,174	0	0	929,174
2013-14	969,351	0	0	969,351
2014-15	973,104	0	0	973,104
2015-16	1,011,716	0	0	1,011,716
2016-17	1,022,826	0	0	1,022,826
<u>Total SFID No. 2</u>				
2007-08	\$1,404,799,386	\$2,726,483	\$112,803,487	\$1,520,329,356
2008-09	1,545,034,389	2,190,449	78,186,690	1,625,411,528
2009-10	1,822,644,202	2,190,449	78,735,613	1,903,570,264
2010-11	1,785,275,105	2,270,999	80,341,128	1,867,887,232
2011-12	1,993,756,306	2,024,285	84,755,317	2,080,535,908
2012-13	2,125,325,624	2,695,379	81,878,141	2,209,899,144
2013-14	2,253,899,712	2,695,379	83,303,006	2,339,898,097
2014-15	2,365,438,110	2,685,519	90,579,437	2,458,703,066
2015-16	2,058,746,268	3,571,080	90,411,661	2,152,729,009
2016-17	1,902,688,433	3,571,080	94,392,037	2,000,651,550

Source: California Municipal Statistics, Inc.

SFID No. 3. Property within SFID NO. 3 has a net taxable assessed valuation for fiscal year 2016-17 of \$4,720,457,999. Shown in the following table are the assessed valuations for SFID No. 3 for the past ten years.

**WEST HILLS COMMUNITY COLLEGE
SFID NO. 3
Assessed Valuation
Fiscal Year 2007-08 through Fiscal Year 2016-17**

Fiscal Year	Local Secured	Utility	Total Before Unsecured	Rdv. Increment
<u>Fresno County Portion</u>				
2007-08	\$691,355,996	\$173,595	\$50,779,223	\$742,308,814
2008-09	705,116,969	709,629	52,907,490	758,734,088
2009-10	692,019,330	709,629	66,239,162	758,968,121
2010-11	686,968,968	709,629	70,921,165	758,599,762
2011-12	796,361,010	886,817	72,917,959	870,165,783
2012-13	838,882,014	215,723	80,979,040	920,076,777
2013-14	949,209,188	215,723	85,988,592	1,035,413,503
2014-15	1,001,234,037	215,723	81,480,597	1,082,930,357
2015-16	1,015,417,025	351,951	71,866,823	1,087,635,799
2016-17	1,100,033,049	351,951	72,603,179	1,172,988,179
<u>King County Portion</u>				
2007-08	\$2,425,347,802	\$69,151,446	\$109,114,879	\$2,603,614,127
2008-09	2,862,357,577	62,712,774	126,598,967	3,051,669,318
2009-10	2,786,797,577	61,290,746	112,603,112	2,960,691,435
2010-11	2,976,650,173	53,181,156	122,514,414	3,152,345,743
2011-12	3,018,314,927	46,189,055	128,254,751	3,192,758,733
2012-13	3,042,918,189	43,365,953	130,356,614	3,216,640,756
2013-14	3,073,214,774	38,494,743	136,052,657	3,247,762,174
2014-15	3,014,941,680	41,545,519	206,825,356	3,263,312,555
2015-16	3,209,924,927	41,640,903	127,327,468	3,378,893,298
2016-17	3,345,291,217	50,076,242	152,102,361	3,547,469,820
<u>Total SFID No. 3</u>				
2007-08	\$3,116,703,798	\$69,325,041	\$159,894,102	\$3,345,922,941
2008-09	3,567,474,546	63,422,403	179,506,457	3,810,403,406
2009-10	3,478,816,907	62,000,375	178,842,274	3,719,659,556
2010-11	3,663,619,141	53,890,785	193,435,579	3,910,945,505
2011-12	3,814,675,937	47,075,872	201,172,707	4,062,924,516
2012-13	3,881,800,203	43,581,676	211,335,654	4,136,717,533
2013-14	4,022,423,962	38,710,466	222,041,249	4,283,175,677
2014-15	4,016,175,717	41,761,242	288,305,953	4,346,242,912
2015-16	4,225,341,952	41,992,854	199,194,291	4,466,529,097
2016-17	4,445,324,266	50,428,193	224,705,540	4,720,457,999

Source: California Municipal Statistics, Inc.

Assessed Valuation and Parcels by Land Use

The District. The following table shows a breakdown of local secured property assessed value and parcels within the District by land use for fiscal year 2016-17. Non-residential properties account for 70.73% of the assessed valuation, and 48.93% of total parcels, with agricultural use accounting for 38.57% of assessed value and 40.36% of all parcels.

	2016-17 Assessed Valuation⁽¹⁾	% of Total	No. of Parcels	% of Total
Non-Residential:				
Agricultural	\$3,818,536,298	38.57%	16,977	40.36%
Commercial	683,397,836	6.90	1,202	2.86
Vacant Commercial	19,253,101	0.19	175	0.42
Industrial	1,925,101,862	19.44	1,161	2.76
Vacant Industrial	77,967,332	0.79	197	0.47
Recreational	43,679,700	0.44	78	0.19
Power Plant/Utility Roll	380,124,579	3.84	27	0.06
Government/Social/Institutional	28,134,622	0.28	355	0.84
Miscellaneous	26,237,701	0.27	182	0.43
Subtotal Non-Residential	\$7,002,433,031	70.73%	20,354	48.39%
Residential:				
Single Family Residence	\$2,082,576,033	21.03%	15,883	37.76%
Condominium/Townhouse	22,547,693	0.23	222	0.53
Rural Residential	279,999,611	2.83	1,889	4.49
Mobile Home	29,131,133	0.29	1,190	2.83
2+ Residential Units/Apartments	312,709,003	3.16	683	1.62
Vacant Residential	171,495,044	1.73	1,838	4.37
Subtotal Residential	\$2,898,458,517	29.27%	21,705	51.61%
Total	\$9,900,891,548	100.00%	42,059	100.00%

(1) Total Secured Assessed Valuation; excluding tax-exempt property.
Source: California Municipal Statistics, Inc.

SFID No. 2. The following table shows a breakdown of local secured property assessed value and parcels within SFID No. 2 by land use for fiscal year 2016-17. Non-residential properties account for 72.99% of the assessed valuation, and 54.95% of total parcels, with agricultural use accounting for 34.55% of assessed value and 45.32% of all parcels.

**WEST HILLS COMMUNITY COLLEGE
SFID NO. 2
2016-17 Assessed Valuation and Parcels by Land Use**

	2016-17 Assessed Valuation⁽¹⁾	% of Total	No. of Parcels	% of Total
Non-Residential:				
Agricultural	\$ 657,461,739	34.55%	4,415	45.32%
Commercial/Office	199,860,318	10.50	413	4.24
Industrial General	57,922,872	3.04	125	1.28
Oil & Gas/Mineral Rights	463,625,131	24.37	236	2.42
Government/Social/Institutional	2,184,577	0.11	39	0.40
Miscellaneous	7,806,873	0.41	125	1.28
Subtotal Non-Residential	\$1,388,861,510	72.99%	5,353	54.95%
Residential:				
Single Family Residence	\$397,874,567	20.91%	3,393	34.83%
Mobile Home/Mobile Home Park	2,822,780	0.15	181	1.86
2+ Residential Units/Apartments	91,688,017	4.82	262	2.69
Vacant Residential	21,441,559	1.13	553	5.68
Subtotal Residential	\$513,826,923	27.01%	4,389	45.05%
Total	\$1,902,688,433	100.00%	9,742	100.00%

(1) Total Secured Assessed Valuation; excluding tax-exempt property.
Source: California Municipal Statistics, Inc.

Approximately 24% of the assessed valuation in SFID No. 2 for fiscal year 2016-17 is derived from oil and gas properties. The assessed valuations of oil and gas properties are subject to fluctuation from year to year, in part to reflect current market conditions. See "APPENDIX B – General and Financial Information About the District – Constitutional and Statutory Provisions Affecting District Revenues and Appropriations – Oil and Gas Producing Properties" herein. The District cannot make any representation regarding the future price of oil, or what impact potential future declines may have on the value of taxable property within SFID No. 2, or to what extent such declines could cause disruptions to economic activity within the boundaries of SFID No. 2.

SFID No. 3. The following table shows a breakdown of local secured property assessed value and parcels within SFID No. 3 by land use for fiscal year 2016-17. Non-residential properties account for 59.0% of the assessed valuation, and 43.9% of total parcels, with agricultural use accounting for 30.34% of assessed value and 38.67% of all parcels.

**WEST HILLS COMMUNITY COLLEGE
SFID NO. 3
2016-17 Assessed Valuation and Parcels by Land Use**

	2016-17 Assessed Valuation⁽¹⁾	% of Total	No. of Parcels	% of Total
<u>Non-Residential:</u>				
Agricultural	\$1,364,135,867	30.34%	8,733	38.67%
Commercial	159,780,976	3.55	360	1.59
Vacant Commercial	11,050,196	0.25	23	0.10
Industrial/Food Processing/Oil & Gas	1,004,902,906	22.35	657	2.91
Vacant Industrial	12,002,726	0.27	10	0.04
Recreational	13,529,576	0.30	23	0.10
Power Plant/Utility Roll	50,428,193	1.12	14	0.06
Government/Social/Institutional	24,742,047	0.55	79	0.35
Miscellaneous	11,794,764	0.26	15	0.07
Subtotal Non-Residential	\$2,652,367,251	59.00%	9,914	43.90%
<u>Residential:</u>				
Single Family Residence	\$1,331,968,521	29.63%	8,882	39.33%
Condominium/Townhouse	16,944,597	0.38	156	0.69
Rural Residential	279,999,611	6.23	1,889	8.36
Mobile Home	17,003,105	0.38	788	3.49
2-4 Residential Units	11,513,325	0.26	102	0.45
5+ Residential Units/Apartments	164,088,533	3.65	141	0.62
Vacant Residential	21,867,516	0.49	711	3.15
Subtotal Residential	\$1,843,385,208	41.00%	12,669	56.10%
Total	\$4,495,752,459	100.00%	22,583	100.00%

(1) Total Secured Assessed Valuation; excluding tax-exempt property.
Source: California Municipal Statistics, Inc.

Assessed Valuation of Single Family Homes

The District. The following table sets forth the per parcel assessed valuation of single-family homes in the District in fiscal year 2016-17. The greatest number of single-family residential parcels have an assessed valuation in the range of \$75,000 to \$99,999.

	<u>No. of Parcels</u>	<u>2016-17 Assessed Valuation</u>	<u>Average Assessed Valuation</u>	<u>Median Assessed Valuation</u>
Single Family Residential	15,883	\$2,082,576,033	\$131,120	\$119,073

<u>2016-17 Assessed Valuation</u>	<u>No. of Parcels⁽¹⁾</u>	<u>% of Total</u>	<u>Cumulative % of Total</u>	<u>Total Valuation</u>	<u>% of Total</u>	<u>Cumulative % of Total</u>
\$0 - \$24,999	358	2.254%	2.254%	\$ 5,897,817	0.283%	0.283%
\$25,000 - \$49,999	1,318	8.298	10.552	51,225,803	2.460	2.743
\$50,000 - \$74,999	1,803	11.352	21.904	113,428,738	5.447	8.189
\$75,000 - \$99,999	2,586	16.282	38.185	226,272,997	10.865	19.055
\$100,000 - \$124,999	2,432	15.312	53.497	272,778,222	13.098	32.153
\$125,000 - \$149,999	1,807	11.377	64.874	248,074,675	11.912	44.065
\$150,000 - \$174,999	1,772	11.157	76.031	286,749,152	13.769	57.834
\$175,000 - \$199,999	1,241	7.813	83.844	231,404,807	11.111	68.945
\$200,000 - \$224,999	906	5.704	89.549	191,661,416	9.203	78.148
\$225,000 - \$249,999	649	4.086	93.635	153,187,344	7.356	85.504
\$250,000 - \$274,999	408	2.569	96.203	106,650,922	5.121	90.625
\$275,000 - \$299,999	255	1.605	97.809	72,910,445	3.501	94.126
\$300,000 - \$324,999	168	1.058	98.867	52,255,476	2.509	96.635
\$325,000 - \$349,999	59	0.371	99.238	19,836,047	0.952	97.587
\$350,000 - \$374,999	42	0.264	99.503	15,088,254	0.724	98.312
\$375,000 - \$399,999	31	0.195	99.698	11,983,360	0.575	98.887
\$400,000 - \$424,999	11	0.069	99.767	4,550,943	0.219	99.106
\$425,000 - \$449,999	12	0.076	99.843	5,194,649	0.249	99.355
\$450,000 - \$474,999	5	0.031	99.874	2,303,399	0.111	99.466
\$475,000 - \$499,999	5	0.031	99.906	2,433,557	0.117	99.583
\$500,000 and greater	15	0.094	100.000	8,688,010	0.417	100.000
Total	15,883	100.000%		\$2,082,576,033	100.000%	

(1) Improved single family residential parcels. Excludes condominiums and parcels with multiple family units.
Source: California Municipal Statistics, Inc.

SFID No. 2. The following table sets forth the per parcel assessed valuation of single-family homes in SFID No. 2 in fiscal year 2016-17. The greatest number of single-family residential parcels in SFID No. 2 have an assessed valuation in the range of \$75,000 to 99,999.

**WEST HILLS COMMUNITY COLLEGE
SFID NO. 2
2016-17 Per Parcel Assessed Valuation of Single Family Homes**

	No. of Parcels	2016-17 Assessed Valuation	Average Assessed Valuation	Median Assessed Valuation
Single Family Residential	3,393	\$397,874,567	\$117,263	\$109,766

2016-17 Assessed Valuation	No. of Parcels ⁽¹⁾	% of Total	Cumulative % of Total	Total Valuation	% of Total	Cumulative % of Total
\$0 - \$24,999	75	2.210%	2.210%	\$ 1,188,393	0.299%	0.299%
\$25,000 - \$49,999	316	9.313	11.524	12,349,095	3.104	3.402
\$50,000 - \$74,999	507	14.943	26.466	31,995,268	8.042	11.444
\$75,000 - \$99,999	600	17.683	44.150	52,260,649	13.135	24.579
\$100,000 - \$124,999	573	16.888	61.037	64,638,189	16.246	40.825
\$125,000 - \$149,999	418	12.319	73.357	57,385,523	14.423	55.248
\$150,000 - \$174,999	389	11.465	84.822	62,669,824	15.751	70.999
\$175,000 - \$199,999	223	6.572	91.394	41,363,083	10.396	81.395
\$200,000 - \$224,999	102	3.006	94.400	21,611,018	5.432	86.827
\$225,000 - \$249,999	54	1.592	95.992	12,862,309	3.233	90.059
\$250,000 - \$274,999	57	1.680	97.672	14,937,598	3.754	93.814
\$275,000 - \$299,999	46	1.356	99.027	13,159,287	3.307	97.121
\$300,000 - \$324,999	13	0.383	99.411	4,027,288	1.012	98.133
\$325,000 - \$349,999	6	0.177	99.587	2,000,123	0.503	98.636
\$350,000 - \$374,999	8	0.236	99.823	2,874,564	0.722	99.359
\$375,000 - \$399,999	3	0.088	99.912	1,143,809	0.287	99.646
\$400,000 - \$424,999	0	0.000	99.912	0	0.000	99.646
\$425,000 - \$449,999	1	0.029	99.941	427,810	0.108	99.754
\$450,000 - \$474,999	1	0.029	99.971	464,077	0.117	99.870
\$475,000 - \$499,999	0	0.000	99.971	0	0.000	99.870
\$500,000 and greater	1	0.029	100.000	516,660	0.130	100.000
Total	3,393	100.000%		\$397,874,567	100.000%	

(1) Improved single family residential parcels. Excludes condominiums and parcels with multiple family units.
Source: California Municipal Statistics, Inc.

SFID No. 3. The following table sets forth the per parcel assessed valuation of single-family homes in SFID No. 3 in fiscal year 2016-17. The greatest number of single-family residential parcels in SFID No. 3 have an assessed valuation in the range of \$150,000 to \$174,999.

**WEST HILLS COMMUNITY COLLEGE
SFID NO. 3
2016-17 Per Parcel Assessed Valuation of Single Family Homes**

	No. of Parcels	2016-17 Assessed Valuation	Average Assessed Valuation	Median Assessed Valuation
Single Family Residential	8,882	\$1,331,968,521	\$149,963	\$146,105

2016-17 Assessed Valuation	No. of Parcels ⁽¹⁾	% of Total	Cumulative % of Total	Total Valuation	% of Total	Cumulative % of Total
\$0 - \$24,999	185	2.083%	2.083%	\$ 3,047,091	0.229%	0.229%
\$25,000 - \$49,999	581	6.541	8.624	22,520,359	1.691	1.920
\$50,000 - \$74,999	794	8.939	17.564	49,645,755	3.727	5.647
\$75,000 - \$99,999	1,041	11.720	29.284	91,389,847	6.861	12.508
\$100,000 - \$124,999	993	11.180	40.464	111,952,466	8.405	20.913
\$125,000 - \$149,999	1,022	11.506	51.970	140,812,218	10.572	31.485
\$150,000 - \$174,999	1,153	12.981	64.952	186,989,423	14.039	45.523
\$175,000 - \$199,999	912	10.268	75.220	170,309,394	12.786	58.310
\$200,000 - \$224,999	762	8.579	83.799	161,221,807	12.104	70.414
\$225,000 - \$249,999	578	6.508	90.306	136,361,322	10.238	80.651
\$250,000 - \$274,999	343	3.862	94.168	89,633,408	6.729	87.381
\$275,000 - \$299,999	208	2.342	96.510	59,462,610	4.464	91.845
\$300,000 - \$324,999	155	1.745	98.255	48,228,188	3.621	95.468
\$325,000 - \$349,999	51	0.574	98.829	17,158,659	1.288	96.754
\$350,000 - \$374,999	34	0.383	99.212	12,213,690	0.917	97.871
\$375,000 - \$399,999	27	0.304	99.516	10,458,652	0.785	98.456
\$400,000 - \$424,999	11	0.124	99.640	4,550,943	0.342	98.798
\$425,000 - \$449,999	10	0.113	99.752	4,328,782	0.325	99.123
\$450,000 - \$474,999	4	0.045	99.797	1,839,322	0.138	99.261
\$475,000 - \$499,999	5	0.056	99.854	2,433,557	0.183	99.444
\$500,000 and greater	13	0.146	100.000	7,411,028	0.556	100.000
Total	8,882	100.000%		\$1,331,968,521	100.000%	

(1) Improved single family residential parcels. Excludes condominiums and parcels with multiple family units.
Source: California Municipal Statistics, Inc.

Appeals of Assessed Value

There are two types of appeals of assessed values that could adversely impact property tax revenues within the District.

Appeals may be based on Proposition 8 of November 1978, which requires that for each January 1 lien date, the taxable value of real property must be the lesser of its base year value, annually adjusted by the inflation factor pursuant to Article XIII A of the State Constitution, or its full cash value, taking into account reductions in value due to damage, destruction, depreciation, obsolescence, removal of property or other factors causing a decline in value. See Appendix B under the heading "CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS."

Under California law, property owners may apply for a reduction of their property tax assessment by filing a written application, in form prescribed by the State Board of Equalization, with the County board of equalization or assessment appeals board. In most cases, the appeal is filed because the applicant believes that present market conditions (such as residential home prices) cause the property to be worth less than its current assessed value. Proposition 8 reductions may also be unilaterally applied by a county assessor.

Any reduction in the assessment ultimately granted as a result of such appeal applies to the year for which application is made and during which the written application was filed. These reductions are subject to yearly reappraisals and are adjusted back to their original values when market conditions improve. Once the property has regained its prior value, adjusted for inflation, it once again is subject to the annual inflationary factor growth rate allowed under Article XIII A. See Appendix B under the heading "CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS."

A second type of assessment appeal involves a challenge to the base year value of an assessed property. Appeals for reduction in the base year value of an assessment, if successful, reduce the assessment for the year in which the appeal is taken and prospectively thereafter. The base year is determined by the completion date of new construction or the date of change of ownership. Any base year appeal must be made within four years of the change of ownership or new construction date.

Proposition 8 reductions may also be unilaterally applied by the County Assessor. The District cannot predict the changes in assessed values that might result from pending or future appeals by taxpayers or by reductions initiated by the County Assessor. Any reduction in aggregate District assessed valuation due to appeals, as with any reduction in assessed valuation due to other causes, will cause the tax rate levied to repay the Bonds to increase accordingly, so that the fixed debt service on the Bonds (and other outstanding general obligation bonds, if any) may be paid.

Alternative Method of Tax Apportionment - "Teeter Plan"

The Boards of Supervisors of Fresno County and San Benito County have adopted the Alternative Method of Distribution of Tax Levies and Collections and of Tax Sale Proceeds (the "Teeter Plan"), as provided for in Section 4701 *et seq.* of the California Revenue and Taxation Code.

Under the Teeter Plan, each entity levying property taxes in Fresno County and San Benito may draw on the amount of uncollected secured taxes credited to its fund, in the same manner as if the amount credited had been collected. The District participates in the Teeter Plan, and thus receives 100% of secured property taxes levied, but in exchange foregoes any interest and penalties collected by Fresno County and San Benito County on delinquent taxes. Currently, Fresno County and San Benito County include the District's general obligation bond levies in its Teeter Plan.

So long as the Teeter Plan remains in effect and Fresno County and San Benito County continue to include the District's general obligation bond levy in the Teeter Plan, the District's receipt of revenues with respect to the levy of *ad valorem* property taxes in Fresno County and San Benito County will not be dependent upon actual collections of the *ad valorem* property taxes by Fresno County and San Benito County (except as described in the following paragraph regarding the supplemental roll). However, under the statute creating the Teeter Plan, counties may, under certain circumstances, terminate the Teeter Plan in its entirety and, in addition, County Boards of Supervisors could terminate the Teeter Plan with respect to the District if the delinquency rate for all *ad valorem* property taxes levied within the District in any year exceeds 3%.

On July 15, 2008, the Fresno County Board of Supervisors adopted Resolution No. 08-322, which determined that, because the "...County of Fresno Supplemental Secured Property Tax Roll is now severely delinquent and, by such delinquency, impairs, impedes and disrupts the County of Fresno's general fund cash flow...", Fresno County discontinued the use of the Teeter Plan as it applies to the supplemental secured property tax rolls. Generally the supplemental secured tax roll represents properties which have been assessed based on a new base year value due to change in ownership or new construction, which as a result receives a supplemental secured property tax bill in addition to the annual secured property tax bill. As a result, in Fresno County, taxes appearing on the supplemental secured property tax roll are apportioned to the applicable taxing entities when received, and penalties and interest on such supplemental taxes are also paid to such taxing jurisdictions. To the extent *ad valorem* taxes are levied on the supplemental secured property tax bill, such levies will be subject to collection and delinquency rates. In the event that the Teeter Plan were terminated with regard to the regular secured tax roll, the amount of the levy of *ad valorem* property taxes in the Improvement District would also depend upon the collections of the *ad valorem* property taxes and delinquency rates experienced with respect to the parcels within the Improvement District. The District knows of no consideration by Fresno County to discontinue the Teeter Plan.

Kings County and Monterey County have not adopted the Teeter Plan, and as a result, secured property taxes collected are allocated to political subdivisions for which Kings County and Monterey County act as tax-levying or tax collecting agency when the secured property taxes are actually collected.

Property Tax Collections

SFID No. 2. The following table shows tax charges, collections and delinquencies for secured property in SFID No. 2.

WEST HILLS COMMUNITY COLLEGE SFID NO. 2 Secured Tax Charges and Delinquencies

<u>Year</u>	<u>Secured Tax Charge ⁽¹⁾</u>	<u>Amt. Del. June 30</u>	<u>% Del. June 30</u>
2010-11	\$20,181,407	\$349,145	1.73%
2011-12	22,548,951	298,620	1.32
2012-13	24,258,882	157,112	0.65
2013-14	26,141,955	159,445	0.61
2014-15	26,534,950	168,228	0.63

(1) All taxes collected within SFID No. 2's boundaries by Fresno County. Fiscal year 2015-16 is currently unavailable for SFID No. 2.

Source: California Municipal Statistics, Inc.

SFID No. 3. The following table shows tax charges, collections and delinquencies for secured property in SFID No. 3.

WEST HILLS COMMUNITY COLLEGE SFID NO. 3 Secured Tax Charges and Delinquencies

<u>Year</u>	<u>Secured Tax Charge ⁽¹⁾</u>	<u>Amt. Del. June 30</u>	<u>% Del. June 30</u>
2010-11	\$37,916	\$3,008	7.93%
2011-12	782,916	15,980	2.04
2012-13	557,309	9,852	1.77
2013-14	564,520	6,506	1.15
2014-15	494,804	9,037	1.83
2015-16	562,622	11,122	1.98

(1) Bond debt service levy only.

Source: California Municipal Statistics, Inc.

Largest Secured Property Taxpayers

The District. The twenty taxpayers in the District with the greatest combined assessed valuation of taxable property on the fiscal year 2016-17 tax roll, and the assessed valuations thereof, are shown below.

The more property (by assessed value) which is owned by a single taxpayer in the District, the greater amount of tax collections are exposed to weaknesses in the taxpayer's financial situation and ability or willingness to pay property taxes. Each taxpayer listed below is a unique name listed on the tax rolls. The District cannot determine from County assessment records whether individual persons, corporations or other organizations are liable for tax payments with respect to multiple properties held in various names that in aggregate may be larger than is suggested by the table below.

<u>Property Owner</u>	<u>Primary Land Use</u>	<u>2016-17 Assessed Valuation</u>	<u>% of Total ⁽¹⁾</u>
1. Leprino Foods Company	Food Processing	\$ 398,950,454	4.03%
2. Paramount Farms International LLC	Agricultural	284,716,545	2.88
3. Panoche Energy Center, LLC	Power Generation	253,062,000	2.56
4. Chevron USA Inc.	Oil & Gas Production	252,856,946	2.55
5. Sandridge Partners LP	Agricultural	110,287,340	1.11
6. Aera Energy LLC	Oil & Gas Production	110,276,832	1.11
7. Olam West Coast Inc.	Food Processing	102,795,512	1.04
8. California Resources Production Corp.	Oil & Gas Production	87,217,545	0.88
9. Toma-Tek Inc.	Food Processing	84,199,734	0.85
10. Akhavi LLC	Agricultural	80,573,148	0.81
11. Midway Peaking, LLC	Power Generation	70,300,000	0.71
12. Fresno Farming LLC	Agricultural	51,383,498	0.52
13. J.G. Boswell Co.	Food Processing	49,560,762	0.50
14. Vintage Production California LLC	Oil & Gas Production	47,719,769	0.48
15. Timothy R. Hall, Trustee	Agricultural	44,820,145	0.45
16. Christopher R. Woolf, Trustee	Agricultural	44,732,749	0.45
17. Eriksson LLC	Agricultural	39,335,470	0.40
18. Harris Farms Inc.	Agricultural	38,184,031	0.39
19. K&G Batth Family LP	Agricultural	34,739,215	0.35
20. Seneca Resources Corporation	Oil & Gas Production	33,688,000	0.34
		<u>\$2,219,399,695</u>	<u>22.42%</u>

⁽¹⁾ 2016-17 Local Secured Assessed Valuation of the District: \$9,900,891,548.

Source: *California Municipal Statistics, Inc.*

SFID No. 2. The twenty taxpayers in SFID No. 2 with the greatest combined assessed valuation of taxable property on the fiscal year 2016-17 tax roll, and the assessed valuations thereof, are shown below.

The more property (by assessed value) which is owned by a single taxpayer in the District, the greater amount of tax collections are exposed to weaknesses in the taxpayer's financial situation and ability or willingness to pay property taxes. Each taxpayer listed below is a unique name listed on the tax rolls. The District cannot determine from County assessment records whether individual persons, corporations or other organizations are liable for tax payments with respect to multiple properties held in various names that in aggregate may be larger than is suggested by the table below.

**WEST HILLS COMMUNITY COLLEGE
SFID No. 2
Largest Property Tax Payers
Fiscal Year 2016-17**

Property Owner	Primary Land Use	2016-17 Assessed Valuation	% of Total ⁽¹⁾
1. Chevron USA Inc.	Oil & Gas	\$246,510,810	12.96%
2. Aera Energy LLC	Oil & Gas	110,073,859	5.79
3. Vintage Production California LLC	Oil & Gas	47,719,769	2.51
4. Christopher R. Woolf, Trustee	Agricultural	42,790,281	2.25
5. Seneca Resources Corporation	Oil & Gas	33,688,000	1.77
6. Harris Farms Inc.	Agricultural	28,346,243	1.49
7. Los Gatos Tomato Products	Food Processing	19,241,600	1.01
8. Donald Devine	Agricultural	19,215,280	1.01
9. Rodney T. Stiefvater	Agricultural	18,741,549	0.99
10. Michael T. Woolf, Trustee	Agricultural	17,717,556	0.93
11. California Valley Land Co. Inc.	Agricultural	16,828,210	0.88
12. Le Moore Holdings II & III LLC	Agricultural	16,657,779	0.88
13. Masters Holdings LLC	Agricultural	16,138,148	0.85
14. Holmes Western Oil Corporation	Agricultural	16,081,700	0.85
15. Michael Dresick, Trustee	Agricultural	15,634,011	0.82
16. David E. Wood	Agricultural	15,203,496	0.80
17. Bryan Tahmazian, Trustee	Agricultural	13,926,243	0.73
18. Turk Station Pistachio LLC	Agricultural	12,944,527	0.68
19. Granite Construction Company	Industrial	12,596,665	0.66
20. Valley Garlic Inc.	Food Processing	11,809,941	0.62
		<u>\$731,865,667</u>	<u>38.46%</u>

⁽¹⁾ 2016-17 Local Secured Assessed Valuation of the SFID No. 2: \$1,902,688,433.
Source: California Municipal Statistics, Inc.

SFID No. 3. The twenty taxpayers in SFID No. 3 with the greatest combined assessed valuation of taxable property on the fiscal year 2016-17 tax roll, and the assessed valuations thereof, are shown below.

The more property (by assessed value) which is owned by a single taxpayer in the District, the greater amount of tax collections are exposed to weaknesses in the taxpayer's financial situation and ability or willingness to pay property taxes. Each taxpayer listed below is a unique name listed on the tax rolls. The District cannot determine from County assessment records whether individual persons, corporations or other organizations are liable for tax payments with respect to multiple properties held in various names that in aggregate may be larger than is suggested by the table below.

**WEST HILLS COMMUNITY COLLEGE
SFID No. 3
Largest Property Tax Payers
Fiscal Year 2016-17**

<u>Property Owner</u>	<u>Primary Land Use</u>	<u>2016-17 Assessed Valuation</u>	<u>% of Total ⁽¹⁾</u>
1. Leprino Foods Company	Food Processing	\$ 398,484,713	8.86%
2. Sandridge Partners LP	Agricultural	110,287,340	2.45
3. California Resources Production Corp.	Oil & Gas Production	87,217,545	1.94
4. Olam West Coast Inc.	Food Processing	80,282,651	1.79
5. Akhavi LLC	Agricultural	65,430,047	1.46
6. J.G. Boswell Co.	Food Processing	49,560,762	1.10
7. AltaGas San Joaquin Energy Inc.	Power Plant	47,800,000	1.06
8. Eriksson LLC	Agricultural	39,335,470	0.87
9. K&G Batth Family LP	Agricultural	34,739,215	0.77
10. Fresno Farming LLC	Agricultural	31,850,088	0.71
11. Westlake Farms Inc.	Agricultural	30,857,960	0.69
12. Linda Vista Farms	Agricultural	27,871,640	0.62
13. Wonderful Nut Orchards LLC	Agricultural	24,916,629	0.55
14. Maddox Dairy	Agricultural	24,220,878	0.54
15. Westlake One Trust	Agricultural	22,950,576	0.51
16. Edward M. and Susan A. Coelho	Agricultural	21,862,913	0.49
17. FX Kettleman City CA Landlord LLC	Warehouse	19,280,102	0.43
18. Casaca Vineyards	Agricultural	18,087,574	0.40
19. Waste Management Holdings Inc.	Landfill	17,497,761	0.39
20. John C. Harris	Agricultural	17,284,861	0.38
		<u>\$1,169,818,725</u>	<u>26.02%</u>

⁽¹⁾ 2016-17 Local Secured Assessed Valuation of the SFID No. 3: \$4,720,457,999.
Source: California Municipal Statistics, Inc.

Overlapping Debt Obligations

The District. Set forth below is a direct and overlapping debt report (the "**District Debt Report**") prepared by California Municipal Statistics, Inc. for debt issued in the District as of November 1, 2016. The District Debt Report is included for general information purposes only. The District has not reviewed the Debt Report for completeness or accuracy and makes no representation in connection therewith.

The District Debt Report generally includes long-term obligations sold in the public credit markets by public agencies whose boundaries overlap the boundaries of the District in whole or in part. Such long-term obligations generally are not payable from revenues of the District (except as indicated) nor are they necessarily obligations secured by land within the District. In many cases, long-term obligations issued by a public agency are payable only from the general fund or other revenues of such public agency.

2016-17 Assessed Valuation: \$10,413,812,536

<u>DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT:</u>	<u>% Applicable</u>	<u>Debt 11/1/16</u>
West Hills Community College District	100.000%	\$15,565,000(1)
West Hills Community College District SFID No. 1	100.000	11,290,820
West Hills Community College District SFID No. 2	100.000	10,831,315
West Hills Community College District SFID No. 3	100.000	30,145,626
Coalinga/Huron Joint Unified School District	100.000	19,495,541
Firebaugh-Las Deltas Joint Unified School District	100.000	3,322,318
Golden Plains Unified School District	100.000	6,460,000
Mendota Unified School District	100.000	25,618,620
Reef Sunset Unified School District	100.000	10,012,784
Other Unified School Districts	36.396 -100.000	2,071,475
Lemoore Union High School District	100.000	1,989,604
Westside Union School District	100.000	105,000
Corcoran Hospital District	21.639	2,847,569
1915 Act Bonds (Estimate)	100.000	516,149
TOTAL DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT		\$140,271,821
 <u>OVERLAPPING GENERAL FUND DEBT:</u>		
Fresno County General Fund and Pension Obligation Bonds	8.983%	\$34,034,140
Other County General Fund and Pension Obligation Bonds	Various	7,318,009
Coalinga/Huron Joint Unified School District Certificates of Participation	100.000	6,240,000
Firebaugh-Las Deltas Unified School District Certificates of Participation	100.000	4,455,000
Reef-Sunset Unified School District Certificates of Participation	100.000	6,422,000
Lemoore Union High School District Certificates of Participation	100.000	1,130,000
City General Fund Obligations	100.000	493,077
Coalinga Regional Medical Center General Fund Obligations	100.000	4,575,000
TOTAL OVERLAPPING GENERAL FUND DEBT		\$64,667,226
 <u>OVERLAPPING TAX INCREMENT DEBT (Successor Agencies):</u>		\$61,921,006
 COMBINED TOTAL DEBT		\$266,860,053 (2)

Ratios to 2016-17 Assessed Valuation:

Direct Debt (\$15,565,000)	0.15%
Direct and Overlapping Tax and Assessment Debt	1.35%
Combined Total Debt	2.56%

Ratios to Redevelopment Incremental Valuation (\$1,800,123,522):

Total Overlapping Tax Increment Debt	3.44%
--	-------

(1) Excludes the Series A Bonds and the Series B Bonds offered for sale hereunder.

(2) Excludes tax and revenue anticipation notes, enterprise revenue, mortgage revenue and non-bonded capital lease obligations.

Source: California Municipal Statistics, Inc.

SFID No. 2. Set forth below is a direct and overlapping debt report (the "**SFID No. 2 Debt Report**") prepared by California Municipal Statistics, Inc. for debt issued in SFID No. 2 as of October 1, 2016. The SFID No. 2 Debt Report is included for general information purposes only. The District has not reviewed the SFID No. 2 Debt Report for completeness or accuracy and makes no representation in connection therewith.

The SFID No. 2 Debt Report generally includes long-term obligations sold in the public credit markets by public agencies whose boundaries overlap the boundaries of SFID No. 2 in whole or in part. Such long-term obligations generally are not payable from revenues of SFID No. 2 (except as indicated) nor are they necessarily obligations secured by land within SFID No. 2. In many cases, long-term obligations issued by a public agency are payable only from the general fund or other revenues of such public agency.

WEST HILLS COMMUNITY COLLEGE DISTRICT
SFID NO. 2
Statement of Direct and Overlapping Bonded Debt
Dated as of October 1, 2016

2016-17 Assessed Valuation: \$2,000,651,550

<u>DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT:</u>	<u>% Applicable</u>	<u>Debt 10/1/16</u>
West Hills Community College District	21.358%	\$ 3,324,373
West Hills Community College District School Facilities Improvement District No. 2 (Coalinga Area)	100.000	10,831,315 (1)
Coalinga-Huron Joint Unified School District	100.000	19,495,541
TOTAL DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT		\$33,651,229
<u>OVERLAPPING GENERAL FUND DEBT:</u>		
Fresno County General Fund and Pension Obligation Bonds	3.171%	\$12,014,055
Monterey County General Fund Bonds	0.013	25,953
Monterey County Office of Education Certificates of Participation	0.013	215
Coalinga-Huron Joint Unified School District Certificates of Participation	100.000	6,240,000
Coalinga Regional Medical Center General Fund Obligations	99.466	4,550,570
TOTAL OVERLAPPING GENERAL FUND DEBT		\$22,830,793
<u>OVERLAPPING TAX INCREMENT DEBT (Successor Agencies):</u>		\$12,814,942
COMBINED TOTAL DEBT		\$69,296,964 (2)

Ratios to 2016-17 Assessed Valuation:

Direct Debt (\$10,831,315)	0.54%
Total Direct and Overlapping Tax and Assessment Debt	1.68%
Combined Total Debt	3.46%

Ratios to Redevelopment Incremental Valuation (\$326,531,802):

Total Overlapping Tax Increment Debt	3.92
--	------

(1) Excludes the Series A Bonds offered for sale hereunder. Includes Refunded SFID No. 2 Bonds.

(2) Excludes tax and revenue anticipation notes, enterprise revenue, mortgage revenue and non-bonded capital lease obligations.

Source: California Municipal Statistics, Inc.

SFID No. 3. Set forth below is a direct and overlapping debt report (the "**SFID No. 3 Debt Report**") prepared by California Municipal Statistics, Inc. for debt issued in SFID No. 3 as of October 1, 2016. The SFID No. 3 Debt Report is included for general information purposes only. The District has not reviewed the SFID No. 3 Debt Report for completeness or accuracy and makes no representation in connection therewith.

The SFID No. 3 Debt Report generally includes long-term obligations sold in the public credit markets by public agencies whose boundaries overlap the boundaries of SFID No. 3 in whole or in part. Such long-term obligations generally are not payable from revenues of SFID No. 3 (except as indicated) nor are they necessarily obligations secured by land within SFID No. 3. In many cases, long-term obligations issued by a public agency are payable only from the general fund or other revenues of such public agency.

WEST HILLS COMMUNITY COLLEGE DISTRICT
SFID NO. 3
Statement of Direct and Overlapping Bonded Debt
Dated as of October 1, 2016

2016-17 Assessed Valuation: \$4,720,457,999

<u>DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT:</u>	<u>% Applicable</u>	<u>Debt 10/1/16</u>
West Hills Community College District	45.329%	\$ 7,055,459
West Hills Community College District School Facilities		
Improvement District No. 3 (Lemoore Area)	100.000	30,145,626 (1)
Reef-Sunset Unified School District	100.000	10,012,784
Riverdale Joint Unified School District	100.000	1,228,411
Lemoore Union High School District	100.000	1,989,604
Westside School District	100.000	105,000
Corcoran Hospital District	21.639	2,847,569
TOTAL DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT		\$53,384,453
<u>OVERLAPPING GENERAL FUND DEBT:</u>		
Fresno County General Fund and Pension Obligation Bonds	1.655%	\$ 6,270,344
Kings County General Fund Obligations	35.209	4,033,191
Kings County Pension Obligation Bonds	35.209	2,245,776
Reef-Sunset Unified School District Certificates of Participation	100.000	6,422,000
Lemoore Union High School District Certificates of Participation	100.000	1,130,000
Coalinga Regional Medical Center Certificates of Participation	0.656	30,012
TOTAL OVERLAPPING GENERAL FUND DEBT		\$20,131,323
<u>OVERLAPPING TAX INCREMENT DEBT (Successor Agencies):</u>		\$36,371,064
COMBINED TOTAL DEBT		\$109,886,840 (2)

Ratios to 2016-17 Assessed Valuation:

Direct Debt (\$30,145,626) 0.64%
 Total Direct and Overlapping Tax and Assessment Debt 1.13%
 Combined Total Debt 2.33%

Ratio to Redevelopment Incremental Valuation (Successor Agencies) (\$1,153,841,509):

Total Overlapping Tax Increment Debt 3.15%

(1) Excludes the Series B Bonds offered for sale hereunder. Includes Refunded SFID No. 3 Bonds.

(2) Excludes tax and revenue anticipation notes, enterprise revenue, mortgage revenue and non-bonded capital lease obligations.

Source: California Municipal Statistics, Inc.

BOND INSURANCE

Bond Insurance Policy

Concurrently with the issuance of the Bonds, Assured Guaranty Municipal Corp. (“**AGM**”) will issue its Municipal Bond Insurance Policy for the Bonds (the “**Policy**”). The Policy guarantees the scheduled payment of principal of and interest on the Bonds when due as set forth in the form of the Policy included as an exhibit to this Official Statement.

The Policy is not covered by any insurance security or guaranty fund established under New York, California, Connecticut or Florida insurance law.

Assured Guaranty Municipal Corp.

AGM is a New York domiciled financial guaranty insurance company and an indirect subsidiary of Assured Guaranty Ltd. (“**AGL**”), a Bermuda-based holding company whose shares are publicly traded and are listed on the New York Stock Exchange under the symbol “AGO”. AGL, through its operating subsidiaries, provides credit enhancement products to the U.S. and global public finance, infrastructure and structured finance markets. Neither AGL nor any of its shareholders or affiliates, other than AGM, is obligated to pay any debts of AGM or any claims under any insurance policy issued by AGM.

AGM’s financial strength is rated “AA” (stable outlook) by S&P Global Ratings, a business unit of Standard & Poor’s Financial Services LLC (“**S&P**”), “AA+” (stable outlook) by Kroll Bond Rating Agency, Inc. (“**KBRA**”) and “A2” (stable outlook) by Moody’s Investors Service, Inc. (“**Moody’s**”). Each rating of AGM should be evaluated independently. An explanation of the significance of the above ratings may be obtained from the applicable rating agency. The above ratings are not recommendations to buy, sell or hold any security, and such ratings are subject to revision or withdrawal at any time by the rating agencies, including withdrawal initiated at the request of AGM in its sole discretion. In addition, the rating agencies may at any time change AGM’s long-term rating outlooks or place such ratings on a watch list for possible downgrade in the near term. Any downward revision or withdrawal of any of the above ratings, the assignment of a negative outlook to such ratings or the placement of such ratings on a negative watch list may have an adverse effect on the market price of any security guaranteed by AGM. AGM only guarantees scheduled principal and scheduled interest payments payable by the issuer of bonds insured by AGM on the date(s) when such amounts were initially scheduled to become due and payable (subject to and in accordance with the terms of the relevant insurance policy), and does not guarantee the market price or liquidity of the securities it insures, nor does it guarantee that the ratings on such securities will not be revised or withdrawn.

Current Financial Strength Ratings

On July 27, 2016, S&P issued a credit rating report in which it affirmed AGM’s financial strength rating of “AA” (stable outlook). AGM can give no assurance as to any further ratings action that S&P may take.

On August 8, 2016, Moody’s published a credit opinion affirming its existing insurance financial strength rating of “A2” (stable outlook) on AGM. AGM can give no assurance as to any further ratings action that Moody’s may take.

On December 10, 2015, KBRA issued a financial guaranty surveillance report in which it affirmed AGM's insurance financial strength rating of "AA+" (stable outlook). AGM can give no assurance as to any further ratings action that KBRA may take.

For more information regarding AGM's financial strength ratings and the risks relating thereto, see AGL's Annual Report on Form 10-K for the fiscal year ended December 31, 2015.

Capitalization of AGM

At September 30, 2016, AGM's policyholders' surplus and contingency reserve were approximately \$3,891 million and its net unearned premium reserve was approximately \$1,378 million. Such amounts represent the combined surplus, contingency reserve and net unearned premium reserve of AGM, AGM's wholly owned subsidiary Assured Guaranty (Europe) Ltd. and 60.7% of AGM's indirect subsidiary Municipal Assurance Corp.; each amount of surplus, contingency reserve and net unearned premium reserve for each company was determined in accordance with statutory accounting principles.

Incorporation of Certain Documents by Reference

Portions of the following documents filed by AGL with the Securities and Exchange Commission (the "SEC") that relate to AGM are incorporated by reference into this Official Statement and shall be deemed to be a part hereof:

- (i) the Annual Report on Form 10-K for the fiscal year ended December 31, 2015 (filed by AGL with the SEC on February 26, 2016);
- (ii) the Quarterly Report on Form 10-Q for the quarterly period ended March 31, 2016 (filed by AGL with the SEC on May 5, 2016);
- (iii) the Quarterly Report on Form 10-Q for the quarterly period ended June 30, 2016 (filed by AGL with the SEC on August 4, 2016); and
- (iv) the Quarterly Report on Form 10-Q for the quarterly period ended September 30, 2016 (filed by AGL with the SEC on November 4, 2016).

All consolidated financial statements of AGM and all other information relating to AGM included in, or as exhibits to, documents filed by AGL with the SEC pursuant to Section 13(a) or 15(d) of the Securities Exchange Act of 1934, as amended, excluding Current Reports or portions thereof "furnished" under Item 2.02 or Item 7.01 of Form 8-K, after the filing of the last document referred to above and before the termination of the offering of the Bonds shall be deemed incorporated by reference into this Official Statement and to be a part hereof from the respective dates of filing such documents. Copies of materials incorporated by reference are available over the internet at the SEC's website at <http://www.sec.gov>, at AGL's website at <http://www.assuredguaranty.com>, or will be provided upon request to Assured Guaranty Municipal Corp.: 1633 Broadway, New York, New York 10019, Attention: Communications Department (telephone (212) 974-0100). Except for the information referred to above, no information available on or through AGL's website shall be deemed to be part of or incorporated in this Official Statement.

Any information regarding AGM included herein under the caption "BOND INSURANCE – Assured Guaranty Municipal Corp." or included in a document incorporated by reference herein (collectively, the "**AGM Information**") shall be modified or superseded to the extent that any

subsequently included AGM Information (either directly or through incorporation by reference) modifies or supersedes such previously included AGM Information. Any AGM Information so modified or superseded shall not constitute a part of this Official Statement, except as so modified or superseded.

Miscellaneous Matters

AGM makes no representation regarding the Bonds or the advisability of investing in the Bonds. In addition, AGM has not independently verified, makes no representation regarding, and does not accept any responsibility for the accuracy or completeness of this Official Statement or any information or disclosure contained herein, or omitted herefrom, other than with respect to the accuracy of the information regarding AGM supplied by AGM and presented under the heading "BOND INSURANCE".

VERIFICATION OF MATHEMATICAL ACCURACY

The Verification Agent, upon delivery of the Bonds, will deliver a report of the mathematical accuracy of certain computations, contained in schedules provided to them on behalf of the District, relating to (a) the sufficiency of the anticipated amount of proceeds of the Bonds and other funds available to pay, when due, the principal, whether at maturity or upon prior redemption, interest and redemption premium requirements of the Refunded Bonds and (b) the "yields" on the amount of proceeds held and invested prior to redemption of the Refunded Bonds and on the Bonds considered by Bond Counsel in connection with the opinion rendered by Bond Counsel that the Bonds are not "arbitrage bonds" within the meaning of Section 148 of the Internal Revenue Code of 1986, as amended.

The report of the Verification Agent will include the statement that the scope of their engagement is limited to verifying mathematical accuracy, of the computations contained in such schedules provided to them, and that they have no obligation to update their report because of events occurring, or data or information coming to their attention, subsequent to the date of their report.

TAX MATTERS

Federal Tax Status. In the opinion of Jones Hall, A Professional Law Corporation, San Francisco, California, Bond Counsel, subject, however to the qualifications set forth below, under existing law, the interest on the Bonds is excluded from gross income for federal income tax purposes and such interest is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations, although, for the purpose of computing the alternative minimum tax imposed on certain corporations, such interest is taken into account in determining certain income and earnings.

The opinions set forth in the preceding paragraph are subject to the condition that the District comply with all requirements of the Code that must be satisfied subsequent to the issuance of the Bonds in order that such interest be, or continue to be, excluded from gross income for federal income tax purposes. The District has covenanted to comply with each such requirement. Failure to comply with certain of such requirements may cause the inclusion of such interest in gross income for federal income tax purposes to be retroactive to the date of issuance of the Bonds.

Tax Treatment of Original Issue Discount and Premium. If the initial offering price to the public (excluding bond houses and brokers) at which a Bond is sold is less than the amount payable at maturity thereof, then such difference constitutes “original issue discount” for purposes of federal income taxes and State of California personal income taxes. If the initial offering price to the public (excluding bond houses and brokers) at which each Bond is sold is greater than the amount payable at maturity thereof, then such difference constitutes “original issue premium” for purposes of federal income taxes and State of California personal income taxes. De minimis original issue discount is disregarded.

Under the Code, original issue discount is treated as interest excluded from federal gross income and exempt from State of California personal income taxes to the extent properly allocable to each owner thereof subject to the limitations described in the first paragraph of this section. The original issue discount accrues over the term to maturity of the Bond on the basis of a constant interest rate compounded on each interest or principal payment date (with straight-line interpolations between compounding dates). The amount of original issue discount accruing during each period is added to the adjusted basis of such Bonds to determine taxable gain upon disposition (including sale, redemption, or payment on maturity) of such Bond. The Code contains certain provisions relating to the accrual of original issue discount in the case of purchasers of the Bonds who purchase the Bonds after the initial offering of a substantial amount of such maturity. Owners of such Bonds should consult their own tax advisors with respect to the tax consequences of ownership of Bonds with original issue discount, including the treatment of purchasers who do not purchase in the original offering, the allowance of a deduction for any loss on a sale or other disposition, and the treatment of accrued original issue discount on such Bonds under federal individual and corporate alternative minimum taxes.

Under the Code, original issue premium is amortized on an annual basis over the term of the Bond (said term being the shorter of the Bond’s maturity date or its call date). The amount of original issue premium amortized each year reduces the adjusted basis of the owner of the Bond for purposes of determining taxable gain or loss upon disposition. The amount of original issue premium on a Bond is amortized each year over the term to maturity of the Bond on the basis of a constant interest rate compounded on each interest or principal payment date (with straight-line interpolations between compounding dates). Amortized Bond premium is not deductible for federal income tax purposes. Owners of Premium Bonds, including purchasers who do not purchase in the original offering, should consult their own tax advisors with respect to State of California personal income tax and federal income tax consequences of owning such Bonds.

California Tax Status. In the further opinion of Bond Counsel, interest on the Bonds is exempt from California personal income taxes.

Owners of the Bonds should also be aware that the ownership or disposition of, or the accrual or receipt of interest on, the Bonds may have federal or state tax consequences other than as described above. Bond Counsel expresses no opinion regarding any federal or state tax consequences arising with respect to the Bonds other than as expressly described above.

CONTINUING DISCLOSURE

The District has covenanted for the benefit of holders and beneficial owners of the Bonds to provide certain financial information and operating data relating to the District by not later than nine (9) months following the end of the District's fiscal year (which currently would be by March 31 each year based upon the June 30 end of the District's fiscal year), commencing March 31, 2017, with the report for the 2015-16 Fiscal Year (the "**Annual Report**"), and to provide notices of the occurrence of certain enumerated events. The Annual Report will be filed by the District with the Municipal Securities Rulemaking Board. The notices of enumerated events will be filed by the District with the Municipal Securities Rulemaking Board. The specific nature of the information to be contained in an Annual Report or the notices of material events is set forth below under the caption "APPENDIX E - Form of Continuing Disclosure Certificate." These covenants have been made in order to assist the Underwriter in complying with S.E.C. Rule 15c2-12(b)(5).

The District has made undertakings pursuant to the Rule in connection with the delivery of prior general obligation bonds and general obligation refunding bonds. Specific instances of non-compliance with such undertakings in the previous five years include the failure to: (i) timely file the District's adopted budget for fiscal year 2010-11, (ii) file certain required operating data for fiscal year 2010-11 and (iii) the failure to timely file certain rating underlying and insured change notices. Failure to file notices were not filed with respect to the above instances of non-compliance. Identification of such instances of non-compliance does not constitute a representation that such non-compliance was material.

The District has engaged Dale Scott & Company to act as dissemination agent with respect to each of its undertakings, including its undertaking in connection with the Bonds, in order to ensure that all future filings are timely and complete.

None of the counties in which the District is located nor any other entity other than the District shall have any obligation or incur any liability whatsoever with respect to the performance of the District's duties regarding continuing disclosure.

CERTAIN LEGAL MATTERS

Absence of Material Litigation

No litigation is pending or threatened concerning the validity of the Bonds, and a certificate to that effect will be furnished to purchasers at the time of the original delivery of the Bonds. The District is not aware of any litigation pending or threatened that (i) questions the political existence of the District, (ii) contests the District's ability to receive ad valorem taxes or to collect other revenues or (iii) contests the District's ability to issue and retire the Bonds.

Legal Opinion

The proceedings in connection with the issuance of the Bonds are subject to the approval as to their legality of Bond Counsel. The opinion of Bond Counsel with respect to the Bonds will be delivered in substantially the forms attached hereto as Appendix D. Certain legal matters will also be passed upon for the District by Disclosure Counsel. The fees of Bond Counsel and Disclosure Counsel are contingent upon the issuance and delivery of the Bonds.

RATINGS

S&P Global Ratings, a business unit of Standard & Poor's Financial Services LLC ("**S&P**") has assigned a rating of "AA" to the Bonds, based on the understanding that the Bond Insurer will deliver its Bond Insurance Policy with respect to the Bonds upon delivery. See "BOND INSURANCE."

In addition, S&P has assigned an underlying rating of "A+" to the Bonds. Such ratings reflect only the view of S&P, and any desired explanation of the significance of such ratings should be obtained from S&P. Generally, a rating agency bases its ratings on the information and materials furnished to it and on investigations, studies and assumptions of its own. There is no assurance such ratings will continue for any given period of time or that such ratings will not be revised downward or withdrawn entirely by the rating agency, if in the judgment of S&P circumstances so warrant. Any such downward revision or withdrawal of any such ratings may have an adverse effect on the market price of the Bonds. The District assumes no obligation to attempt to maintain any ratings on the Bonds.

UNDERWRITING

The Bonds are being purchased by Wells Fargo Bank, National Association (the "**Underwriter**").

Series A Bonds. The Underwriter has agreed to purchase the Series A Bonds at a price of \$2,392,273.38 (representing the aggregate principal amount of the Series A Bonds (\$2,195,000), plus net original issue premium (\$206,461.70), less an Underwriter's discount of \$9,188.32).

Series B Bonds. The Underwriter has agreed to purchase the Series B Bonds at a price of \$14,920,323.82 (representing the aggregate principal amount of the Series B Bonds (\$14,455,000), plus net original issue premium (\$504,895.50), less an Underwriter's discount of \$39,571.68).

The Bond Purchase Agreements pursuant to which the Underwriter has agreed to purchase the Bonds provides that the Underwriter will purchase all of the Bonds if any are purchased, the obligation to make such purchase being subject to certain terms and conditions set forth in each Bond Purchase Agreement, including the approval of certain legal matters by counsel and certain other conditions. The Underwriter intends to offer the Bonds to the public at the offering prices set forth on the cover page of this Official Statement. The Underwriter may offer and sell to certain dealers and others at a price lower than the offering prices stated on the cover page hereof. The offering price may be changed from time to time by the Underwriter.

Wells Fargo Securities is the trade name for certain securities-related capital markets and investment banking services of Wells Fargo & Company and its subsidiaries, including Wells Fargo Bank, National Association, which conducts its municipal securities sales, trading and underwriting operations through the Wells Fargo Bank, NA Municipal Products Group, a separately identifiable department of Wells Fargo Bank, National Association, registered with the Securities and Exchange Commission as a municipal securities dealer pursuant to Section 15B(a) of the Securities Exchange Act of 1934.

Wells Fargo Bank, National Association, acting through its Municipal Products Group (“WFBNA”), the sole underwriter of the Bonds, has entered into an agreement (the “**WFA Distribution Agreement**”) with its affiliate, Wells Fargo Advisors, LLC (“WFA”), for the distribution of certain municipal securities offerings, including the Bonds. Pursuant to the WFA Distribution Agreement, WFBNA will share a portion of its underwriting or remarketing agent compensation, as applicable, with respect to the Bonds with WFA. WFBNA has also entered into an agreement (the “**WFSLLC Distribution Agreement**”) with its affiliate Wells Fargo Securities, LLC (“WFSLLC”), for the distribution of municipal securities offerings, including the Bonds. Pursuant to the WFSLLC Distribution Agreement, WFBNA pays a portion of WFSLLC’s expenses based on its municipal securities transactions. WFBNA, WFSLLC, and WFA are each wholly-owned subsidiaries of Wells Fargo & Company.

ADDITIONAL INFORMATION

The reference herein to the Resolutions of the District and the Continuing Disclosure Certificate are brief outlines of certain provisions thereof. Such outlines do not purport to be complete and for full and complete statements of such provisions reference is made to said documents. Copies of the documents mentioned under this heading are available from the Underwriter and following delivery of the Bonds will be on file at the offices of the Paying Agent in Los Angeles, California.

References are also made herein to certain documents and reports relating to the District; such references are brief summaries and do not purport to be complete or definitive. Copies of such documents are available from upon written request to the District.

Any statements in this Official Statement involving matters of opinion, whether or not expressly so stated, are intended as such and not as representations of fact. This Official Statement is not to be construed as a contract or agreement between the District and the purchasers or Owners of any of the Bonds.

EXECUTION

The execution and delivery of this Official Statement have been duly authorized by the District.

WEST HILLS COMMUNITY COLLEGE
DISTRICT

By: /s/ Dr. Frank P. Gornick
Chancellor

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APPENDIX A

AUDITED FINANCIAL STATEMENTS OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2015

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**WEST HILLS COMMUNITY
COLLEGE DISTRICT**

ANNUAL FINANCIAL REPORT

JUNE 30, 2015

WEST HILLS COMMUNITY COLLEGE DISTRICT

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FINANCIAL SECTION



INDEPENDENT AUDITOR'S REPORT

Board of Trustees
West Hills Community College District
Coalinga, California

Report on the Financial Statements

We have audited the accompanying financial statements of the business-type activities, the aggregate discretely presented component unit (West Hills Community College Foundation), and the aggregate remaining fund information of West Hills Community College District (the District) as of and for the year ended June 30, 2015, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the Table of Contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatements, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the District's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the business-type activities, the aggregate discretely presented component unit, and the aggregate remaining fund information of the District as of June 30, 2015, and the respective changes in financial position and cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Emphasis of Matter - Change in Accounting Principles

As discussed in Note 1 to the financial statements, in 2015, the District adopted new accounting guidance, GASB Statement No. 68, *Accounting and Financial Reporting for Pensions* and GASB Statement No. 71, *Pension Transition for Contributions Made Subsequent to the Measurement Date*. Our opinion is not modified with respect to this matter.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require the Management's Discussion and Analysis on pages 5 through 12, the Schedule of Other Postemployment Benefits (OPEB) Funding Progress on page 66, the Schedule of the District's Proportionate Share of the Net Pension Liability on page 67, and the Schedule of District Contributions on page 68 be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the District's basic financial statements. The accompanying supplementary information listed in the Table of Contents, including the Schedule of Expenditures of Federal Awards, as required by U.S. Office of Management and Budget (OMB) Circular A-133, *Audits of States, Local Governments, and Non-Profit Organizations*, is presented for purposes of additional analysis and is not a required part of the basic financial statements.

The accompanying supplementary information, including the Schedule of Expenditures of Federal Awards, is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the accompanying supplementary information is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

The additional supplementary information on pages 96 through 102 has been presented at the request of District management for purposes of additional analysis. We have applied certain limited procedures to the additional supplementary information which consisted of inquires of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries. We do not express an opinion or provide any assurance on this information because of the limited procedures do not provide us with significant evidence to express an opinion or provide any assurance.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated December 29, 2015, on our consideration of the District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, grant agreements, and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control over financial reporting and compliance.

Vannink, Trine, Day & Co, LLP

Fresno, California
December 29, 2015



WEST HILLS

COMMUNITY COLLEGE DISTRICT

West Hills College Coalinga West Hills College Lemoore North District Center, Firebaugh Naval Air Station, Lemoore

MANAGEMENT'S DISCUSSION AND ANALYSIS

In June 1999, the Government Accounting Standards Board (GASB) issued Statement No. 34, *"Basic Financial Statements and Management's Discussion and Analysis for State and Local Governments,"* which established a new reporting format for annual financial statements of governmental entities. In November 1999, GASB issued Statement No. 35, *"Basic Financial Statements and Management's Discussion and Analysis for Public Colleges and Universities,"* which applies these new reporting standards to public colleges and universities such as the West Hills Community College District (the District). The following discussion and analysis provides an overview of the District's financial activity. This report presents this information in a comparative format. Responsibility for the completeness and fairness of this information rests with the District.

USING THIS ANNUAL REPORT

As required by accounting principles, the annual report consists of three basic financial statements that provide information on the District's activities as a whole: the Statement of Net Position; the Statement of Revenues, Expenses, and Changes in Net Position; and the Statement of Cash Flows.

The focus of the Statement of Net Position is designed to be similar to bottom line results for the District. This statement combines and consolidates current financial resources (net short-term spendable resources) with capital assets and long-term obligations. The Statement of Revenues, Expenses, and Changes in Net Position focuses on the costs of the District's operational activities, which are supported mainly by property taxes and by State and other revenues. This approach is intended to summarize and simplify the user's analysis of the cost of various District services to students and the public. The Statement of Cash Flows provides an analysis of the sources and uses of cash within the operations of the District.

WEST HILLS COMMUNITY COLLEGE DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS

JUNE 30, 2015

FINANCIAL HIGHLIGHTS

- The District's primary funding source is "State Apportionment as defined by SB 361" received from the State of California through the State Chancellor's Office. These funds are comprised of State apportionment, local property taxes, and student enrollment fees. The primary basis of this apportionment is the calculation of Full-Time Equivalent Students (FTES). During the 2014-2015 fiscal year, the District's actual FTES was 5,314 but the State funded only 5,100 while the actual FTES in the 2013-2014 fiscal year was 5,200 and the funded FTES was 4,898. These FTES are generated at the District's Coalinga and Lemoore College campuses, as well as various satellite locations.
- The District ended the year with an Unrestricted General Fund balance of approximately \$4.0 million. The State Chancellor's Office recommends reserve levels of five percent of unrestricted General Fund expenditures be set aside for economic uncertainties. The District met this requirement with approximately 11 percent in reserves.
- The primary expenditure of the District is for the salaries and benefits of the Academic, Classified, and Administrative salaries of District employees. These costs decreased from \$42.3 million for the 2013-2014 fiscal years to \$41.3 million during the 2014-2015 fiscal years. In addition to the costs for current employees' insurance coverage, the District provides insurance benefits to retirees meeting plan eligibility requirements.
- The District continues several construction and modernization projects throughout the District. These projects will be funded through various financial vehicles, including various maintenance and construction projects funded through the State Chancellor's Office.
- The District provides student financial aid to qualifying students of the District in the amount of approximately \$15.8 million. This aid is provided through grants, and loans from the Federal government, State Chancellor's Office, and local funding.

WEST HILLS COMMUNITY COLLEGE DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS JUNE 30, 2015

Condensed financial information (in thousands) is as follows:

NET POSITION

As of June 30, 2015 and 2014

	2015	2014 (as restated)	Change
ASSETS			
Current Assets			
Cash and investments	\$ 38,261	\$ 98,520	\$ (60,259)
Accounts receivable	6,099	10,192	(4,093)
Due from trust and agency funds	112	717	(605)
Prepaid	69	30	39
Total Current Assets	<u>44,541</u>	<u>109,459</u>	<u>(64,918)</u>
Non-Current Assets			
Capital assets, net of depreciation	124,788	131,023	(6,235)
Net Plan Asset-GASB 45	2,663	2,754	(91)
Total Non-Current Assets	<u>127,451</u>	<u>133,777</u>	<u>(6,326)</u>
Total Assets	<u>171,992</u>	<u>243,236</u>	<u>(71,244)</u>
DEFERRED OUTFLOWS OF RESOURCES			
Current year pension contribution	<u>2,457</u>	<u>2,397</u>	<u>60</u>
LIABILITIES			
Current Liabilities			
Accounts payable and accrued liabilities	3,058	3,509	(451)
Due to trust and agency funds	778	96	682
Unearned revenue	7,541	5,256	2,285
Long-term liabilities	1,683	1,552	131
Total Current Liabilities	<u>13,060</u>	<u>10,413</u>	<u>2,647</u>
Non-Current Liabilities			
Long-term liabilities	<u>94,251</u>	<u>168,653</u>	<u>(74,402)</u>
Total liabilities	<u>107,311</u>	<u>179,066</u>	<u>(71,755)</u>
DEFERRED INFLOWS OF RESOURCES			
Difference between projected and actual earnings on pension plan investments	<u>8,495</u>	<u>-</u>	<u>8,495</u>
NET POSITION			
Net investment in capital assets	82,977	83,742	(765)
Restricted for expendable purposes	3,183	8,054	(4,871)
Unrestricted	<u>(27,517)</u>	<u>(25,229)</u>	<u>(2,288)</u>
Total Net Position	<u>\$ 58,643</u>	<u>\$ 66,567</u>	<u>\$ (7,924)</u>

This schedule has been prepared from the District's Statement of Net Position (page 13), which is presented on an accrual basis of accounting whereby capital assets are capitalized and depreciated.

The changes in the cash position are explained in the Statement of Cash Flows (pages 15 and 16).

WEST HILLS COMMUNITY COLLEGE DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS JUNE 30, 2015

Operating Results for the Years Ended June 30, 2015 and 2014

	2015	2014	Difference
OPERATING REVENUES			
Tuition and fees	\$ 2,390	\$ 2,358	\$ 32
Auxiliary sales and charges	911	918	(7)
Total Operating Revenues	3,301	3,276	25
OPERATING EXPENSES			
Salaries and benefits	41,260	42,308	(1,048)
Other expenses	15,912	14,013	1,899
Depreciation	4,900	5,521	(621)
Total Operating Expenses	62,072	61,842	230
NET LOSS ON OPERATIONS	(58,771)	(58,566)	(205)
NONOPERATING REVENUES AND (EXPENSES)			
State apportionments	24,485	24,016	469
Grants and contracts	21,547	23,339	(1,792)
Property taxes	4,536	6,511	(1,975)
State revenues	939	1,027	(88)
Interest income	920	1,688	(768)
Interest expense	(4,297)	363	(4,660)
Net transfers (to)/from trust and agency funds	(1,879)	(1,345)	(534)
Other non-operating revenues	741	3,222	(2,481)
Total Nonoperating Revenues	46,992	58,821	(11,829)
OTHER REVENUES			
Local revenues, capital	3,855	1,261	2,594
Total Other Revenues	3,855	1,261	2,594
NET INCREASE (DECREASE) IN NET POSITION	\$ (7,924)	\$ 1,516	\$ (9,440)

This schedule has been prepared from the Statement of Revenues, Expenses and Changes in Net Position presented on page 14.

The operating revenue for the District is specifically defined as revenues from users of the colleges' facilities and programs. Excluded from the operating revenues are the components of the primary source of District funding - the State apportionment process. These components include the State apportionment and local property taxes. As these sources of revenue are from the general population of the State of California, and not from the direct users of the educational services, they are considered to be nonoperating. As a result, the operating loss of \$58.8 million is mostly balanced by the other funding sources resulting in a decrease in the District's Net Position of \$7.9 million, including the reduction of \$35.5 million in Net Position resulting from the implementation of GASB Statement No. 68.

Auxiliary revenue consists of Food Service and Farm revenues.

WEST HILLS COMMUNITY COLLEGE DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS

JUNE 30, 2015

Grant and contract revenues relate to student financial aid, as well as specific Federal and State grants received for programs serving the students of the District. These grant and program revenues are restricted as to the allowable expenses related to the programs.

The interest income is primarily the result of cash held at the Fresno County Treasurer. The interest expense relates to interest payments on the long-term obligations which are described in Note 10 of the financial statements.

The District is recording the depreciation expense related to capital assets. The detail of the changes in capital assets for the year is included in the notes to the financial statements as Note 6.

Statement of Cash Flows for the Years Ended June 30, 2015 and 2014

The Statement of Cash Flows provides information about cash receipts and payments during the year. This statement also assists users in assessing the District's ability to meet its obligations as they come due and its need for external financing.

	2015	2014	Difference
CASH PROVIDED BY (USED IN)			
Operating activities	\$ (53,333)	\$ (52,288)	\$ (1,045)
Noncapital financing activities	60,375	60,105	270
Capital financing activities	(68,240)	(11,753)	(56,487)
Investing activities	940	979	(39)
Net Increase in Cash and Cash Equivalents	<u>\$ (60,258)</u>	<u>\$ (2,957)</u>	<u>\$ (57,301)</u>

The primary operating receipts are student tuition and fees and Federal, State, and local grants and contracts. The primary operating expense of the District is the payment of salaries and benefits to instructional and classified support staff, as well as District administrators.

While State apportionment and property taxes are the primary source of non-capital related revenue, the new GASB accounting standards require that this source of revenue is shown as nonoperating revenue as it come from the general resources of the State and not from the primary users of the colleges' programs and services (students). The District depends upon this funding as the primary source of funds to continue the current level of operations.

WEST HILLS COMMUNITY COLLEGE DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS

JUNE 30, 2015

Functional Expenditures

In accordance with requirements set forth by the California State Chancellor's Office, the District reports operating expenses by object code. Operating expenses by functional classification are as follows:

Year ended June 30, 2015:

	Salaries	Employee Benefits	Supplies Material and Other Expenses and Services	Other Outgo	Depreciation	Total
Instructional activities	\$ 9,591,025	\$ 2,429,369	\$ 682,633	\$ 897,820	\$ -	\$ 13,600,847
Academic support	5,122,591	1,465,406	1,413,211	309,322	-	8,310,530
Student services	5,048,275	1,904,636	1,199,154	16,128,305	-	24,280,370
Plant operations and maintenance	1,150,013	638,663	2,288,156	796,292	-	4,873,124
Instructional support services	3,131,206	1,550,854	168,028	4,801,601	-	9,651,689
Community services and economic development	881,827	256,273	436,153	255,400	-	1,829,653
Ancillary services and auxiliary operations						
CDC, Farm, Cafeteria, Parking, Athletics, RH	4,280,472	1,600,435	3,542,957	48,130	-	9,471,994
Contract Education	392,035	131,795	182,853	80	-	706,763
Other Auxillary Operations	149,813	59,722	243,615	-	-	453,150
Trust and agency activities						
Physical Prop & Acquisitions	344,898	110,214	89,267	173,648	-	718,027
Long-term Debt	-	-	-	177,653	-	177,653
Other financing	-	-	595,184	83,057,933	-	83,653,117
Student Aid (Scholarships)	-	-	-	183,850	-	183,850
Other Outgo (Accum Vac/Comp) and bad debt write-off	15,292	-	40,531	-	-	55,823
Depreciation expense-unallocated	-	-	-	-	4,899,715	4,899,715
Total	\$ 30,107,447	\$ 10,147,367	\$ 10,881,742	\$ 106,830,034	\$ 4,899,715	\$ 162,866,305

The functional expense table has not been adjusted for the GASB 35 conversion entries, therefore some amounts may differ from those presented on the Statement of Revenues, Expenses and Changes in Net Position.

WEST HILLS COMMUNITY COLLEGE DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS

JUNE 30, 2015

Year ended June 30, 2014:
(as restated)

	Salaries	Employee Benefits	Supplies Material and Other Expenses and Services	Other Outgo	Depreciation	Total
Instructional activities	\$ 11,127,177	\$ 2,720,926	\$ 952,872	\$ 1,832,898	\$ -	\$ 16,633,873
Academic support	6,214,983	1,667,959	1,932,511	394,510	-	10,209,963
Student services	4,991,077	1,782,630	1,159,094	16,109,430	-	24,042,231
Plant operations and maintenance	1,113,339	590,362	1,316,047	396,089	-	3,415,837
Instructional support services	3,304,636	1,495,134	1,011,303	4,278,724	-	10,089,797
Community services and economic development	819,576	240,079	364,518	244,297	-	1,668,470
Ancillary services and auxiliary operations						
CDC, Farm, Cafeteria, Parking, Athletics, RH	4,242,153	1,576,559	3,424,298	42,400	-	9,285,410
Contract Education	139,430	15,509	33,040	-	-	187,979
Other Auxillary Operations	149,903	65,342	331,045	-	-	546,290
Trust and agency activities						
Physical Prop & Acquisitions	314,175	95,813	109,090	173,648	-	692,726
Long-Term Liabilities	-	-	-	239,967	-	239,967
Other financing	-	-	1,450,449	7,738,469	-	9,188,918
Student Aid (Scholarships)	-	-	-	162,112	-	162,112
Other Outgo (Accum Vac/Comp) and bad debt write-off	(3,319)	-	28,227	-	-	24,908
Depreciation expense-unallocated	-	-	-	-	5,521,442	5,521,442
Total	\$ 32,413,130	\$ 10,250,313	\$ 12,112,494	\$ 31,612,544	\$ 5,521,442	\$ 91,909,923

The functional expense table has not been adjusted for the GASB 35 conversion entries, therefore some amounts may differ from those presented on the Statement of Revenues, Expenses and Changes in Net Position.

WEST HILLS COMMUNITY COLLEGE DISTRICT

MANAGEMENT'S DISCUSSION AND ANALYSIS

JUNE 30, 2015

ECONOMIC FACTORS AFFECTING THE FUTURE OF WEST HILLS COMMUNITY COLLEGE DISTRICT

The 2015-2016 State Budget represents an increase in funding for both COLA and growth in the amount of 1.02 percent and 3.55 percent, respectively, which is an increase of 181 FTES. Based on the current status of the economic conditions in the State there is a good chance that there will be additional COLA and growth for the next couple fiscal years. In addition to these funds the State is now providing additional funding for areas of student access and success of our students. The funding for these two programs increased by about \$1 million or 81 percent over the 2014-2015 FY. There is a primary focus on the achievements of our students that can be measured and thus will become the new platform from which additional funding will be provided above and beyond the COLA and growth funds. The overall revenues for the State continue to surpass the budget but the challenge will be to control the expenses. All the mandated costs have been funded in the 2015-2016 FY budget with a block grant amounting to \$2.9 million for the District. This is one time funding and makes the District whole from all previous years of un-funded mandate costs. Additionally all deferrals have now been funded and there are no deferrals going forward. This will provide additional resources for the District should this materialize.

The District will continue to be very cautious and conservative in our budget planning going forward until such time as the economic indicators provide reason to change our approach. The District has never relied on Sacramento to solve problems at the local level and will not do so in the future. The District continues to benefit from funding received on our new market tax credit programs.

The State is in a much better position that it has been for several years; however, we need to remember that in a couple of years the tax increase voted for sales taxes and income taxes under Prop 30 will expire, which was a source of several billion dollars. The economic engine for California will be the creation of jobs that will generate tax revenue from both income and sales taxes. The West Hills Community College District is well positioned to provide the necessary training and re-training required for the workforce to meet the demands of the private sector. We continue to watch all expenses and consider every position that is vacated before replacing them.

There are currently no other known facts, decisions, or conditions that will have a significant effect on the financial position (net position) or results of operations (revenues, expenses, and changes in net position) of the District. There is currently a concern that the economy continues to slow which the District is monitoring and will take the appropriate action necessary to remain fiscally sound.

CONTACTING THE DISTRICT'S FINANCIAL MANAGEMENT

This financial report is designed to provide our citizens, taxpayers, students, and investors and creditors with a general overview of the District's finances and to show the District's accountability for the money it receives. If you have questions about this report or need any additional financial information, contact Ken Stoppenbrink, Deputy Chancellor, at West Hills Community College District, 9800 Cody Street, Coalinga, California 93210, or e-mail at kenstoppenbrink@whccd.edu.

WEST HILLS COMMUNITY COLLEGE DISTRICT

STATEMENT OF NET POSITION - PRIMARY GOVERNMENT JUNE 30, 2015

ASSETS

Current Assets

Cash and investments	\$ 15,464,514
Restricted cash and cash equivalents	22,796,887
Accounts receivable	3,325,470
Student loans receivable	2,773,367
Due from trust and agency funds	111,571
Prepaid expenses - current portion	69,011

Total Current Assets

44,540,820

Noncurrent Assets

Net plan asset-GASB 45	2,662,793
Nondepreciable capital assets	8,076,509
Depreciable capital assets	169,695,696
Less: Accumulated depreciation	(52,984,254)

Total Noncurrent Assets

127,450,744

TOTAL ASSETS

171,991,564

DEFERRED OUTFLOWS OF RESOURCES

Current year pension contribution	2,457,286
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LIABILITIES

Current Liabilities

Accounts payable	3,058,392
Due to trust and agency funds	778,350
Unearned revenue	7,541,078
Long-term liabilities	1,682,868

Total Current Liabilities

13,060,688

Noncurrent Liabilities

Compensated absences payable	1,512,336
Aggregate net pension obligation	29,502,069
Long-term liabilities	63,236,306

Total Noncurrent Liabilities

94,250,711

TOTAL LIABILITIES

107,311,399

DEFERRED INFLOWS OF RESOURCES

Difference between projected and actual earnings on pension plan investments	8,494,496
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NET POSITION

Net investment in capital assets	82,977,192
Restricted for:	
Debt service	3,022,155
Other activities	160,436
Unrestricted	(27,516,828)

TOTAL NET POSITION

\$ 58,642,955

The accompanying notes are an integral part of these financial statements.

WEST HILLS COMMUNITY COLLEGE DISTRICT

STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION - PRIMARY GOVERNMENT FOR THE YEAR ENDED JUNE 30, 2015

OPERATING REVENUES

Tuition and Fees	\$ 2,389,671
Auxiliary Sales and Charges	
Cafeteria	760,579
Farm	150,757
TOTAL OPERATING REVENUES	<u>3,301,007</u>

OPERATING EXPENSES

Salaries	30,127,390
Employee benefits	11,132,195
Supplies, materials, and other operating expenses and services	15,912,743
Depreciation	4,899,715
TOTAL OPERATING EXPENSES	<u>62,072,043</u>

OPERATING LOSS

(58,771,036)

NON-OPERATING REVENUES (EXPENSES)

Grants and Contracts, noncapital:	
Federal	8,792,704
State	11,357,274
Local	1,397,719
State apportionments, noncapital	24,484,627
Local property taxes, levied for general purposes	4,535,626
State taxes and other revenues	938,602
Investment income, net	920,372
Interest and other expenses on debt	(4,296,974)
Net transfers (to)/from trust and agency funds	(1,879,225)
Other non-operating revenues	741,720
TOTAL NON-OPERATING REVENUES (EXPENSES)	<u>46,992,445</u>

LOSS BEFORE OTHER REVENUES

(11,778,591)

OTHER REVENUES

Local revenues, capital	3,854,752
TOTAL OTHER REVENUES	<u>3,854,752</u>

CHANGE IN NET POSITION

(7,923,839)

NET POSITION, BEGINNING OF YEAR

101,980,720

PRIOR PERIOD RESTATEMENT

(35,413,926)

NET POSITION, END OF YEAR

\$ 58,642,955

The accompanying notes are an integral part of these financial statements.

WEST HILLS COMMUNITY COLLEGE DISTRICT

STATEMENT OF CASH FLOWS – DIRECT METHOD - PRIMARY GOVERNMENT FOR THE YEAR ENDED JUNE 30, 2015

CASH FLOWS FROM OPERATING ACTIVITIES

Tuition and fees	\$ 2,488,181
Payments to vendors for supplies and services	(15,547,997)
Auxiliary sales	911,336
Payments to or on behalf of employees	(41,184,670)
Net Cash Flows Used By Operating Activities	<u>(53,333,150)</u>

CASH FLOWS FROM NONCAPITAL FINANCING ACTIVITIES

State apportionments	28,199,630
Non-capital grants and contracts	24,961,574
Property taxes - nondebt related	5,434,794
State taxes and other apportionments	938,602
Other nonoperating	840,227
Net Cash Flows From Noncapital Financing Activities	<u>60,374,827</u>

CASH FLOWS FROM CAPITAL FINANCING ACTIVITIES

Purchase of capital assets	783,481
Proceeds from capital debt	18,449,682
Loss from sale of capital assets	(344,038)
Local revenue, capital projects	3,854,752
Principal paid on capital debt	(84,807,248)
Interest and expenses paid on capital debt	(6,176,199)
Net Cash Flows Used by Capital Financing Activities	<u>(68,239,570)</u>

CASH FLOWS FROM INVESTING ACTIVITIES

Purchase of investments	91,197
Interest received from investments	847,974
Net Cash Flows From Investing Activities	<u>939,171</u>

NET CHANGE IN CASH AND CASH EQUIVALENTS	(60,258,722)
CASH AND CASH EQUIVALENTS, BEGINNING OF YEAR	<u>98,520,123</u>
CASH AND CASH EQUIVALENTS, END OF YEAR	<u><u>\$ 38,261,401</u></u>

The accompanying notes are an integral part of these financial statements.

WEST HILLS COMMUNITY COLLEGE DISTRICT

STATEMENT OF CASH FLOWS – DIRECT METHOD - PRIMARY GOVERNMENT, Continued FOR THE YEAR ENDED JUNE 30, 2015

RECONCILIATION OF NET OPERATING LOSS TO NET CASH FLOWS FROM OPERATING ACTIVITIES

Operating Loss	<u>\$ (58,771,036)</u>
Adjustments to Reconcile Operating Loss to Net Cash Flows From Operating Activities:	
Depreciation expense	4,899,715
Changes in Assets and Liabilities:	
Receivables, net	59,614
Prepaid expenses	(38,688)
GASB 45, Net Plan Asset	91,197
Accounts payable and accrued liabilities	(451,131)
Unearned revenue	1,180,210
Current portion of long-term obligations	<u>(303,031)</u>
Total Adjustments	<u>5,437,886</u>
Net Cash Flows Used by Operating Activities	<u><u>\$ (53,333,150)</u></u>

NON CASH TRANSACTIONS

On behalf payments for benefits	<u><u>\$ 707,428</u></u>
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The accompanying notes are an integral part of these financial statements.

WEST HILLS COMMUNITY COLLEGE DISTRICT

STATEMENT OF FIDUCIARY NET POSITION JUNE 30, 2015

	Trust Funds	Agency Funds
ASSETS		
Deposits and investments	\$ 6,737,693	\$ 315,061
Receivables	-	168,214
Due from other funds	543,947	234,403
Prepaid expenses	-	56,102
Total Assets	<u>7,281,640</u>	<u>773,780</u>
LIABILITIES		
Accounts payable	-	523,602
Due to other funds	41,896	69,675
Due to student groups	-	98,507
Unearned revenue	-	81,996
Total Liabilities	<u>41,896</u>	<u>773,780</u>
NET POSITION		
Restricted	7,239,744	-
Total Net Position	<u>\$ 7,239,744</u>	<u>\$ -</u>

The accompanying notes are an integral part of these financial statements.

WEST HILLS COMMUNITY COLLEGE DISTRICT

STATEMENT OF CHANGES IN FIDUCIARY NET POSITION FOR THE YEAR ENDED JUNE 30, 2015

	Trust Funds	Agency Funds
ADDITIONS		
Federal revenues	\$ -	\$ 14,671,596
State revenues	-	1,093,922
Local sources	215,917	68,003
Interdistrict transfers, net	1,024,315	854,910
Total Additions	<u>1,240,232</u>	<u>16,688,431</u>
DEDUCTIONS		
Salaries	-	375,648
Employee benefits	-	111,297
Other expenditures	5,854	358,663
Student financial aid	10,405	15,842,823
Total Deductions	<u>16,259</u>	<u>16,688,431</u>
Change in Net Position	1,223,973	-
Net Position - Beginning	6,015,771	-
Net Position - Ending	<u>\$ 7,239,744</u>	<u>\$ -</u>

The accompanying notes are an integral part of these financial statements.

WEST HILLS COMMUNITY COLLEGE DISTRICT

DISCRETELY PRESENTED COMPONENT UNIT - WEST HILLS COMMUNITY COLLEGE DISTRICT FOUNDATION STATEMENT OF FINANCIAL POSITION JUNE 30, 2015

ASSETS

CURRENT ASSETS

Cash and cash equivalents	\$	485,158
Investments		1,958,871
Accounts receivable		168,169
TOTAL ASSETS	\$	2,612,198

LIABILITIES AND NET ASSETS

CURRENT LIABILITIES

Accounts payable	\$	76,528
Funds held for others		50,000
Total Current Liabilities		126,528

NET ASSETS

Unrestricted		572,248
Temporarily restricted		778,371
Permanently restricted		1,135,051
Total Net Assets		2,485,670
Total Liabilities and Net Assets	\$	2,612,198

The accompanying notes are an integral part of these financial statements.

WEST HILLS COMMUNITY COLLEGE DISTRICT

DISCRETELY PRESENTED COMPONENT UNIT - WEST HILLS COMMUNITY COLLEGE DISTRICT FOUNDATION STATEMENT OF ACTIVITIES FOR THE YEAR ENDED JUNE 30, 2015

	<u>Unrestricted</u>	<u>Temporarily Restricted</u>	<u>Permanently Restricted</u>	<u>Total</u>
REVENUES				
Donations and special events	\$ 101,284	\$ 209,608	\$ 52,700	\$ 363,592
Donated salaries	297,256	-	-	297,256
Program fees	494,196	-	-	494,196
Program contracts	69,630	-	-	69,630
Fundraisers	171,465	-	-	171,465
Investment income	(12,951)	(16,884)	(37,705)	(67,540)
Other	36,923	(200)	-	36,723
Transfers	(64,667)	50,539	14,500	372
Net assets released from restrictions	186,705	(133,705)	(53,000)	-
Total Revenues	<u>1,279,841</u>	<u>109,358</u>	<u>(23,505)</u>	<u>1,365,694</u>
EXPENSES				
Program services:				
Scholarship	242,369	-	-	242,369
College Enhancement	631,132	-	-	631,132
Athletic Programs	171,885	-	-	171,885
Educational Programs	210,990	-	-	210,990
Support services:				
General Administrative	116,371	30,777	-	147,148
Fundraisers	75,063	-	-	75,063
Membership	944	-	-	944
Total Expenses	<u>1,448,754</u>	<u>30,777</u>	<u>-</u>	<u>1,479,531</u>
CHANGE IN NET ASSETS	<u>(168,913)</u>	<u>78,581</u>	<u>(23,505)</u>	<u>(113,837)</u>
NET ASSETS, BEGINNING OF YEAR	<u>741,161</u>	<u>699,790</u>	<u>1,158,556</u>	<u>2,599,507</u>
NET ASSETS, END OF YEAR	<u>\$ 572,248</u>	<u>\$ 778,371</u>	<u>\$ 1,135,051</u>	<u>\$ 2,485,670</u>

The accompanying notes are an integral part of these financial statements.

WEST HILLS COMMUNITY COLLEGE DISTRICT

DISCRETELY PRESENTED COMPONENT UNIT - WEST HILLS COMMUNITY COLLEGE DISTRICT FOUNDATION STATEMENT OF CASH FLOWS FOR THE YEAR ENDED JUNE 30, 2015

CASH FLOWS FROM OPERATING ACTIVITIES

Change in net assets \$ (113,837)

Adjustments to Reconcile Change in Net Assets to Net

Cash Used By Operating Activities

(Increase)/Decrease in accounts receivable (611)

(Decrease)/Increase in accounts payable (36,633)

Increase/(Decrease) in due to other groups 50,000

Net Cash Flows Provided/(Used) By Operating Activities (101,081)

CASH FLOWS FROM INVESTING ACTIVITIES

(Increase)/Decrease in investments 98,465

Net Cash Flows Used By Investing Activities 98,465

NET CHANGE IN CASH AND CASH EQUIVALENTS

(2,616)

CASH AND CASH EQUIVALENTS, BEGINNING OF YEAR

487,774

CASH AND CASH EQUIVALENTS, END OF YEAR

\$ 485,158

The accompanying notes are an integral part of these financial statements.

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

NOTE 1 - ORGANIZATION

The West Hills Community College District (District) is a political subdivision of the State of California and is a comprehensive, public, two-year institution offering postsecondary education to the students of Coalinga-Huron Unified School District, Lemoore Union High School District, Riverdale Joint Unified School District, Golden Plains Unified School District, Firebaugh-Las Deltas Unified School District, Reef-Sunset Unified School District, and Mendota Unified School District. The District maintains a Coalinga Campus, a Lemoore Campus, and the North District Center in Firebaugh. While the District is a political subdivision of the State, it is not a component unit of the State in accordance with the provisions of Governmental Accounting Standards Board (GASB) Statement No. 14. The District operates under a locally elected seven-member Board of Trustees form of government and provides higher education in the County of Fresno. While the District is a political subdivision of the State of California, it is legally separate and is independent of other State and local governments, and it is not a component unit of the State in accordance with the provisions of Governmental Accounting Standards Board (GASB) Statement No. 39.

A reporting entity is comprised of the primary government, and other organizations that are included to ensure the financial statements are not misleading. The primary government of the District consists of all funds, departments, boards, and agencies that are not legally separate from the District. For West Hills Community College District, this includes general operations, food services, bookstores, and student related activities of the District.

NOTE 2 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Financial Reporting Entity

The District has adopted GASB Statement No. 39, *Determining Whether Certain Organizations are Component Units*. This statement amends GASB Statement No. 14, *The Financial Reporting Entity*, to provide additional guidance to determine whether certain organizations, for which the District is not financially accountable, should be reported as component units based on the nature and significance of their relationship with the District. The three components used to determine the presentation are: providing a "direct benefit"; the "environment and ability to access/influence reporting," and the "significance" criterion. As defined by accounting principles generally accepted in the United States of America and established by the Governmental Accounting Standards Board, the financial reporting entity consists of the primary government, the District, and the following component units:

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

- **West Hills Community College District Foundation**

The West Hills Community College District Foundation (the Foundation) is a legally separate, tax-exempt component unit of the District. The Foundation acts primarily as a fundraising organization to provide grants and scholarships to students and support to employees, programs, and departments of the District. The ten-member board of the Foundation consists of community members, alumni, and other supporters of the Foundation. Although the District does not control the timing or amount of receipts from the Foundation, the majority of resources, or income thereon that the Foundation holds and invests are restricted to the activities of the District by the donors. Because these restricted resources held by the Foundation can only be used by, or for the benefit of, the District, the Foundation is considered a component unit of the District with the inclusion of the statements as a discretely presented component unit. The Foundation is reported in separate financial statements because of the difference in its reporting model, as further described below.

The Foundation is a not-for-profit organization under Internal Revenue Code (IRC) Section 501(c)(3) that reports its financial results in accordance with Financial Accounting Standards Codifications. As such, certain revenue recognition criteria and presentation features are different from GASB revenue recognition criteria and presentation features. No modifications have been made to the Foundation's financial information in the District's financial reporting entity for these differences.

Complete financial statements for the Foundation can be obtained from the Foundation's Business Office at 9900 Cody Street, Coalinga, CA 93210.

- **West Hills Financing Corporation**

The West Hills Financing Corporation (the Corporation) is a legally separate organization and a component unit of the District. The Corporation was formed to obtain new market tax credits and financing instruments specifically for the acquisition and construction of capital assets for the District. The Board of Trustees of the Corporation is the same as the Board of Trustees of the District. The financial activity has been "blended" or consolidated within the financial statements of the District as if the activity was the District's. Individually-prepared financial statements are not prepared for the Corporation.

Measurement Focus, Basis of Accounting, and Financial Statement Presentation

For financial reporting purposes, the District is considered a special-purpose government engaged only in business-type activities as defined by GASB Statements No. 34 and No. 35 as amended by GASB Statements No. 37, No. 38, and No. 39. This presentation provides a comprehensive entity-wide perspective of the District's assets, liabilities, activities, and cash flows and replaces the fund group perspective previously required. Accordingly, the District's financial statements have been presented using the economic resources measurement focus and the accrual basis of accounting. The significant accounting policies followed by the District in preparing these financial statements are in accordance with accounting principles generally accepted in the United States of America as prescribed by GASB. Additionally, the District's policies comply with the California Community Colleges Chancellor's Office *Budget and Accounting Manual*. Under the accrual basis, revenues are recognized when earned, and expenses are recorded when an obligation has been incurred. All material intra-agency and intra-fund transactions have been eliminated.

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

Revenues resulting from exchange transactions, in which each party gives and receives essentially equal value, are classified as operating revenues. These transactions are recorded on the accrual basis when the exchange takes place. Available means that the resources will be collected within the current fiscal year or are expected to be collected soon enough thereafter to be used to pay liabilities of the current fiscal year. For the District, operating revenues consist primarily of student fees and auxiliary activities through the bookstore and farm.

Nonexchange transactions, in which the District receives value without directly giving equal value in return, include State apportionments, property taxes, certain Federal and State grants, entitlements, and donations. Property tax revenue is recognized in the fiscal year received. State apportionment revenue is earned based upon criteria set forth from the Community Colleges Chancellor's Office and includes reporting of full-time equivalent students (FTES) attendance. The corresponding apportionment revenue is recognized in the period the FTES are generated. Revenue from Federal and State grants and entitlements are recognized in the fiscal year in which all eligibility requirements have been satisfied. Eligibility requirements may include time and/or purpose requirements.

Operating expenses are costs incurred to provide instructional services including support costs, auxiliary services, and depreciation of capital assets. All other expenses not meeting this definition are reported as nonoperating. Expenses are recorded on the accrual basis as they are incurred, when goods are received, or services are rendered.

The District reports are based on all applicable GASB pronouncements, as well as applicable Financial Accounting Standards Board (FASB) pronouncements issued on or before November 30, 1989, unless those pronouncements conflict or contradict GASB pronouncements. The District has not elected to apply FASB pronouncements after that date.

The financial statements are presented in accordance with the reporting model as prescribed in GASB Statement No. 34, *Basic Financial Statements and Management's Discussions and Analysis for State and Local Governments*, and GASB Statement No. 35, *Basic Financial Statements and Management's Discussions and Analysis for Public Colleges and Universities*, as amended by GASB Statements No. 37, No. 38, and No. 39. The business-type activities model followed by the District requires the following components of the District's financial statements:

- Management's Discussion and Analysis
- Basic Financial Statements for the District as a whole including:
 - Statement of Net Position - Primary Government
 - Statement of Revenues, Expenses, and Changes in Net Position - Primary Government
 - Statement of Cash Flows - Primary Government
- Notes to the Financial Statements

Cash and Cash Equivalents

The District's cash and cash equivalents are considered to be unrestricted cash on hand, demand deposits, and short-term unrestricted investments with original maturities of three months or less from the date of acquisition. Cash equivalents also include unrestricted cash with county treasury balances for purposes of the Statement of Cash Flows. Restricted cash and cash equivalents represent balances restricted by external sources such as grants and contracts or specifically restricted for the repayment of capital debt.

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

Investments

In accordance with GASB Statement No. 31, *Accounting and Financial Reporting for Certain Investments and External Investment Pools*, investments held at June 30, 2015, are stated at fair value. Fair value is estimated based on quoted market prices at year-end. Short-term investments have an original maturity date greater than three months, but less than one year at time of purchase. Long-term investments have an original maturity of greater than one year at the time of purchase.

Restricted Assets

Restricted assets arise when restrictions on their use change the normal understanding of the availability of the asset. Such constraints are either imposed by creditors, contributors, grantors, or laws of other governments or imposed by enabling legislation. Restricted assets represent investments required by debt covenants to be set aside by the District for the purpose of satisfying certain requirements of the debt issuance.

Accounts Receivable

Accounts receivable include amounts due from the Federal, State and/or local governments, or private sources, in connection with reimbursement of allowable expenditures made pursuant to the District's grants and contracts. Accounts receivable also consist of tuition and fee charges to students and auxiliary enterprise services provided to students, faculty, and staff, the majority of each residing in the State of California. The District provides for an allowance for uncollectible accounts as an estimation of amounts that may not be received. This allowance is based upon management's estimates and analysis.

Prepaid Expenses

Prepaid expenditures (expenses) represent amounts paid in advance of receiving goods or services. The District has the option of reporting an expenditure in governmental funds for prepaid items either when purchased or during the benefiting period. The District has chosen to report the expenditures when incurred.

Capital Assets and Depreciation

Capital assets are long-lived assets of the District as a whole and include land, construction in progress, buildings, leasehold improvements, and equipment. The District maintains an initial unit cost capitalization threshold of \$5,000 and an estimated useful life greater than one year. Assets are recorded at historical cost, or estimated historical cost, when purchased or constructed. The District does not possess any infrastructure. Donated capital assets are recorded at estimated fair market value at the date of donation. Improvements to buildings and land that significantly increase the value or extend the useful life of the asset are capitalized; the costs of routine maintenance and repairs that do not add to the value of the asset or materially extend an asset's life are charged as an operating expense in the year in which the expense was incurred. Major outlays for capital improvements are capitalized as construction in progress as the projects are constructed.

Depreciation of capital assets is computed and recorded utilizing the straight-line method. Estimated useful lives of the various classes of depreciable capital assets are as follows: buildings, 25 to 50 years; improvements, 25 to 50 years; equipment, 5 to 10 years; vehicles, 5 to 10 years.

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

Accrued Liabilities and Long-Term Obligations

All payables, accrued liabilities, and long-term obligations are reported in the entity-wide financial statements.

Debt Premiums

Debt premiums are amortized over the life of the bonds using the straight-line method.

Deferred Outflows/Inflows of Resources

In addition to assets, the Statement of Financial Position also reports deferred outflows of resources. This separate financial statement element represents a consumption of net position that applies to a future period and so will not be recognized as an expense or expenditure until then. The District reports deferred outflows of resources for current year pension contributions.

In addition to liabilities, the Statement of Financial Position reports a separate section for deferred inflows of resources. This separate financial statement element represents an acquisition of net position that applies to a future period and so will not be recognized as revenue until then. The District reports deferred inflows of resources for the difference between actual and expected rate of return on investments specific to the net pension liability.

Pensions

For purposes of measuring the net pension liability and deferred outflows/inflows of resources related to pensions and pension expense, information about the fiduciary net position of the California State Teachers' Retirement System (CalSTRS) and the California Public Employees' Retirement System (CalPERS) plan for schools (the Plans) and additions to/deductions from the Plans' fiduciary net position have been determined on the same basis as they are reported by CalSTRS and CalPERS. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Member contributions are recognized in the period in which they are earned. Investments are reported at fair value.

Compensated Absences

Accumulated unpaid employee vacation benefits are accrued as a liability as the benefits are earned. The entire compensated absence liability is reported on the entity-wide financial statements. The amounts have been recorded in the fund from which the employees, who have accumulated the leave, are paid. The District also participates in "load-banking" with eligible academic employees whereby the employee may teach extra courses in one period in exchange for time off in another period.

Sick leave is accumulated without limit for each employee based upon negotiated contracts. Leave with pay is provided when employees are absent for health reasons; however, the employees do not gain a vested right to accumulated sick leave. Employees are never paid for any sick leave balance at termination of employment or any other time. Therefore, the value of accumulated sick leave is not recognized as a liability in the District's financial statements. Retirement credit for unused sick leave is applicable to all academic employees and is determined by dividing the number of unused sick days by the number of base service days required to complete the last school year, if employed full time. Sick leave is accumulated as follows:

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

Administrative/Classified Management/Confidential Staff

- Entitled to twenty-one (21) days of sick leave per year to be posted at the rate of 1.75 days per month.

Certificated

- Members shall accrue twenty (20) days of sick leave with pay for each school year, such leave to be made available on the first day of each school year.

Classified

- Members shall accrue, on a monthly basis, twenty-one (21) days of sick leave with pay for each school year. The amount of days posted will be 1.75 days, or fourteen (14) hours per month for full-time employees and shall be prorated for part-time employees.

Unearned Revenue

Unearned revenue arises when potential revenue does not meet both the "measurable" and "available" criteria for recognition in the current period or when resources are received by the District prior to the incurrence of qualifying expenditures. In subsequent periods, when both revenue recognition criteria are met, or when the District has a legal claim to the resources, the liability for unearned revenue is removed from the combined balance sheet and revenue is recognized. Unearned revenue includes (1) amounts received for tuition and fees prior to the end of the fiscal year that are related to the subsequent fiscal year and (2) amounts received from Federal and State grants received before the eligibility requirements are met.

Noncurrent Liabilities

Noncurrent liabilities include bonds and notes payable, compensated absences, pension obligations, capital lease obligations and early retirement obligations with maturities greater than one year.

Net Position

GASB Statements No. 34 and No. 35 report equity as "Net Position" and represent the difference between assets and liabilities. The net position is classified according to imposed restrictions or availability of assets for satisfaction of District obligations according to the following net asset categories:

Net Investment in Capital Assets consists of capital assets, net of accumulated depreciation and outstanding principal balances of debt attributable to the acquisition, construction, or improvement of those assets. To the extent debt has been incurred, but not yet expended for capital assets, such accounts are not included as a component invested in capital assets – net of related debt.

Restricted: Net position is reported as restricted when there are limitations imposed on their use, either through enabling legislation adopted by the District, or through external restrictions imposed by creditors, grantors, or laws or regulations of other governments. The District first applies restricted resources when an expense is incurred for purposes for which both restricted and unrestricted resources are available.

Unrestricted: Net position that is not subject to externally imposed constraints. Unrestricted net position may be designated for specific purposes by action of the Board of Trustees or may otherwise be limited by contractual agreements with outside parties. Substantially all unrestricted net position is designated for economic uncertainties.

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

When both restricted and unrestricted resources are available for use, it is the District's practice to use restricted resources first and the unrestricted resources when they are needed.

State Apportionments

Certain current year apportionments from the State are based on financial and statistical information of the previous year. Any corrections due to the recalculation of the apportionment are made in February of the subsequent year. When known and measurable, these recalculations and corrections are accrued in the year in which the FTES are generated.

Property Taxes

Secured property taxes attach as an enforceable lien on property as of January 1. The County Assessor is responsible for assessment of all taxable real property. Taxes are payable in two installments on November 1 and February 1 and become delinquent on December 10 and April 10, respectively. Unsecured property taxes are payable in one installment on or before August 31. Various counties bill and collect taxes on behalf of the District. Local property tax revenues are recorded when received.

The voters of the District passed various General Obligation Bonds for the acquisition, construction, and remodeling of certain District property. As a result of the passage of the Bond, property taxes are assessed on the property within the District specifically for the repayment of the debt incurred. The taxes are billed and collected as noted above and remitted to the District when collected.

Board of Governors Grants (BOGG) and Fee Waivers

Student tuition and fee revenue is reported net of allowances and fee waivers approved by the Board of Governors through BOGG fee waivers in the Statement of Revenues, Expenses, and Changes in Net Position. Scholarship discounts and allowances represent the difference between stated charges for enrollment fees and the amount that is paid by students or third parties making payments on the students' behalf. To the extent that fee waivers have been used to satisfy tuition and fee charges, the District has recorded a scholarship discount and allowance.

Federal Financial Assistance Programs

The District participates in federally funded Pell Grants, SEOG Grants, Federal Work-Study, and Stafford Loan programs, as well as other programs funded by the Federal government. Financial aid to students is either reported as operating expenses or scholarship allowances, which reduce revenues. The amount reported as operating expense represents the portion of aid that was provided to the student in the form of cash. These programs are audited in accordance with the Single Audit Act Amendments of 1996, and the U.S. Office of Management and Budget's revised Circular A-133, *Audits of States, Local Governments and Non-Profit Organizations*, and the related *Compliance Supplement*.

Estimates

The preparation of the financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results may differ from those estimates.

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

Interfund Activity

Interfund transfers and interfund receivables and payables are eliminated during the consolidation process in the Primary Government and Fiduciary Funds' financial statements, respectively.

Reclassification

Certain reclassifications were made to prior years' presentations to conform to current year presentation.

Foundation Financial Statement Presentation

The West Hills Community College District Foundation presents its financial statements in accordance with Statement of Financial Accounting Codifications. Under these reporting requirements, the Foundation is required to report information regarding its financial position and activities according to three classes of net position: unrestricted net position, temporarily restricted net position, and permanently restricted net position. As permitted by the codification, the Foundation does not use fund accounting.

Permanently Restricted Net Assets - Net assets subject to donor-imposed stipulations that they be maintained permanently by the Foundation. Generally, the donors of these assets permit the Foundation to use all or part of the income earned on related investments for general or specific purposes.

Temporarily Restricted Net Assets - Net assets subject to donor-imposed stipulations that will be met by actions of the Foundation and/or the passage of time.

Unrestricted Net Assets - Net assets not subject to donor-imposed restrictions.

Revenues and expenses are recorded when incurred in accordance with the accrual basis of accounting. Revenues are reported as increases in the unrestricted net position classification unless use of the related assets is limited by donor-imposed restrictions. Contributions, including unconditional promises to give, are recognized as revenue in the period received. Conditional promises to give are not recognized as revenue until the conditions on which they depend are substantially met. Contributions for in-kind gifts from outside sources are recorded at their fair market value on the date of the donation.

Expenses are reported as decreases in unrestricted net position. Gains and losses on investments and other assets or liabilities are reported as increases or decreases in unrestricted net position unless their use is restricted by explicit donor stipulation or by law.

Investments are reported at fair value in accordance with FASB Accounting Standards Codification (ASC) 820, *Fair Value Measurements and Disclosures*.

The Foundation is a not-for-profit organization that is exempt from income taxes under Section 501(c)(3) of the Internal Revenue Code and related California Franchise Tax Codes.

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

Change in Accounting Principles

In June 2012, the GASB issued Statement No. 68, *Accounting and Financial Reporting for Pensions—an amendment of GASB Statement No. 27*. The primary objective of this Statement is to improve accounting and financial reporting by State and local governments for pensions. It also improves information provided by State and local governmental employers about financial support for pensions that is provided by other entities. This Statement results from a comprehensive review of the effectiveness of existing standards of accounting and financial reporting for pensions with regard to providing decision-useful information, supporting assessments of accountability and inter-period equity, and creating additional transparency.

This Statement replaces the requirements of Statement No. 27, *Accounting for Pensions by State and Local Governmental Employers*, as well as the requirements of Statement No. 50, *Pension Disclosures*, as they relate to pensions that are provided through pension plans administered as trusts or equivalent arrangements (hereafter jointly referred to as trusts) that meet certain criteria. The requirements of Statements No. 27 and No. 50 remain applicable for pensions that are not covered by the scope of this Statement.

The scope of this Statement addresses accounting and financial reporting for pensions that are provided to the employees of State and local governmental employers through pension plans that are administered through trusts that have the following characteristics:

- Contributions from employers and nonemployer contributing entities to the pension plan and earnings on those contributions are irrevocable.
- Pension plan assets are dedicated to providing pensions to plan members in accordance with the benefit terms.
- Pension plan assets are legally protected from the creditors of employers, nonemployer contributing entities, and the pension plan administrator. If the plan is a defined benefit pension plan, plan assets also are legally protected from creditors of the plan members.

This Statement establishes standards for measuring and recognizing liabilities, deferred outflows of resources and deferred inflows of resources, and expense/expenditures. For defined benefit pensions, this Statement identifies the methods and assumptions that should be used to project benefit payments, discount projected benefit payments to their actuarial present value, and attribute that present value to periods of employee service.

Note disclosure and required supplementary information requirements about pensions also are addressed. Distinctions are made regarding the particular requirements for employers based on the number of employers whose employees are provided with pensions through the pension plan and whether pension obligations and pension plan assets are shared. Employers are classified in one of the following categories for purposes of this Statement:

- Single employers are those whose employees are provided with defined benefit pensions through single-employer pension plans—pension plans in which pensions are provided to the employees of only one employer (as defined in this Statement).

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

- Agent employers are those whose employees are provided with defined benefit pensions through agent multiple-employer pension plans—pension plans in which plan assets are pooled for investment purposes, but separate accounts are maintained for each individual employer so that each employer's share of the pooled assets is legally available to pay the benefits of only its employees.
- Cost-sharing employers are those whose employees are provided with defined benefit pensions through cost-sharing multiple-employer pension plans—pension plans in which the pension obligations to the employees of more than one employer are pooled, and plan assets can be used to pay the benefits of the employees of any employer that provides pensions through the pension plan.

In addition, this Statement details the recognition and disclosure requirements for employers with liabilities (payables) to a defined benefit pension plan and for employers whose employees are provided with defined contribution pensions. This Statement also addresses circumstances in which a nonemployer entity has a legal requirement to make contributions directly to a pension plan.

The District has implemented the Provisions of this Statement for the year ended June 30, 2015.

In November 2013, the GASB issued Statement No. 71, *Pension Transition for Contributions Made Subsequent to the Measurement Date—an Amendment of GASB Statement No. 68*. The objective of this Statement is to address an issue regarding application of the transition provisions of Statement No. 68, *Accounting and Financial Reporting for Pensions*. The issue relates to amounts associated with contributions, if any, made by a State or local government employer or nonemployer contributing entity to a defined benefit pension plan after the measurement date of the government's beginning net pension liability.

Statement No. 68 requires a State or local government employer (or nonemployer contributing entity in a special funding situation) to recognize a net pension liability measured as of a date (the measurement date) no earlier than the end of its prior fiscal year. If a State or local government employer or nonemployer contributing entity makes a contribution to a defined benefit pension plan between the measurement date of the reported net pension liability and the end of the government's reporting period, Statement No. 68 requires that the government recognize its contribution as a deferred outflow of resources. In addition, Statement No. 68 requires recognition of deferred outflows of resources and deferred inflows of resources for changes in the net pension liability of a State or local government employer or nonemployer contributing entity that arise from other types of events. At transition to Statement No. 68, if it is not practical for an employer or nonemployer contributing entity to determine the amounts of *all* deferred outflows of resources and deferred inflows of resources related to pensions, paragraph 137 of Statement No. 68 required that beginning balances for deferred outflows of resources and deferred inflows of resources not be reported.

Consequently, if it is not practical to determine the amounts of all deferred outflows of resources and deferred inflows of resources related to pensions, contributions made after the measurement date of the beginning net pension liability could not have been reported as deferred outflows of resources at transition. This could have resulted in a significant understatement of an employer or nonemployer contributing entity's beginning net position and expense in the initial period of implementation.

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

This Statement amends paragraph 137 of Statement No. 68 to require that, at transition, a government recognize a beginning deferred outflow of resources for its pension contributions, if any, made subsequent to the measurement date of the beginning net pension liability. Statement No. 68, as amended, continues to require that beginning balances for other deferred outflows of resources and deferred inflows of resources related to pensions be reported at transition only if it is practical to determine all such amounts.

The District has implemented the Provisions of this Statement for the year ended June 30, 2015.

As the result of implementing GASB Statement No. 68, the District has restated the beginning net position in the government-wide Statement of Net Position, effectively decreasing net position as of July 1, 2014, by \$35,413,926. The decrease results from recognizing the net pension liability, net of related deferred outflows of resources. The restatement does not include deferred inflows of resources, as this information was not available.

New Accounting Pronouncements

In February 2015, the GASB issued Statement No. 72, *Fair Value Measurement and Application*. This Statement addresses accounting and financial reporting issues related to fair value measurements. The definition of *fair value* is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. This Statement provides guidance for determining a fair value measurement for financial reporting purposes. This Statement also provides guidance for applying fair value to certain investments and disclosures related to all fair value measurements.

The requirements of this Statement are effective for financial statements for periods beginning after June 15, 2015. Early implementation is encouraged.

In June 2015, the GASB issued Statement No. 73, *Accounting and Financial Reporting for Pensions and Related Assets That Are Not within the Scope of GASB Statement No. 68, and Amendments to Certain Provisions of GASB Statements No. 67 and No. 68*. The objective of this Statement is to improve the usefulness of information about pensions included in the general purpose external financial reports of State and local governments for making decisions and assessing accountability. This Statement results from a comprehensive review of the effectiveness of existing standards of accounting and financial reporting for all postemployment benefits with regard to providing decision-useful information, supporting assessments of accountability and inter-period equity, and creating additional transparency.

This Statement establishes requirements for defined benefit pensions that are not within the scope of Statement No. 68, *Accounting and Financial Reporting for Pensions*, as well as for the assets accumulated for purposes of providing those pensions. In addition, it establishes requirements for defined contribution pensions that are not within the scope of Statement No. 68. It also amends certain provisions of Statement No. 67, *Financial Reporting for Pension Plans*, and Statement No. 68 for pension plans and pensions that are within their respective scopes.

The requirements of this Statement extend the approach to accounting and financial reporting established in Statement No. 68 to all pensions, with modifications as necessary to reflect that for accounting and financial reporting purposes, any assets accumulated for pensions that are provided through pension plans that are not administered through trusts that meet the criteria specified in Statement No. 68 should not be considered pension plan assets. It also requires that information similar to that required by Statement No. 68 be included in notes to financial statements and required supplementary information by all similarly situated employers and nonemployer contributing entities.

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

This Statement also clarifies the application of certain provisions of Statements No. 67 and No. 68 with regard to the following issues:

- Information that is required to be presented as notes to the ten-year schedules of required supplementary information about investment-related factors that significantly affect trends in the amounts reported.
- Accounting and financial reporting for separately financed specific liabilities of individual employers and nonemployer contributing entities for defined benefit pensions.
- Timing of employer recognition of revenue for the support of nonemployer contributing entities not in a special funding situation.

The requirements of this Statement are effective for financial statements for periods beginning after June 15, 2016. Early implementation is encouraged.

In June 2015, the GASB issued Statement No. 74, *Financial Reporting for Postemployment Benefit Plans Other Than Pension Plans*. The objective of this Statement is to improve the usefulness of information about postemployment benefits other than pensions (other postemployment benefits or OPEB) included in the general purpose external financial reports of State and local governmental OPEB plans for making decisions and assessing accountability. This Statement results from a comprehensive review of the effectiveness of existing standards of accounting and financial reporting for all postemployment benefits (pensions and OPEB) with regard to providing decision-useful information, supporting assessments of accountability and inter-period equity, and creating additional transparency.

This Statement replaces Statements No. 43, *Financial Reporting for Postemployment Benefit Plans Other Than Pension Plans*, as amended, and No. 57, *OPEB Measurements by Agent Employers and Agent Multiple-Employer Plans*. It also includes requirements for defined contribution OPEB plans that replace the requirements for those OPEB plans in Statement No. 25, *Financial Reporting for Defined Benefit Pension Plans and Note Disclosures for Defined Contribution Plans*, as amended, Statement No. 43, and Statement No. 50, *Pension Disclosures*.

Statement No. 75, *Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions*, establishes new accounting and financial reporting requirements for governments whose employees are provided with OPEB, as well as for certain nonemployer governments that have a legal obligation to provide financial support for OPEB provided to the employees of other entities.

The scope of this Statement includes OPEB plans—defined benefit and defined contribution—administered through trusts that meet the following criteria:

- Contributions from employers and nonemployer contributing entities to the OPEB plan and earnings on those contributions are irrevocable.
- OPEB plan assets are dedicated to providing OPEB to plan members in accordance with the benefit terms.
- OPEB plan assets are legally protected from the creditors of employers, nonemployer contributing entities, and the OPEB plan administrator. If the plan is a defined benefit OPEB plan, plan assets also are legally protected from creditors of the plan members.

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

This Statement also includes requirements to address financial reporting for assets accumulated for purposes of providing defined benefit OPEB through OPEB plans that are not administered through trusts that meet the specified criteria.

The requirements of this Statement are effective for financial statements for periods beginning after June 15, 2016. Early implementation is encouraged.

In June 2015, the GASB issued Statement No. 75, *Accounting and Financial Reporting for Postemployment Benefits Other Than Pension*. The primary objective of this Statement is to improve accounting and financial reporting by State and local governments for postemployment benefits other than pensions (other postemployment benefits or OPEB). It also improves information provided by State and local governmental employers about financial support for OPEB that is provided by other entities. This Statement results from a comprehensive review of the effectiveness of existing standards of accounting and financial reporting for all postemployment benefits (pensions and OPEB) with regard to providing decision-useful information, supporting assessments of accountability and inter-period equity, and creating additional transparency.

This Statement replaces the requirements of Statements No. 45, *Accounting and Financial Reporting by Employers for Postemployment Benefits Other Than Pensions*, as amended, and No. 57, *OPEB Measurements by Agent Employers and Agent Multiple-Employer Plans*, for OPEB. Statement No. 74, *Financial Reporting for Postemployment Benefit Plans Other Than Pension Plans*, establishes new accounting and financial reporting requirements for OPEB plans.

The scope of this Statement addresses accounting and financial reporting for OPEB that is provided to the employees of State and local governmental employers. This Statement establishes standards for recognizing and measuring liabilities, deferred outflows of resources, deferred inflows of resources, and expense/expenditures. For defined benefit OPEB, this Statement identifies the methods and assumptions that are required to be used to project benefit payments, discount projected benefit payments to their actuarial present value, and attribute that present value to periods of employee service. Note disclosure and required supplementary information requirements about defined benefit OPEB also are addressed.

In addition, this Statement details the recognition and disclosure requirements for employers with payables to defined benefit OPEB plans that are administered through trusts that meet the specified criteria and for employers whose employees are provided with defined contribution OPEB. This Statement also addresses certain circumstances in which a nonemployer entity provides financial support for OPEB of employees of another entity.

In this Statement, distinctions are made regarding the particular requirements depending upon whether the OPEB plans through which the benefits are provided are administered through trusts that meet the following criteria:

- Contributions from employers and nonemployer contributing entities to the OPEB plan and earnings on those contributions are irrevocable.
- OPEB plan assets are dedicated to providing OPEB to plan members in accordance with the benefit terms.
- OPEB plan assets are legally protected from the creditors of employers, nonemployer contributing entities, the OPEB plan administrator, and the plan members.

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

The requirements of this Statement are effective for financial statements for periods beginning after June 15, 2017. Early implementation is encouraged.

In June 2015, the GASB issued Statement No. 76, *The Hierarchy of Generally Accepted Accounting Principles for State and Local Governments*. The objective of this Statement is to identify—in the context of the current governmental financial reporting environment—the hierarchy of generally accepted accounting principles (GAAP). The "GAAP hierarchy" consists of the sources of accounting principles used to prepare financial statements of State and local governmental entities in conformity with GAAP and the framework for selecting those principles. This Statement reduces the GAAP hierarchy to two categories of authoritative GAAP and addresses the use of authoritative and non-authoritative literature in the event that the accounting treatment for a transaction or other event is not specified within a source of authoritative GAAP.

This Statement supersedes Statement No. 55, *The Hierarchy of Generally Accepted Accounting Principles for State and Local Governments*.

The requirements of this Statement are effective for financial statements for periods beginning after June 15, 2015, and should be applied retroactively. Earlier implementation is permitted.

NOTE 3 - DEPOSITS AND INVESTMENTS

Policies and Practices

The District is authorized under *California Government Code* to make direct investments in local agency bonds, notes, or warrants within the State; U.S. Treasury instruments; registered State warrants or treasury notes; securities of the U.S. Government, or its agencies; bankers acceptances; commercial paper; certificates of deposit placed with commercial banks and/or savings and loan companies; repurchase or reverse repurchase agreements; medium term corporate notes; shares of beneficial interest issued by diversified management companies, certificates of participation, obligations with first priority security; and collateralized mortgage obligations.

Investment in County Treasury - The District is considered to be an involuntary participant in an external investment pool as the District is required to deposit all receipts and collections of monies with their County Treasurer (*Education Code* Section (ECS) 41001). The fair value of the District's investment in the pool is reported in the accounting financial statements at amounts based upon the District's pro-rata share of the fair value provided by the County Treasurer for the entire portfolio (in relation to the amortized cost of that portfolio). The balance available for withdrawal is based on the accounting records maintained by the County Treasurer, which is recorded on the amortized cost basis.

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

General Authorizations

Limitations as they relate to interest rate risk, credit risk, and concentration of credit risk are indicated in the schedules below:

Authorized Investment Type	Maximum Remaining Maturity	Maximum Percentage of Portfolio	Maximum Investment in One Issuer
Local Agency Bonds, Notes, Warrants	5 years	None	None
Registered State Bonds, Notes, Warrants	5 years	None	None
U.S. Treasury Obligations	5 years	None	None
U.S. Agency Securities	5 years	None	None
Banker's Acceptance	180 days	40%	30%
Commercial Paper	270 days	25%	10%
Negotiable Certificates of Deposit	5 years	30%	None
Repurchase Agreements	1 year	None	None
Reverse Repurchase Agreements	92 days	20% of base	None
Medium-Term Corporate Notes	5 years	30%	None
Mutual Funds	N/A	20%	10%
Money Market Mutual Funds	N/A	20%	10%
Mortgage Pass-Through Securities	5 years	20%	None
County Pooled Investment Funds	N/A	None	None
Local Agency Investment Fund (LAIF)	N/A	None	None
Joint Powers Authority Pools	N/A	None	None

Summary of Deposits and Investments

Deposits and investments as of June 30, 2015, are classified in the accompanying financial statements as follows:

Primary government	\$ 38,261,401
Fiduciary funds	7,052,754
Total Deposits and Investments	<u>\$ 45,314,155</u>

Deposits and investments as of June 30, 2015, consist of the following:

Cash on hand and in banks	\$ 2,033,233
Cash in revolving	393
Investments	43,280,529
Total Deposits and Investments	<u>\$ 45,314,155</u>

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

Interest Rate Risk

Interest rate risk is the risk that changes in market interest rates will adversely affect the fair value of an investment. Generally, the longer the maturity of an investment, the greater the sensitivity of its fair value to changes in market interest rates. The District does not have a formal investment policy that limits investment maturities as a means of managing its exposure to fair value losses arising from increasing interest rates. The District manages its exposure to interest rate risk by investing in the County Pool which purchases a combination of shorter term and longer term investments and which also times cash flows from maturities so that a portion of the portfolio is maturing or coming close to maturity evenly over time as necessary to provide the cash flow and liquidity needed for operations.

Segmented Time Distribution

Information about the sensitivity of the fair values of the District's investments to market interest rate fluctuations as of June 30, 2015, is provided by the following schedules that show the distribution of the District's investments by maturity:

Investment Type	Fair Value	12 Months or Less	13 - 24 Months	25 - 60 Months	More Than 60 Months
Held by Trustee: Master Trusts	\$ 6,618,112	\$ -	\$ -	\$ -	\$ 6,618,112
Fresno County Pool	36,826,027	-	-	-	36,826,027
Total	<u>\$ 43,444,139</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ 43,444,139</u>

Custodial Credit Risk - Deposits

This is the risk that in the event of a bank failure, the District's deposits may not be returned to it. The District does not have a policy for custodial credit risk. However, the California Government Code requires that a financial institution secure deposits made by State or local governmental units by pledging securities in an undivided collateral pool held by a depository regulated under State law (unless so waived by the governmental unit). The market value of the pledged securities in the collateral pool must equal at least 110 percent of the total amount deposited by the public agency. California law also allows financial institutions to secure public deposits by pledging first trust deed mortgage notes having a value of 150 percent of the secured public deposits and letters of credit issued by the Federal Home Loan Bank of San Francisco having a value of 105 percent of the secured deposits. As of June 30, 2015, the District's bank balance of \$1,754,649 was exposed to custodial credit risk because it was uninsured and collateralized with securities held by the pledging financial institution's trust department or agent, but not in the name of the District.

Custodial Credit Risk - Investments

This is the risk that, in the event of the failure of the counterparty, the District will not be able to recover the value of its investments or collateral securities that are in possession of an outside party. For June 30, 2015, of the investment in Master Trusts of \$6,618,112, the District has a custodial credit risk because the related securities are uninsured, unregistered, and held by the brokerage firm which is also the counterparty for these securities.

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

NOTE 4 - ACCOUNTS RECEIVABLE

Accounts receivable at June 30, 2015, consist of intergovernmental grants, entitlements, interest, and other local sources.

	Primary Government	Fiduciary Funds	Total
Federal Government			
Categorical aid	\$ 1,487,508	\$ 24,339	\$ 1,511,847
State Government			
Categorical aid	943,007	9,681	952,688
Other state sources	349,483	-	349,483
Local Sources			
Interest	144,507	-	144,507
Taxes	79,588	-	79,588
Other local sources	321,377	75,425	396,802
Total	<u>\$ 3,325,470</u>	<u>\$ 109,445</u>	<u>\$ 3,434,915</u>
Student receivables	<u>\$ 2,773,367</u>	<u>\$ 58,769</u>	<u>\$ 2,832,136</u>

Discretely Presented Component Unit

The Foundation's accounts receivable consist primarily of short-term donations. In the opinion of management, all amounts have been deemed to be fully collectable.

NOTE 5 - PREPAID EXPENDITURES

Prepaid expenditures at June 30, 2015, consist of the following:

	Primary Government	Fiduciary Funds	Total
Travel and conferences	\$ 26,138	\$ -	\$ 26,138
Outside services	42,873	-	42,873
Scholarships	-	56,102	56,102
Total	<u>\$ 69,011</u>	<u>\$ 56,102</u>	<u>\$ 125,113</u>

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

NOTE 6 - CAPITAL ASSETS

Capital asset activity for the fiscal year ended June 30, 2015, was as follows:

	Balance Beginning of Year	Additions	Deductions	Balance End of Year
Capital Assets Not Being Depreciated				
Land	\$ 7,637,057	\$ -	\$ -	\$ 7,637,057
Construction in progress	1,899,060	-	1,459,608	439,452
Total Capital Assets Not Being Depreciated	9,536,117	-	1,459,608	8,076,509
Capital Assets Being Depreciated				
Land improvements	36,611,884	382,911	-	36,994,795
Buildings and improvements	126,958,885	181,590	-	127,140,475
Furniture and equipment	6,000,839	111,626	552,039	5,560,426
Total Capital Assets Being Depreciated	169,571,608	676,127	552,039	169,695,696
Total Capital Assets	179,107,725	676,127	2,011,647	177,772,205
Less Accumulated Depreciation				
Land improvements	7,932,422	1,412,591	-	9,345,013
Buildings and improvements	35,796,643	3,923,064	-	39,719,707
Furniture and equipment	4,355,474	460,137	896,077	3,919,534
Total Accumulated Depreciation	48,084,539	5,795,792	896,077	52,984,254
Net Capital Assests	<u>\$ 131,023,186</u>	<u>\$ (5,119,665)</u>	<u>\$ 1,115,570</u>	<u>\$ 124,787,951</u>

Depreciation expense for the year was \$5,795,792, including \$430,996 related to capitalized interest. No additional interest was capitalized during the year.

NOTE 7 - ACCOUNTS PAYABLE

Accounts payable at June 30, 2015, consist of the following:

	Primary Government	Fiduciary Funds	Total
Vendor invoices	\$ 1,906,566	\$ 221,974	\$ 2,128,540
Salaries and wages payable	1,151,826	11,115	1,162,941
Student refunds payable	-	290,513	290,513
Total	<u>\$ 3,058,392</u>	<u>\$ 523,602</u>	<u>\$ 3,581,994</u>

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

Discretely Presented Component Unit

The accounts payable of Foundation consist primarily of amounts owed to vendors for supplies and services.

NOTE 8 - UNEARNED REVENUE

Unearned revenue at June 30, 2015, consists of the following:

	Primary Government	Fiduciary Funds	Total
Student financial assistance	\$ 39,025	\$ 56,150	\$ 95,175
State categorical aid	3,315,845	-	3,315,845
Enrollment fees	4,034,642	-	4,034,642
Other local	151,566	25,846	177,412
Total	<u>\$ 7,541,078</u>	<u>\$ 81,996</u>	<u>\$ 7,623,074</u>

NOTE 9 - INTERFUND TRANSACTIONS

Interfund Receivables and Payable (Due To/Due From)

Interfund receivable and payable balances arise from interfund transactions and are recorded by all funds affected in the period in which transactions are executed. Interfund activity within the primary government and fiduciary funds has been eliminated respectively in the consolidation process of the basic financial statements and totaled \$8,456,048 before the consolidation.

Interfund Operating Transfers

Operating transfers between funds of the District are used to (1) move revenues from the fund that statute or budget requires to collect them to the fund that statute or budget requires to expend them, (2) move receipts restricted to debt service from the funds collecting the receipts to the debt service fund as debt service payments become due, and (3) use restricted revenues collected in the General Fund to finance various programs accounted for in other funds in accordance with budgetary authorizations. Operating transfers within the funds of the District have been eliminated in the consolidation process and amounted to \$15,958,507.

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

NOTE 10 - LONG-TERM OBLIGATIONS OTHER THAN PENSIONS

The changes in the District's long-term obligations other than pensions during the year consisted of the following:

	Balance Beginning of Year (as restated)	Additions	Deductions	Balance End of Year	Current Portion
General obligation bonds - 2005 Refunding	\$ 11,935,000	\$ -	\$ 11,430,000	\$ 505,000	\$ 505,000
General obligation refunding bonds - 2012	2,890,000	-	145,000	2,745,000	145,000
Bond premium (18 year amortization)	62,950	-	3,934	59,016	3,934
General obligation bonds - 2008 (Northern)					
Current interest	2,745,000	-	2,110,000	635,000	-
Capital appreciation	1,148,631	80,075	85,000	1,143,706	100,000
Bond premium (25 year amortization)	292,284	-	14,614	277,670	14,614
General obligation bonds - 2008, B (Northern)					
Current interest	7,800,000	-	60,000	7,740,000	70,000
Capital appreciation	184,259	14,759	-	199,018	-
Bond premium (25 year amortization)	267,693	-	11,639	256,054	11,639
General obligation bonds - 2015 Refunding (Northern), Series A	-	2,270,000	-	2,270,000	-
General obligation bonds - 2015 Refunding (Northern), Series A Premium (14 year amortization)	-	217,267	-	217,267	15,519
General obligation bonds - 2008 (Coalinga)					
Current interest	2,380,000	-	-	2,380,000	-
Capital appreciation	470,680	40,360	100,000	411,040	100,000
Bond premium (25 year amortization)	254,224	-	12,711	241,513	12,711
General obligation bonds - 2008, B (Coalinga)					
Current interest	6,590,000	-	65,000	6,525,000	105,000
Capital appreciation	2,330,502	176,431	-	2,506,933	-
Bond premium (25 year amortization)	336,232	-	14,619	321,613	14,619
General obligation bonds - 2008 (Lemoore)					
Current interest	4,955,000	-	-	4,955,000	-
Capital appreciation	865,214	88,573	145,000	808,787	155,000
Bond premium (25 year amortization)	354,111	-	17,706	336,405	17,706
General obligation bonds - 2008, B (Lemoore)					
Current interest	9,625,000	-	-	9,625,000	-
Capital appreciation	3,560,925	294,117	40,000	3,815,042	-
Bond premium (30 year amortization)	665,291	-	24,640	640,651	24,640
General obligation bonds - 2015 Refunding, Series C	-	10,395,000	-	10,395,000	-
General obligation bonds - 2015 Refunding, Series C Premium (16 year amortization)	-	841,645	-	841,645	52,603
General obligation bonds - 2014, Series A Ed Tech	-	4,015,000	-	4,015,000	-
Certificates of Participation - 2008	70,200,000	-	70,200,000	-	-
Capital leases	1,195,744	16,455	285,385	926,814	292,883
CDE-Child Care Revolving Loan	168,000	-	42,000	126,000	42,000
Total Long-Term Obligations	<u>\$ 131,276,740</u>	<u>\$ 18,449,682</u>	<u>\$ 84,807,248</u>	<u>\$ 64,919,174</u>	<u>\$ 1,682,868</u>
Compensated absences-net	<u>\$ 1,116,750</u>	<u>\$ 395,586</u>	<u>\$ -</u>	<u>\$ 1,512,336</u>	

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

Description of Debt

Payments on the Certificates of Participation are paid by the COP Debt Service Fund. Payments on the general obligation bonds are made by the Bond Interest and Redemption Fund with local property tax revenues. The accrued vacation will be paid by the fund for which the employee worked. The Day Care Center loans are paid by the Child Development Fund and the capital leases are paid by the General and Special Revenue Funds.

The District has utilized capital lease agreements to purchase land, buildings, and equipment. The current lease purchase agreements in the amount of \$926,814 will be paid through the General and the Other Special Revenue Funds.

Bonded Debt

The District is empowered and obligated to cause to be levied ad valorem taxes, for the payment of interest on, and principal and accreted value of the bonds, upon all property subject to taxation by the District (except certain personal property which is taxable at limited rates) without limitation of rate or amount.

The outstanding general obligation bonded debt is as follows:

Issue Year	Maturity Year	Interest Rate	Original Issue	Bonds Outstanding July 1, 2014	Accreted/ Issued	Defeased/ Redeemed	Bonds Outstanding June 30, 2015
2005	2032	2.5-4.75%	\$ 15,600,000	\$ 11,935,000	\$ -	\$ 11,430,000	\$ 505,000
2012	2030	2.0-3.5%	3,080,000	2,890,000	-	145,000	2,745,000
2015	2031	.59-3.72%	10,395,000	-	10,395,000	-	10,395,000
2015	2020	1.4%	4,015,000	-	4,015,000	-	4,015,000
Northern:							
2005	2034	3.41-4.950%	3,839,677	3,893,631	80,075	2,195,000	1,778,706
2012	2038	2.0-4.23%	7,957,059	7,984,259	14,759	60,000	7,939,018
2015	2029	2.42-3.56%	2,270,000	-	2,270,000	-	2,270,000
Coalinga:							
2009	2033	2.62-5.08%	2,998,815	2,850,680	40,360	100,000	2,791,040
2012	2034	2.0-4.21%	4,498,812	8,920,502	176,431	65,000	9,031,933
Lemoore:							
2009	2034	2.62-5.42%	5,999,837	5,820,214	88,573	145,000	5,763,787
2011	2042	2.56-7.40%	12,343,909	13,185,925	294,117	40,000	13,440,042
Total				<u>\$ 57,480,211</u>	<u>\$ 17,374,315</u>	<u>\$ 14,180,000</u>	<u>\$ 60,674,526</u>

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

Debt Service Requirements to Maturity

2005 Issue - General Obligation Bonds - Refunding

<u>Fiscal Year</u>	<u>Principal</u>	<u>Interest to Maturity</u>	<u>Total</u>
2016	\$ 505,000	\$ 10,100	\$ 515,100

2012 Issue - General Obligation Bonds - Refunding

<u>Fiscal Year</u>	<u>Principal</u>	<u>Interest to Maturity</u>	<u>Total</u>
2016	\$ 145,000	\$ 88,850	\$ 233,850
2017	150,000	54,500	204,500
2018	155,000	80,000	235,000
2019	160,000	76,900	236,900
2020	160,000	72,900	232,900
2021-2025	905,000	272,350	1,177,350
2026-2030	1,070,000	111,688	1,181,688
Total	<u>\$ 2,745,000</u>	<u>\$ 757,188</u>	<u>\$ 3,502,188</u>

2015, Series C Issue - General Obligation Bonds - Refunding

<u>Fiscal Year</u>	<u>Principal</u>	<u>Interest to Maturity</u>	<u>Total</u>
2016	\$ -	\$ -	\$ -
2017	445,000	499,332	944,332
2018	515,000	429,538	944,538
2019	540,000	403,787	943,787
2020	570,000	376,788	946,788
2021-2025	3,275,000	1,458,187	4,733,187
2026-2030	4,130,000	606,637	4,736,637
2031	920,000	32,200	952,200
Total	<u>\$ 10,395,000</u>	<u>\$ 3,806,469</u>	<u>\$ 14,201,469</u>

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

2015 Issue - General Obligation Bonds - Ed Tech

<u>Fiscal Year</u>	<u>Principal</u>	<u>Interest to Maturity</u>	<u>Total</u>
2016	\$ -	\$ 51,057	\$ 51,057
2017	850,000	50,260	900,260
2018	1,005,000	37,275	1,042,275
2019	1,055,000	22,855	1,077,855
2020	1,105,000	7,735	1,112,735
Total	<u>\$ 4,015,000</u>	<u>\$ 169,182</u>	<u>\$ 4,184,182</u>

2008 Northern Series A, Current Interest General Obligation Bonds

<u>Fiscal Year</u>	<u>Principal</u>	<u>Interest to Maturity</u>	<u>Total</u>
2016	\$ -	\$ 16,669	\$ 16,669
2017	-	33,338	33,338
2018	-	33,338	33,338
2019	130,000	33,338	163,338
2020	150,000	26,513	176,513
2021-2022	355,000	28,613	383,613
Subtotal	<u>\$ 635,000</u>	<u>\$ 171,809</u>	<u>\$ 806,809</u>

2008 Northern Series A, Capital Appreciation General Obligation Bonds

<u>Year Ending June 30,</u>	<u>Value at Maturity</u>	<u>Accreted Obligation</u>	<u>Interest to Accrete</u>
2016	\$ 100,000	\$ 100,000	\$ -
2017	105,000	94,332	10,668
2018	120,000	96,864	23,136
2030-2034	2,406,061	852,510	1,553,551
Total	<u>\$ 2,731,061</u>	<u>\$ 1,143,706</u>	<u>\$ 1,587,355</u>

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

2008 Northern, Series B, Current Interest General Obligation Bonds

<u>Fiscal Year</u>	<u>Principal</u>	<u>Interest to Maturity</u>	<u>Total</u>
2016	\$ 70,000	\$ 330,381	\$ 400,381
2017	90,000	328,981	418,981
2018	100,000	327,181	427,181
2019	120,000	325,181	445,181
2020	130,000	321,581	451,581
2021-2025	550,000	1,572,805	2,122,805
2026-2030	1,290,000	1,427,969	2,717,969
2031-2035	2,325,000	1,144,688	3,469,688
2036-2038	3,065,000	314,750	3,379,750
Total	<u>\$ 7,740,000</u>	<u>\$ 6,093,517</u>	<u>\$ 13,833,517</u>

2008 Northern, Series B, Capital Appreciation General Obligation Bonds

<u>Year Ending June 30,</u>	<u>Value at Maturity</u>	<u>Accreted Obligation</u>	<u>Interest to Accrete</u>
2021-2022	<u>\$ 305,000</u>	<u>\$ 199,018</u>	<u>\$ 105,982</u>

2015, Series A, Current Interest General Obligation Refunding Bonds (Northern)

<u>Fiscal Year</u>	<u>Principal</u>	<u>Interest to Maturity</u>	<u>Total</u>
2016	\$ -	\$ -	\$ -
2017	-	111,042	111,042
2018	-	97,500	97,500
2019	-	97,500	97,500
2020	-	97,500	97,500
2021-2025	795,000	450,250	1,245,250
2026-2029	1,475,000	135,950	1,610,950
Total	<u>\$ 2,270,000</u>	<u>\$ 989,742</u>	<u>\$ 3,259,742</u>

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

2008 Coalinga Series A, Current Interest General Obligation Bonds

Fiscal Year	Principal	Interest to Maturity	Total
2016	\$ -	\$ 132,950	\$ 132,950
2017	-	132,950	132,950
2018	-	132,950	132,950
2019	-	132,950	132,950
2020	-	132,950	132,950
2021-2025	545,000	599,287	1,144,287
2026-2030	835,000	409,250	1,244,250
2031-2034	1,000,000	115,500	1,115,500
Subtotal	<u>\$ 2,380,000</u>	<u>\$ 1,788,787</u>	<u>\$ 4,168,787</u>

2008 Coalinga Series A, Capital Appreciation General Obligation Bonds

Year Ending June 30,	Value at Maturity	Accreted Obligation	Interest to Accrete
2016	\$ 100,000	\$ 100,000	\$ -
2017	100,000	90,180	9,820
2018	100,000	81,340	18,660
2019	100,000	73,360	26,640
2020	100,000	66,160	33,840
Total	<u>\$ 500,000</u>	<u>\$ 411,040</u>	<u>\$ 88,960</u>

2008 Coalinga, Series B, Current Interest General Obligation Bonds

Fiscal Year	Principal	Interest to Maturity	Total
2016	\$ 105,000	\$ 248,225	\$ 353,225
2017	-	245,078	245,078
2018	-	245,075	245,075
2019	-	245,075	245,075
2020	-	245,075	245,075
2021-2025	370,000	1,220,275	1,590,275
2026-2030	1,430,000	1,085,451	2,515,451
2031-2035	1,280,000	770,113	2,050,113
2036-2039	3,340,000	407,200	3,747,200
Subtotal	<u>\$ 6,525,000</u>	<u>\$ 4,711,567</u>	<u>\$ 11,236,567</u>

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

2008 Coalinga, Series B, Capital Appreciation General Obligation Bonds:

Year Ending June 30,	Value at Maturity	Accreted Obligation	Interest to Accrete
2017	\$ 140,000	\$ 124,600	\$ 15,400
2018	160,000	126,720	33,280
2019	180,000	126,900	53,100
2020-2023	945,000	494,238	450,762
Total	<u>\$ 1,425,000</u>	<u>\$ 872,458</u>	<u>\$ 552,542</u>

2008 Coalinga, Series B, Convertible Capital Appreciation Term General Obligation Bonds:

Capital Appreciation Term Bonds:

Year Ending June 30,	Value at Maturity	Accreted Obligation	Interest to Accrete
2023	<u>\$ 2,325,000</u>	<u>\$ 1,634,475</u>	<u>\$ 690,525</u>

Upon maturity of capital appreciation term bonds, current interest bond payment requirements:

Year Ending June 30,	Principal	Interest	Total
2033	\$ 515,000	\$ 118,575	\$ 633,575
2034	865,000	92,310	957,310
2035	945,000	48,195	993,195
Total	<u>\$ 2,325,000</u>	<u>\$ 259,080</u>	<u>\$ 2,584,080</u>

2008 Lemoore Series A, Current Interest General Obligation Bonds

Fiscal Year	Principal	Interest to Maturity	Total
2016	\$ -	\$ 267,546	\$ 267,546
2017	-	267,546	267,546
2018	-	267,546	267,546
2019	-	267,546	267,546
2020	-	267,546	267,546
2021-2025	985,000	1,275,764	2,260,764
2026-2030	1,825,000	922,721	2,747,721
2031-2034	2,145,000	310,287	2,455,287
Subtotal	<u>\$ 4,955,000</u>	<u>\$ 3,846,502</u>	<u>\$ 8,801,502</u>

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

2008 Lemoore Series A, Capital Appreciation General Obligation Bonds

Year Ending June 30,	Value at Maturity	Accreted Obligation	Interest to Accrete
2016	\$ 155,000	\$ 155,000	\$ -
2017	165,000	146,949	18,051
2018	175,000	138,775	36,225
2019	185,000	130,647	54,353
2020	195,000	122,616	72,384
2021	205,000	114,800	90,200
Total	<u>\$ 1,080,000</u>	<u>\$ 808,787</u>	<u>\$ 271,213</u>

2008 Lemoore, Series B, Current Interest General Obligation Bonds and Convertible Capital Appreciation Bonds

Fiscal Year	Principal/ Accreted Obligation	Interest to Maturity	Total
2016	\$ -	\$ 603,600	\$ 603,600
2017	-	603,600	603,600
2018	-	603,600	603,600
2019	-	603,600	603,600
2020	-	603,600	603,600
2021-2025	210,000	3,018,000	3,228,000
2026-2030	1,045,000	4,357,725	5,402,725
2031-2035	1,245,016	6,179,878	7,424,894
2036-2040	5,399,704 ¹	6,395,922	11,795,626
2041-2042	4,850,000 ¹	481,000	5,331,000
Subtotal	<u>\$ 12,749,720</u>	<u>\$ 23,450,525</u>	<u>\$ 36,200,245</u>

¹ A portion of the obligation reflects the current accreted obligation on the Capital Appreciation Bonds that will, on August 1, 2026, convert to Current Interest Bonds which will fully mature on August 31, 2028.

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

2008 Lemoore, Series B, Capital Appreciation General Obligation Bonds

Year Ending June 30,	Value at Maturity	Accreted Obligation	Interest to Accrete
2016	\$ 30,000	\$ 26,700	\$ 3,300
2017	65,000	51,480	13,520
2018	95,000	66,975	28,025
2019	130,000	81,562	48,438
2020	170,000	94,928	75,072
2021-2024	865,000	368,677	496,323
Total	<u>\$ 1,355,000</u>	<u>\$ 690,322</u>	<u>\$ 664,678</u>

Certificates of Participation

In July 2008, the West Hills Community College District Financing Corporation issued certificates of participation in the amount of \$70,200,000 with varying interest rates which were paid in full during the current fiscal year.

Capital Leases

The District's liability on lease agreements with options to purchase are summarized below:

Balance, July 1, 2014	\$ 1,195,744
Additions	16,455
Payments	285,385
Balance, June 30, 2015	<u>\$ 926,814</u>

The capital leases have minimum lease payments as follows:

Year Ending June 30,	Lease Payment
2016	\$ 331,735
2017	331,735
2018	176,171
2019	176,171
2020	2,523
Total	<u>1,018,335</u>
Less: Amount Representing Interest	91,521
Present Value of Minimum Lease Payments	<u>\$ 926,814</u>

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

CDE Revolving Loan

The District entered into four separate interest-free facilities loans with the California Department of Education for child care facilities; two facilities at the Firebaugh campus and two at the Lemoore campus. The loans were each for \$130,000 and are to be repaid over a ten year period interest free.

The remaining lease payments are as follows:

Year Ending June 30,	Lease Payment
2016	\$ 42,000
2017	42,000
2018	42,000
Total	<u>\$ 126,000</u>

NOTE 11 - POSTEMPLOYMENT HEALTH CARE PLAN AND OTHER POSTEMPLOYMENT BENEFITS (OPEB) ASSET

The District provides postemployment health care benefits for retired employees in accordance with negotiated contracts with the various bargaining units of the District.

Plan Description

The Plan (the Plan) is a single-employer defined benefit healthcare plan administered by West Hills Community College District. The Plan provides medical and dental insurance benefits to eligible retirees and their spouses. Membership of the Plan consists of 57 retirees and beneficiaries currently receiving benefits and over 272 active plan members.

Contribution Information

The contribution requirements of plan members and the District are established and may be amended by the District and the District's bargaining units. The required contribution is based on projected pay-as-you-go financing requirements with an additional amount to prefund benefits as determined annually through agreements between the District and the bargaining units. For fiscal year 2015, the District contributed 100 percent of the required "pay as you go" portion of \$463,000 and has also contributed funds totaling \$589,822 towards the future obligations of the District. The annual required contribution (ARC) for the District was \$837,975. The net amount of the Trust's investment returns/losses and the cumulative balance of the ARC has left a Net Plan Asset totaling \$2,662,793 as of June 30, 2015.

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

Annual OPEB Cost and Net OPEB Asset

The District's annual OPEB cost (expense) is calculated based on the annual required contribution of the employer (ARC), an amount actuarially determined in accordance with the payments of GASB Statement No. 45. The ARC represents a level of funding that, if paid on an ongoing basis, is projected to cover normal cost each year and amortize any unfunded actuarial accrued liabilities (UAAL) (or funding costs) over a period not to exceed 30 years. The following table shows the components of the District's annual OPEB cost for the year, the amount actually contributed to the Plan, and changes in the District's net OPEB asset to the Plan:

Annual required contribution	\$ (837,975)
Additional interest earned, net of expenses, on net plan assets	(50,927)
Adjustment to annual required contribution	(255,117)
Annual OPEB cost (expense)	<u>(1,144,019)</u>
Contributions made	<u>1,052,822</u>
Change in net OPEB asset	(91,197)
Net OPEB asset, beginning of year	<u>2,753,990</u>
Net OPEB asset, end of year	<u><u>\$ 2,662,793</u></u>

Trend Information

The annual OPEB cost, the percentage of annual OPEB cost contributed to the Plan, and the net OPEB asset for the past is as follows:

Year Ended June 30,	Annual Required Contribution	Percentage Contributed	Net OPEB Asset
2015	\$ 837,975	159%	\$ 2,662,793
2014	661,234	133%	2,753,990
2013	455,083	149%	2,190,852

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

Funding Status and Funding Progress

A schedule of funding progress as of the most recent actuarial valuation is as follows:

Actuarial Valuation Date	Value of Assets (a)	Actuarial Accrued Liability (AAL) - Entry Age Normal Method (b)	Unfunded AAL (UAAL) (b - a)	Funded Ratio (a / b)	Covered Payroll (c)	UAAL as a Percentage of Covered Payroll ([b - a] / c)
November 1, 2014	\$ 6,040,662	\$ 10,670,120	\$ 4,629,458	56.61%	\$ 23,836,774	19.42%

Actuarial valuation of an ongoing plan involves estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality, and the healthcare cost trend. Amounts determined regarding the funded status of the Plan and the annual required contribution of the employer are subject to continual revision as actual results are compared with past expectations and new estimates are made about the future. The Schedule of Other Postemployment Benefits Funding Progress, presented as required supplementary information, follows the notes to the financial statements and presents multi-year trend information about whether the actuarial value of Plan assets is increasing or decreasing over time relative to the actuarial accrued liabilities for benefits.

Actuarial Methods and Assumptions

Projections of benefits for financial reporting purposes are based on the substantive Plan (the Plan as understood by the employer and the Plan members) and include the types of benefits provided at the time of each valuation and the historical pattern of sharing of benefit costs between the employer and the Plan members to that point. The actuarial methods and assumptions used include techniques that are designed to reduce the effects of short-term volatility in actuarial accrued liabilities and the actuarial values of assets, consistent with the long-term perspective of the calculations.

In the November 1, 2014, actuarial valuation, the entry age normal method was used. The actuarial assumptions included a 6.5 percent investment rate of return (net of administrative expenses), based on the Plan being funded in an irrevocable employee benefit trust fund invested in a long-term fixed income portfolio. Healthcare cost trend rates was 4.0 percent. The cost trend rate used for the Dental and Vision Programs was 4.0 percent. The UAAL is being amortized at a level dollar method. The remaining amortization period at June 30, 2015, was 19 years. As of June 30, 2015, the Trust held assets with a value of \$6,618,112.

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

NOTE 12 - RISK MANAGEMENT

Joint Powers Authority Risk Pools

During fiscal year ended June 30, 2015, the District contracted with the Statewide Association of Community Colleges (SWACC) Joint Powers Authority for property and liability insurance coverage. Settled claims have not exceeded this commercial coverage in any of the past three years. There has not been a significant reduction in coverage from the prior year.

Workers' Compensation

For fiscal year 2014-2015, the District participated in the Protected Insurance Program for Schools (PIPS) Joint Powers Authority, an insurance purchasing pool. The intent of PIPS is to achieve the benefit of a reduced premium for the District by virtue of its grouping and representation with other participants in PIPS. The workers' compensation experience of the participating districts is calculated as one experience, and a common premium rate is applied to all districts in PIPS. Each participant pays its workers' compensation premium based on its individual rate. Total savings are then calculated and each participant's individual performance is compared to the overall saving. A participant will then either receive money from or be required to contribute to the "equity-pooling fund." This "equity pooling" arrangement insures that each participant shares equally in the overall performance of PIPS. Participation in PIPS is limited to community college districts that can meet PIPS's selection criteria.

NOTE 13 - EMPLOYEE RETIREMENT SYSTEMS

Qualified employees are covered under multiple-employer defined benefit pension plans maintained by agencies of the State of California. Academic employees are members of CalSTRS and classified employees are members of CalPERS.

The District implemented GASB Statements No. 68 and No. 71 for the fiscal year ended June 30, 2015. As a result, the District reported its proportionate share of the net pension liabilities, pension expense, and deferred inflow of resources for each of the above plans and a deferred outflow of resources for each of the above plans as follows:

Pension Plan	Proportionate Share of Net Pension Liability	Deferred Outflow of Resources	Proportionate Share of Deferred Inflow of Resources	Proportionate Share of Pension Expense
CalSTRS	\$ 16,872,365	\$ 1,070,578	\$ 4,154,788	\$ 1,456,630
CalPERS	12,629,704	1,386,708	4,339,708	1,122,523
Total	<u>\$ 29,502,069</u>	<u>\$ 2,457,286</u>	<u>\$ 8,494,496</u>	<u>\$ 2,579,153</u>

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

The details of each plan are as follows:

California State Teachers' Retirement System (CalSTRS)

Plan Description

The District contributes to the State Teachers' Retirement Plan (STRP) administered by CalSTRS. STRP is a cost-sharing multiple-employer public employee retirement system defined benefit pension plan. Benefit provisions are established by State statutes, as legislatively amended, within the State Teachers' Retirement Law.

A full description of the pension plan regarding benefit provisions, assumptions (for funding, but not accounting purposes), and membership information is listed in the June 30, 2013, annual actuarial valuation report, Defined Benefit Program Actuarial Valuation. This report and CalSTRS audited financial information are publically available reports that can be found on the CalSTRS website under Publications at: <http://www.calstrs.com/member-publications>.

Benefits Provided

The STRP provides retirement, disability, and survivor benefits to beneficiaries. Benefits are based on members' final compensation, age, and years of service credit. Members hired on or before December 31, 2012, with five years of credited service are eligible for the normal retirement benefit at age 60. Members hired on or after January 1, 2013, with five years of credited service are eligible for the normal retirement benefit at age 62. The normal retirement benefit is equal to 2.0 percent of final compensation for each year of credited service.

The STRP is comprised of four programs: Defined Benefit Program, Defined Benefit Supplement Program, Cash Balance Benefit Program, and Replacement Benefits Program. The STRP holds assets for the exclusive purpose of providing benefits to members and beneficiaries of these programs. CalSTRS also uses plan assets to defray reasonable expenses of administering the STRP. Although CalSTRS is the administrator of the STRP, the State is the sponsor of the STRP and obligor of the trust. In addition, the State is both an employer and nonemployer contributing entity to the STRP.

The District contributes exclusively to the STRP Defined Benefit Program, thus disclosures are not included for the other plans.

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

The STRP provisions and benefits in effect at June 30, 2015, are summarized as follows:

	STRP Defined Benefit Program	
	On or before	On or after
Hire date	December 31, 2012	January 1, 2013
Benefit formula	2% at 60	2% at 62
Benefit vesting schedule	5 years of service	5 years of service
Benefit payments	Monthly for life	Monthly for life
Retirement age	60	62
Monthly benefits as a percentage of eligible compensation	2.0% - 2.4%	2.0% - 2.4%
Required employee contribution rate	8.15%	8.15%
Required employer contribution rate	8.88%	8.88%
Required state contribution rate	5.95%	5.95%

Contributions

Required member, District, and State of California contribution rates are set by the California Legislature and Governor and detailed in Teachers' Retirement Law. The contribution rates are expressed as a level percentage of payroll using the entry age normal actuarial method. In accordance with AB 1469, employer contributions into the CalSTRS will be increasing to a total of 19.1 percent of applicable member earnings phased over a seven-year period. The contribution rates for each plan for the year ended June 30, 2015, are presented above, and the District's total contributions were \$1,070,578.

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2015, the District reported a liability for its proportionate share of the net pension liability that reflected a reduction for State pension support provided to the District. The amount recognized by the District as its proportionate share of the net pension liability, the related State support, and the total portion of the net pension liability that was associated with the District were as follows:

Total net pension liability, including State share:

District's proportionate share of net pension liability	\$ 16,872,365
State's proportionate share of the net pension liability associated with the District	10,188,262
Total	<u>\$ 27,060,627</u>

The net pension liability was measured as of June 30, 2014. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plan relative to the projected contributions of all participating college districts and the State, actuarially determined. At June 30, 2015, the District's proportion was 0.0289 percent.

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

For the year ended June 30, 2015, the District recognized pension expense of \$1,456,630. In addition, the District recognized revenue and pension expense of \$879,576 for support provided by the State. At June 30, 2015, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Pension contributions subsequent to measurement date	\$ 1,070,578	\$ -
Difference between projected and actual earnings on pension plan investments	-	4,154,788
Total	<u>\$ 1,070,578</u>	<u>\$ 4,154,788</u>

The deferred outflow of resources related to pensions resulting from District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2016. The deferred inflow of resources related to the difference between projected and actual earnings on pension plan investments will be amortized over a closed five-year period and will be recognized in pension expense as follows:

Year Ended June 30,	Amortization
2016	\$ 1,038,697
2017	1,038,697
2018	1,038,697
2019	1,038,697
Total	<u>\$ 4,154,788</u>

Actuarial Methods and Assumptions

Total pension liability for STRP was determined by applying update procedures to a financial reporting actuarial valuation as of June 30, 2013, and rolling forward the total pension liability to June 30, 2014. The financial reporting actuarial valuation as of June 30, 2013, used the following methods and assumptions, applied to all prior periods included in the measurement:

Valuation date	June 30, 2013
Measurement date	June 30, 2014
Experience study	July 1, 2006 through June 30, 2010
Actuarial cost method	Entry age normal
Discount rate	7.60%
Investment rate of return	7.60%
Consumer price inflation	3.00%
Wage growth	3.75%

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

CalSTRS uses custom mortality tables to best fit the patterns of mortality among its members. These custom tables are based on RP2000 series tables adjusted to fit CalSTRS experience.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense, and inflation) are developed for each major asset class. The best estimate ranges were developed using capital market assumptions from CalSTRS general investment consultant. Based on the model for CalSTRS consulting actuary investment practice, a best estimate range was determined assuming the portfolio is re-balanced annually and that the annual returns are lognormally distributed and independent from year to year to develop expected percentile for the long-term distribution of annualized returns. The assumed asset allocation is based on board policy for target asset allocation in effect on February 2, 2012, the date the current experience study was approved by the board. Best estimates of 10-year geometric real rates of return and the assumed asset allocation for each major asset class used as input to develop the actuarial investment rate of return are summarized in the following table:

Asset Class	Assumed Asset Allocation	Long-Term Expected Real Rate of Return
Global equity	47%	4.50%
Private equity	12%	6.20%
Real estate	15%	4.35%
Inflation sensitive	5%	3.20%
Fixed income	20%	0.20%
Cash/liquidity	1%	0.00%

Discount Rate

The discount rate used to measure the total pension liability was 7.60 percent. The projection of cash flows used to determine the discount rate assumed the contributions from plan members and employers will be made at statutory contribution rates. Projected inflows from investment earnings were calculated using the long-term assumed investment rate of return (7.60 percent) and assuming that contributions, benefit payments, and administrative expense occurred midyear. Based on these assumptions, the STRP's fiduciary net position was projected to be available to make all projected future benefit payments to current plan members. Therefore, the long-term assumed investment rate of return was applied to all periods of projected benefit payments to determine total pension liability.

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

The following presents the District's proportionate share of the net pension liability calculated using the current discount rate, as well as what the net pension liability would be if it were calculated using a discount rate that is one percent lower or higher than the current rate:

Discount Rate	Net Pension Liability
1% decrease (6.60%)	\$ 26,299,604
Current discount rate (7.60%)	\$ 16,872,365
1% increase (8.60%)	\$ 9,011,761

California Public Employees' Retirement System (CalPERS)

Plan Description

Qualified employees are eligible to participate in the School Employer Pool (SEP) under CalPERS, a cost-sharing multiple-employer public employee retirement system defined benefit pension plan administered by CalPERS. Benefit provisions are established by State statutes, as legislatively amended, within the Public Employees' Retirement Law.

A full description of the pension plan regarding benefit provisions, assumptions (for funding, but not accounting purposes), and membership information is listed in the June 30, 2013, annual actuarial valuation report, Schools Pool Actuarial Valuation, 2013. This report and CalPERS audited financial information are publically available reports that can be found on the CalPERS website under Forms and Publications at: <https://www.calpers.ca.gov/page/forms-publications>.

Benefits Provided

CalPERS provides service retirement and disability benefits, annual cost of living adjustments, and death benefits to plan members who must be public employees and beneficiaries. Benefits are based on years of service credit, a benefit factor, and the member's final compensation. Members hired on or before December 31, 2012, with five years of total service are eligible to retire at age 50 with statutorily reduced benefits. Members hired on or after January 1, 2013, with five years of total service are eligible to retire at age 52 with statutorily reduced benefits. All members are eligible for non-duty disability benefits after five years of service. The Basic Death Benefit is paid to any member's beneficiary if the member dies while actively employed. An employee's eligible survivor may receive the 1957 Survivor Benefit if the member dies while actively employed, is at least age 50 (or age 52 for members hired on or after January 1, 2013), and has at least five years of credited service. The cost of living adjustments for each plan are applied as specified by the Public Employees' Retirement Law.

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS JUNE 30, 2015

The CalPERS provisions and benefits in effect at June 30, 2015, are summarized as follows:

	School Employer Pool (CalPERS)	
	On or before	On or after
Hire date	December 31, 2012	January 1, 2013
Benefit formula	2% at 55	2% at 62
Benefit vesting schedule	5 years of service	5 years of service
Benefit payments	Monthly for life	Monthly for life
Retirement age	55	62
Monthly benefits as a percentage of eligible compensation	1.1% - 2.5%	1.0% - 2.5%
Required employee contribution rate	7.000%	6.000%
Required employer contribution rate	11.771%	11.771%

Contributions

Section 20814(c) of the California Public Employees' Retirement Law requires that the employer contribution rates for all public employers be determined on an annual basis by the actuary and shall be effective on July 1 following notice of a change in the rate. Total plan contributions are calculated through the CalPERS annual actuarial valuation process. The actuarially determined rate is the estimated amount necessary to finance the costs of benefits earned by employees during the year, with an additional amount to finance any unfunded accrued liability. The District is required to contribute the difference between the actuarially determined rate and the contribution rate of employees. The contribution rates are expressed as a percentage of annual payroll. The contribution rates for each plan for the year ended June 30, 2015, are presented above, and the total District contributions were \$1,386,708.

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

As of June 30, 2015, the District reported net pension liabilities for its proportionate share of the CalPERS net pension liability totaling \$12,629,704. The net pension liability was measured as of June 30, 2014. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plan relative to the projected contributions of all participating college districts, actuarially determined. At June 30, 2015, the District's proportion was 0.1113 percent.

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

For the year ended June 30, 2015, the District recognized pension expense of \$1,122,523. At June 30, 2015, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Pension contributions subsequent to measurement date	\$ 1,386,708	\$ -
Difference between projected and actual earnings on pension plan investments	-	4,339,708
Total	<u>\$ 1,386,708</u>	<u>\$ 4,339,708</u>

The deferred outflow of resources related to pensions resulting from District contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2016. The deferred inflow of resources related to the difference between projected and actual earnings on pension plan investments will be amortized over a closed five-year period and will be recognized in pension expense as follows:

Year Ended June 30,	Amortization
2016	\$ 1,084,927
2017	1,084,927
2018	1,084,927
2019	1,084,927
Total	<u>\$ 4,339,708</u>

Actuarial Methods and Assumptions

Total pension liability for the SEP was determined by applying update procedures to a financial reporting actuarial valuation as of June 30, 2013, and rolling forward the total pension liability to June 30, 2014. The financial reporting actuarial valuation as of June 30, 2013, used the following methods and assumptions, applied to all prior periods included in the measurement:

Valuation date	June 30, 2013
Measurement date	June 30, 2014
Experience study	July 1, 1997 through June 30, 2011
Actuarial cost method	Entry age normal
Discount rate	7.50%
Investment rate of return	7.50%
Consumer price inflation	2.75%
Wage growth	3.00%

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

Mortality assumptions are based on mortality rates resulting from the most recent CalPERS experience study adopted by the CalPERS Board. For purposes of the post-retirement mortality rates, those revised rates include five years of projected ongoing mortality improvement using Scale AA published by the Society of Actuaries.

In determining the long-term expected rate of return, CalPERS took into account both short-term and long-term market return expectations, as well as the expected pension fund cash flows. Using historical returns of all the funds' asset classes, expected compound returns were calculated over the short-term (first ten years) and the long-term (11-60 years) using a building-block approach. Using the expected nominal returns for both short-term and long-term, the present value of benefits was calculated for each fund. The expected rate of return was set by calculating the single equivalent expected return that arrived at the same present value of benefits for cash flows as the one calculated using both short-term and long-term returns. The expected rate of return was then set equivalent to the single equivalent rate calculated above and rounded down to the nearest one quarter of one percent. The target asset allocation and best estimates of arithmetic real rates of return for each major asset class are summarized in the following table:

Asset Class	Assumed Asset Allocation	Long-Term Expected Real Rate of Return
Global equity	47%	5.25%
Global fixed income	19%	0.99%
Private equity	12%	6.83%
Real estate	11%	4.50%
Inflation sensitive	6%	0.45%
Infrastructure and Forestland	3%	4.50%
Liquidity	2%	-0.55%

Discount Rate

The discount rate used to measure the total pension liability was 7.50 percent. The projection of cash flows used to determine the discount rate assumed the contributions from plan members and employers will be made at statutory contribution rates. Based on these assumptions, the School Employer Pool fiduciary net position was projected to be available to make all projected future benefit payments to current plan members. Therefore, the long-term assumed investment rate of return was applied to all periods of projected benefit payments to determine total pension liability.

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

The following presents the District's proportionate share of the net pension liability calculated using the current discount rate, as well as what the net pension liability would be if it were calculated using a discount rate that is one percent lower or higher than the current rate:

Discount rate	Net Pension Liability
1% decrease (6.50%)	\$ 22,155,385
Current discount rate (7.50%)	\$ 12,629,704
1% increase (8.50%)	\$ 4,670,038

On Behalf Payments

The State of California makes contributions to CalSTRS and CalPERS on behalf of the District. These payments consist of State General Fund contributions to CalSTRS for the fiscal years ended June 30, 2015, 2014, and 2013, which amounted to \$707,428, \$773,783, and \$665,534, respectively, (5.679 percent) of salaries subject to CalSTRS. Contributions are no longer appropriated in the annual *Budget Act* for the legislatively mandated benefits to CalPERS. Therefore, there is no on behalf contribution rate for CalPERS. No contributions were made for CalPERS for the years ended June 30, 2015, 2014, and 2013. Under accounting principles generally accepted in the United States of America, these amounts are to be reported as revenues and expenditures. These amounts have been reflected in the basic financial statements as a component of nonoperating revenue and employee benefit expense.

APPLE

Plan Description

The District contributes to the APPLE plan for employees not covered under CalPERS or CalSTRS plans. The plan provides benefits in a lump sum distribution of the employees' vested balance as of their retirement date.

Funding Policy

Active plan members and the District are each required to contribute 3.75 percent of an individual's salary to the plan, for a total of 7.5 percent of an individual's salary. Individuals enrolled in the plan are 100 percent vested in the contributions made to it. The District's contribution to the plan for the fiscal year ending June 30, 2015, was \$53,060.

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

NOTE 14 - PARTICIPATION IN PUBLIC ENTITY RISK POOLS AND JOINT POWERS AUTHORITIES

The District is a member of the Central Valley Trust (CVT), the Self Insured Schools of California (SISC), the State Wide Association of Community Colleges (SWACC), and the Protected Insurance Program for Schools (PIPS) Joint Powers Authorities (JPAs). The District pays annual premiums for its health, property liability, and worker's compensation coverage. The relationship between the District and the JPAs is such that it is not a component unit of the District for financial reporting purposes.

The JPAs have budgeting and financial reporting requirements independent of member units and their financial statements are not presented in these financial statements; however, transactions between the JPAs and the District are included in these statements. Audited financial statements are available from the respective entities.

The District's share of year-end assets, liabilities, or fund equity has not been calculated.

During the year ended June 30, 2015, the District made payments of \$1,354,652, \$4,114,221, \$440,963, and \$261,539, to CVT, SISC, PIPS, and SWACC, respectively for health, worker's compensation, and property liability coverage.

NOTE 15 - COMMITMENTS AND CONTINGENCIES

Grants

The District receives financial assistance from Federal and State agencies in the form of grants. The disbursement of funds received under these programs generally requires compliance with terms and conditions specified in the grant agreements and are subject to audit by the grantor agencies. Any disallowed claims resulting from such audits could become a liability of the District. However, in the opinion of management, any such disallowed claims will not have a material adverse effect on the overall financial position of the District at June 30, 2015.

Litigation

The District is involved in various litigation arising from the normal course of business. In the opinion of management and legal counsel, the disposition of all litigation pending is not expected to have a material adverse effect on the overall financial position of the District at June 30, 2015.

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO FINANCIAL STATEMENTS

JUNE 30, 2015

NOTE 16 - RESTATEMENT OF PRIOR YEAR NET POSITION

The District adopted GASB Statement No. 68, *Accounting and Financial Reporting for Pensions*, in the current year. As a result, the effect on the current fiscal year is as follows:

Primary Government	
Net Position - Beginning	\$ 101,980,720
Restatement of long-term obligations for implementation of GASB Statement No. 68	<u>(35,413,926)</u>
Net Position - Beginning as Restated	<u><u>\$ 66,566,794</u></u>

REQUIRED SUPPLEMENTARY INFORMATION

WEST HILLS COMMUNITY COLLEGE DISTRICT

**SCHEDULE OF OTHER POSTEMPLOYMENT BENEFITS (OPEB)
FUNDING PROGRESS
FOR THE YEAR ENDED JUNE 30, 2015**

Actuarial Valuation Date	Value of Assets (a)	Actuarial Accrued Liability (AAL) - Entry Age Normal Method (b)	Unfunded AAL (UAAL) (b - a)	Funded Ratio (a / b)	Covered Payroll (c)	UAAL as a Percentage of Covered Payroll ([b - a] / c)
November 1, 2014	\$ 6,040,662	\$ 10,670,120	\$ 4,629,458	56.61%	\$ 23,836,774	19.42%
November 1, 2012	\$ 3,892,368	\$ 7,180,848	\$ 3,288,480	54.20%	\$ 23,702,465	13.87%
November 1, 2011	\$ 2,734,825	\$ 7,259,572	\$ 4,524,747	37.67%	\$ 24,904,850	18.17%

WEST HILLS COMMUNITY COLLEGE DISTRICT

SCHEDULE OF THE DISTRICT'S PROPORTIONATE SHARE OF THE NET PENSION LIABILITY FOR THE YEAR ENDED JUNE 30, 2015

	<u>2015</u>
CalSTRS	
District's proportion of the net pension liability (asset)	<u>0.0289%</u>
District's proportionate share of the net pension liability (asset)	\$ 16,872,365
State's proportionate share of the net pension liability (asset) associated with the District	<u>10,188,262</u>
Total	<u><u>\$ 27,060,627</u></u>
District's covered - employee payroll	<u>\$ 13,313,333</u>
District's proportionate share of the net pension liability (asset) as a percentage of its covered - employee payroll	<u>126.73%</u>
Plan fiduciary net position as a percentage of the total pension liability	<u>77%</u>
 CalPERS	
District's proportion of the net pension liability (asset)	<u>0.1113%</u>
District's proportionate share of the net pension liability (asset)	<u>\$ 12,629,704</u>
District's covered - employee payroll	<u>\$ 11,462,620</u>
District's proportionate share of the net pension liability (asset) as a percentage of its covered - employee payroll	<u>110.18%</u>
Plan fiduciary net position as a percentage of the total pension liability	<u>83%</u>

Note : In the future, as data become available, ten years of information will be presented.

WEST HILLS COMMUNITY COLLEGE DISTRICT

SCHEDULE OF THE DISTRICT CONTRIBUTIONS FOR THE YEAR ENDED JUNE 30, 2015

	<u>2015</u>
CalSTRS	
Contractually required contribution	\$ 1,070,578
Contributions in relation to the contractually required contribution	<u>1,070,578</u>
Contribution deficiency (excess)	<u><u>\$ -</u></u>
 District's covered - employee payroll	 <u>\$ 12,056,059</u>
 Contributions as a percentage of covered - employee payroll	 <u>8.88%</u>
 CalPERS	
Contractually required contribution	\$ 1,386,708
Contributions in relation to the contractually required contribution	<u>1,386,708</u>
Contribution deficiency (excess)	<u><u>\$ -</u></u>
 District's covered - employee payroll	 <u>\$ 11,780,715</u>
 Contributions as a percentage of covered - employee payroll	 <u>11.771%</u>

Note : In the future, as data become available, ten years of information will be presented.

SUPPLEMENTARY INFORMATION

WEST HILLS COMMUNITY COLLEGE DISTRICT

DISTRICT ORGANIZATION

JUNE 30, 2015

The West Hills Community College District was established in September 1932. The West Hills Community College District provides postsecondary education to the students of Coalinga-Huron Unified School District, Lemoore Union High School District, Riverdale Joint Unified School District, Golden Plains Unified School District, Firebaugh-Las Deltas Unified School District, Reef-Sunset Unified School District, and Mendota Unified School District. The West Hills Community College District maintains a District Office, a Coalinga College, a Lemoore College, the North District Center in Firebaugh, and a center at NAS Lemoore. There were no changes in the boundaries of the District during the fiscal year.

TRUSTEES

<u>MEMBER</u>	<u>OFFICE</u>	<u>TERM EXPIRES</u>
Mark McKean	President	November 2015
Nina Oxborrow	Vice President	November 2017
Jack Minnite	Clerk	November 2017
Steve Cantu	Member	November 2015
Len Falter	Member	November 2015
Martin Maldonado	Member	November 2015
J.L. Levinson	Member	November 2017

ADMINISTRATION

Dr. Frank P. Gornick	Chancellor
Mr. Ken Stoppenbrink	Deputy Chancellor, Business Services
Mr. Don Warkentin	President, West Hills College Lemoore
Dr. Carole Goldsmith	President, West Hills College Coalinga
Dr. Stu Van Horn	Vice Chancellor, Educational Services and Workforce Development
Mr. Dave Bolt	Vice President, Educational Services, West Hills College Lemoore
Ms. Stephanie Droker	Vice President, Educational Services, West Hills College Coalinga
Ms. Sylvia Dorsey-Robinson	Vice President, Student Services, West Hills College Lemoore
Ms. Sandy McGlothlin	Vice President, Student Services, West Hills College Coalinga

See accompanying note to supplementary information.

WEST HILLS COMMUNITY COLLEGE DISTRICT

SCHEDULE OF EXPENDITURES OF FEDERAL AWARDS FOR THE YEAR ENDED JUNE 30, 2015

Federal Grantor/Pass-Through Grantor/Program or Cluster Title	Federal CFDA Number	Total Program Expenditures
U.S. DEPARTMENT OF EDUCATION		
High School Equivalency Program	84.141A	\$ 34,245
Student Financial Assistance Cluster:		
Supplemental Educational Opportunity Grants	84.007	200,822
Direct Loans	84.268	2,728,311
Federal Workstudy	84.033	171,512
TANF 50% Federal/Calworks	84.033	267,031
Pell Grant	84.063	11,742,463
Subtotal - Student Financial Assistance Cluster		15,110,139
Title V - Higher Education - Institutional Aid	84.031S	723,429
TRIO Cluster:		
Upward Bound	84.047A	721,359
Upward Bound - Math / Science	84.047M	249,645
Student Support Services/One Step Beyond	84.042A	263,117
Subtotal - TRIO Cluster		1,234,121
Vocational and Technical Education Act:		
VTEA - Leadership	84.048	100,000
VTEA - Tech Prep	84.048	86,538
VTEA IB	84.048	219,457
Subtotal - VTEA Programs		405,995
Subtotal - U.S. Department of Education		17,507,929
U.S. DEPARTMENT OF AGRICULTURE		
Child and Adult Care Food Program	10.558	407,436
Rural Business Enterprise Grant	10.769	48,773
Subtotal - U.S. Department of Agriculture		456,209
U.S. DEPARTMENT OF LABOR		
Trade Adjustment Assistance Community College & Career Training	17.282	4,297,691
WIA Cluster:		
Workforce Investment Act - Adult Program	17.258	422,523
Workforce Investment Act - Dislocated Worker	17.278	326,447
Workforce Investment Act - Youth Employment Program	17.259	383,744
Workforce Investment Act - National Emergency	17.277	2,472
Subtotal - Workforce Investment Cluster		1,135,186
Subtotal U.S. Department of Labor		5,432,877
NATIONAL SCIENCE FOUNDATION		
Achieving Community College Excellence for Scholarship Success	47.076	67,285
Total Federal Programs		\$ 23,464,300

See accompanying note to supplementary information.

WEST HILLS COMMUNITY COLLEGE DISTRICT

SCHEDULE OF EXPENDITURES OF STATE AWARDS FOR THE YEAR ENDED JUNE 30, 2015

Program	Program Entitlements		
	Current Year	Prior Year	Total Entitlement
STATE			
After School Education & Safety	\$ 760,152	\$ 742,909	\$ 1,503,061
Award for Innovation	2,500,000	-	2,500,000
BFAP - Financial Aid Administration	290,197	304,667	594,864
Basic Skills/ Immigrant Edu. Supplement	179,995	292,222	472,217
California Drought Relief	29,109	-	29,109
Cal Works	279,076	309,050	588,126
CARE Grant	222,523	127,102	349,625
Career Pathways Trust	19,318	-	19,318
Child Care-State Preschool	2,296,417	2,296,417	4,592,834
Child Care-Food	24,264	23,978	48,242
Disability Support Programs and Services	702,164	436,230	1,138,394
Pre-Kindergarten Supplemental	10,000	10,000	20,000
ECE Consortium Grant	7,950	4,850	12,800
Extended Opportunity Program and Service	806,843	650,614	1,457,457
First Five			
Prop 10 - Avenal	90,000	90,000	180,000
Instructional Equipment	9,011	549,762	558,773
IRDC/Merced CCD	72,800	-	72,800
Health Care Career	-	64,259	64,259
Lottery			
Restricted	104,603	644,209	748,812
Physical Plant and Instructional Support	686,587	-	686,587
Staff Diversity	10,636	4,467	15,103
Student Success and Support Program (Matriculation)	445,497	359,553	805,050
Student Success and Support Program Student Equity	428,009	-	428,009
Career Tech Education Equipment	-	1,960	1,960
Teacher Prep Pipeline	88,721	78,723	167,444
Responsive Incumbent Workers	-	73,223	73,223
CCCCO/Nursing Education	282,932	335,000	617,932
CCCCO/Adult	151,270	106,261	257,531
Career Academy Grant: Coalinga	750,000	1,509,000	2,259,000
Building Maintenance and Repair	109,705	109,705	219,410
Song Brown	44,585	162,500	207,085
CDCR - Institutional Transition Program	1,027,095	19,306	1,046,401
Middle College High	121,846	99,000	220,846
Total State Programs	<u>\$ 12,551,305</u>	<u>\$ 9,404,967</u>	<u>\$ 21,956,272</u>

See accompanying note to supplementary information.

Program Revenues				Total
Cash Received	Accounts Receivable	Unearned Revenue	Total Revenue	Program Expenditures
\$ 753,367	\$ 6,785	\$ -	\$ 760,152	\$ 760,152
2,500,000	-	2,492,213	7,787	7,787
296,209	-	-	296,209	296,209
285,045	-	105,050	179,995	179,995
18,750	10,359	-	29,109	29,109
320,338	-	-	320,338	320,338
127,102	-	-	127,102	127,102
51,888	-	32,570	19,318	19,318
2,407,760	-	-	2,407,760	2,538,258
20,489	3,775	-	24,264	24,264
502,361	-	-	502,361	502,361
3,573	6,427	-	10,000	10,000
7,225	725	-	7,950	7,950
638,814	346	-	639,160	639,160
76,656	-	-	76,656	76,656
27,243	-	18,232	9,011	9,011
20,807	51,993	-	72,800	72,800
-	-	-	-	-
362,612	181,841	439,850	104,603	104,603
686,587	-	-	686,587	686,587
4,264	-	-	4,264	4,264
804,815	235	-	805,050	805,050
427,962	47	165,523	262,486	262,486
1,960	-	1,960	-	-
52,223	36,498	-	88,721	88,721
-	-	-	-	-
282,932	-	-	282,932	282,932
151,270	-	60,447	90,823	90,823
442,622	307,943	-	750,565	750,565
109,705	-	-	109,705	109,705
33,179	11,406	-	44,585	44,585
101,362	265,227	-	366,589	366,589
39,600	59,400	-	99,000	99,000
<u>\$ 11,558,720</u>	<u>\$ 943,007</u>	<u>\$ 3,315,845</u>	<u>\$ 9,185,882</u>	<u>\$ 9,316,380</u>

WEST HILLS COMMUNITY COLLEGE DISTRICT

SCHEDULE OF WORKLOAD MEASURES FOR STATE GENERAL APPORTIONMENT ANNUAL (ACTUAL) ATTENDANCE FOR THE YEAR ENDED JUNE 30, 2015

CATEGORIES	Reported Data	Audit Adjustments	Audited Data
A. Summer Intersession (Summer 2014 only)			
1. Noncredit	75.39	-	75.39
2. Credit	524.82	-	524.82
B. Summer Intersession (Summer 2015 - Prior to July 1, 2015)			
1. Noncredit	1.00	-	1.00
2. Credit	7.33	-	7.33
C. Primary Terms (Exclusive of Summer Intersession)			
1. Census Procedure Courses			
(a) Weekly Census Contact Hours	2,449.19	-	2,449.19
(b) Daily Census Contact Hours	616.92	-	616.92
2. Actual Hours of Attendance Procedure Courses			
(a) Noncredit	312.36	-	312.36
(b) Credit	63.58	-	63.58
3. Alternative Attendance Accounting Procedure Courses			
(a) Weekly Census Contact Hours	1,114.58	-	1,114.58
(b) Daily Census Contact Hours	149.26	-	149.26
(c) Noncredit Independent Study/Distance Education Courses	-	-	-
D. Total FTES	<u>5,314.43</u>	<u>-</u>	<u>5,314.43</u>
SUPPLEMENTAL INFORMATION (Subset of Above Information)			
E. In-Service Training Courses (FTES)			
F. Basic Skills Courses and Immigrant Education			
1. Noncredit	378.66	-	378.66
2. Credit	223.36	-	223.36
<u>CCFS-320 Addendum</u>			
CDCP Noncredit FTES	-	-	-
Centers FTES			
1. Noncredit	4.38	-	4.38
2. Credit	753.35	-	753.35

See accompanying note to supplementary information.

WEST HILLS COMMUNITY COLLEGE DISTRICT

RECONCILIATION OF *EDUCATION CODE* SECTION 84362 (50 PERCENT LAW) CALCULATION FOR THE YEAR ENDED JUNE 30, 2015

	Object/TOP Codes	ECS 84362 A Instructional Salary Cost AC 0100 - 5900 and AC 6110			ECS 84362 B Total CEE AC 0100 - 6799		
		Reported Data	Audit Adjustments	Revised Data	Reported Data	Audit Adjustments	Revised Data
<u>Academic Salaries</u>							
Instructional Salaries							
Contract or Regular	1100	\$ 5,654,034	\$ -	\$ 5,654,034	\$ 5,654,034	\$ -	\$ 5,654,034
Other	1300	3,174,062	-	3,174,062	3,174,062	-	3,174,062
Total Instructional Salaries		8,828,096	-	8,828,096	8,828,096	-	8,828,096
Noninstructional Salaries							
Contract or Regular	1200	-	-	-	2,678,397	-	2,678,397
Other	1400	-	-	-	227,003	-	227,003
Total Noninstructional Salaries		-	-	-	2,905,400	-	2,905,400
Total Academic Salaries		8,828,096	-	8,828,096	11,733,496	-	11,733,496
<u>Classified Salaries</u>							
Noninstructional Salaries							
Regular Status	2100	-	-	-	4,514,654	-	4,514,654
Other	2300	-	-	-	275,945	-	275,945
Total Noninstructional Salaries		-	-	-	4,790,599	-	4,790,599
Instructional Aides							
Regular Status	2200	103,669	-	103,669	103,669	-	103,669
Other	2400	639,910	-	639,910	639,910	-	639,910
Total Instructional Aides		743,579	-	743,579	743,579	-	743,579
Total Classified Salaries		743,579	-	743,579	5,534,178	-	5,534,178
Employee Benefits	3000	2,370,035	-	2,370,035	5,800,310	-	5,800,310
Supplies and Material	4000	-	-	-	471,239	-	471,239
Other Operating Expenses	5000	230,133	-	230,133	1,678,955	-	1,678,955
Equipment Replacement	6420	-	-	-	-	-	-
Total Expenditures Prior to Exclusions		12,171,843	-	12,171,843	25,218,178	-	25,218,178

See accompanying note to supplementary information.

WEST HILLS COMMUNITY COLLEGE DISTRICT

**RECONCILIATION OF *EDUCATION CODE* SECTION 84362 (50 PERCENT LAW) CALCULATION, Continued
FOR THE YEAR ENDED JUNE 30, 2015**

	Object/TOP Codes	ECS 84362 A Instructional Salary Cost AC 0100 - 5900 and AC 6110			ECS 84362 B Total CEE AC 0100 - 6799		
		Reported Data	Audit Adjustments	Revised Data	Reported Data	Audit Adjustments	Revised Data
<u>Exclusions</u>							
Activities to Exclude							
Instructional Staff - Retirees' Benefits and Retirement Incentives	5900	\$ 229,506	\$ -	\$ 229,506	\$ 229,506	\$ -	\$ 229,506
Student Health Services Above Amount Collected	6441	-	-	-	-	-	-
Student Transportation	6491	-	-	-	107,641	-	107,641
Noninstructional Staff - Retirees' Benefits and Retirement Incentives	6740	-	-	-	288,147	-	288,147
Objects to Exclude							
Rents and Leases	5060	-	-	-	139,262	-	139,262
Lottery Expenditures							
Academic Salaries	1000	-	-	-	-	-	-
Classified Salaries	2000	-	-	-	-	-	-
Employee Benefits	3000	-	-	-	-	-	-
Supplies and Materials	4000	-	-	-	-	-	-
Software	4100	-	-	-	-	-	-
Books, Magazines, and Periodicals	4200	-	-	-	1,171	-	1,171
Instructional Supplies and Materials	4300	-	-	-	75,147	-	75,147
Noninstructional Supplies and Materials	4400	-	-	-	391,930	-	391,930
Total Supplies and Materials		-	-	-	468,248	-	468,248

See accompanying note to supplementary information.

WEST HILLS COMMUNITY COLLEGE DISTRICT

**RECONCILIATION OF *EDUCATION CODE* SECTION 84362 (50 PERCENT LAW) CALCULATION, Continued
FOR THE YEAR ENDED JUNE 30, 2015**

	Object/TOP Codes	ECS 84362 A Instructional Salary Cost AC 0100 - 5900 and AC 6110			ECS 84362 B Total CEE AC 0100 - 6799		
		Reported Data	Audit Adjustments	Revised Data	Reported Data	Audit Adjustments	Revised Data
Other Operating Expenses and Services	5000	\$ -	\$ -	\$ -	\$ 242,124	\$ -	\$ 242,124
Capital Outlay	6000						
Library Books	6300	-	-	-	-	-	-
Equipment	6400	-	-	-	-	-	-
Equipment - Additional	6410	-	-	-	-	-	-
Equipment - Replacement	6420	-	-	-	-	-	-
Total Equipment		-	-	-	-	-	-
Total Capital Outlay							
Other Outgo	7000	-	-	-	-	-	-
Total Exclusions		229,506	-	229,506	1,474,928	-	1,474,928
Total for ECS 84362, 50 Percent Law		\$ 11,942,337	\$ -	\$ 11,942,337	\$ 23,743,250	\$ -	\$ 23,743,250
Percent of CEE (Instructional Salary Cost/Total CEE)		50.30%		50.30%	100.00%		100.00%
50% of Current Expense of Education					\$ 11,871,625		\$ 11,871,625

See accompanying note to supplementary information.

WEST HILLS COMMUNITY COLLEGE DISTRICT

**PROPOSITION 30 EDUCATION PROTECTION ACT (EPA) EXPENDITURE REPORT
FOR THE YEAR ENDED JUNE 30, 2015**

Activity Classification	Object Code			Unrestricted	
EPA Proceeds:	8630				\$ 5,644,760
Activity Classification	Activity Code	Salaries and Benefits (Obj 1000-3000)	Operating Expenses (Obj 4000-5000)	Capital Outlay (Obj 6000)	Total
Instructional Activities	1000-5900	\$ 5,644,760	-	-	\$ 5,644,760
Total Expenditures for EPA		\$ 5,644,760	-	-	\$ 5,644,760
Revenues Less Expenditures					\$ -

See accompanying note to supplementary information.

WEST HILLS COMMUNITY COLLEGE DISTRICT

RECONCILIATION OF ANNUAL FINANCIAL AND BUDGET REPORT (CCFS-311) WITH FUND FINANCIAL STATEMENTS FOR THE YEAR ENDED JUNE 30, 2015

There were no adjustments to the Annual Financial and Budget Report (CCFS-311) which required reconciliation to the audited financial statements at June 30, 2015.

See accompanying note to supplementary information.

WEST HILLS COMMUNITY COLLEGE DISTRICT

RECONCILIATION OF GOVERNMENTAL FUNDS TO THE STATEMENT OF NET POSITION JUNE 30, 2015

Amounts Reported in the Statement of Net Position are Different Because:

Total Fund Balance - All District Funds		\$ 33,163,000
Capital assets used in governmental activities are not financial resources and, therefore, are not reported as assets in governmental funds.		
The cost of capital assets is	\$ 177,772,205	
Accumulated depreciation is	<u>(52,984,254)</u>	124,787,951
The Retiree Benefit Trust (GASB 45) is reported in the entity-wide statements as a Net Plan Asset or an OPEB obligation and not at it's full value. This is the difference between the Trust value and the Net Plan Asset.		2,662,793
Expenditures relating to contributions made to pension plans were recognized on the modified accrual basis, but are not recognized on the accrual basis.		2,457,286
Difference between projected and actual earnings on pension plan investments are not recognized on the modified accrual basis, but are recognized on the accrual basis as an adjustment to pension expense.		(8,494,496)
Long-term liabilities, including bonds payable, are not due and payable in the current period and, therefore, are not reported as liabilities in the funds.		
Bonds payable	63,866,360	
Capital leases payable	926,814	
CDE-Child Care revolving loan	126,000	
Compensated absences (vacations)	1,512,336	
Net pension obligation	<u>29,502,069</u>	<u>(95,933,579)</u>
Total Net Position		<u>\$ 58,642,955</u>

See accompanying note to supplementary information.

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO SUPPLEMENTARY INFORMATION JUNE 30, 2015

NOTE 1 - PURPOSE OF SCHEDULES

District Organization

This schedule provides information about the District's governing board members and administration members.

Schedule of Expenditures of Federal Awards

The accompanying Schedule of Expenditures of Federal Awards includes the Federal grant activity of the District and is presented on the modified accrual basis of accounting. The information in this schedule is presented in accordance with the requirements of the United States Office of Management and Budget Circular A-133, *Audits of States, Local Governments, and Non-Profit Organizations*. Therefore, some amounts presented in this schedule may differ from amounts presented in, or used in the preparation of, the financial statements. Please refer to both the Statements of Revenues, Expenses, and Changes in Net Position - Primary Government as well as the Fiduciary Fund Statements.

Schedule of Expenditures of State Awards

The accompanying Schedule of Expenditures of State Awards includes the State grant activity of the District and is presented on the modified accrual basis of accounting. Therefore, some amounts presented in this schedule may differ from amounts presented in, or used in the preparation of, the financial statements. The information in this schedule is presented to comply with reporting requirements of the California State Chancellor's Office.

Schedule of Workload Measures for State General Apportionment Annual (Actual) Attendance

FTES is a measurement of the number of pupils attending classes of the District. The purpose of attendance accounting from a fiscal standpoint is to provide the basis on which apportionments of State funds, including restricted categorical funding, are made to community college districts. This schedule provides information regarding the annual attendance measurements of students throughout the District.

Reconciliation of Education Code Section 84362 (50 Percent Law) Calculation

ECS 84362 requires the District to expend a minimum of 50 percent of the unrestricted General Fund monies on salaries of classroom instructors. This is reported annually to the State Chancellor's Office. This schedule provides a reconciliation of the amount reported to the State Chancellor's Office and the impact of any audit adjustments and/or corrections noted during the audit.

Proposition 30 Education Protection Act (EPA) Expenditure Report

This schedule provides the District's summary of receipts and uses of the monies received through the EPA.

Reconciliation of Annual Financial and Budget Report (CCFS-311) With Fund Financial Statements

This schedule provides the information necessary to reconcile the fund balance of all funds reported on the Form CCFS-311 to the District's internal fund financial statements.

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTES TO SUPPLEMENTARY INFORMATION

JUNE 30, 2015

Reconciliation of Governmental Funds to the Statement of Net Position

This schedule provides a reconciliation of the adjustments necessary to bring the District's internal fund financial statements, prepared on a modified accrual basis, to the entity-wide full accrual basis financial statements required under GASB Statements No. 34 and No. 35 business-type activities reporting model.

INDEPENDENT AUDITOR'S REPORTS



**INDEPENDENT AUDITOR'S REPORT ON INTERNAL CONTROL OVER
FINANCIAL REPORTING AND ON COMPLIANCE AND OTHER MATTERS
BASED ON AN AUDIT OF FINANCIAL STATEMENTS PERFORMED IN
ACCORDANCE WITH *GOVERNMENT AUDITING STANDARDS***

Board of Trustees
West Hills Community College District
Coalinga, California

We have audited, in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the basic financial statements of the business-type activities, the aggregate discretely presented component unit, and the aggregate remaining fund information of West Hills Community College District (the District) as of and for the year ended June 30, 2015, and the related notes to the financial statements, which collectively comprise the District's basic financial statements and have issued our report thereon dated December 29, 2015.

Emphasis of Matter - Change in Accounting Principles

As discussed in Note 1 to the financial statements, in 2015, the District adopted new accounting guidance, GASB Statement No. 68, *Accounting and Financial Reporting for Pensions* and GASB Statement No. 71, *Pension Transition for Contributions Made Subsequent to the Measurement Date*. Our opinion is not modified with respect to this matter.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered the District's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the District's internal control. Accordingly, we do not express an opinion on the effectiveness of the District's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the District's financial statements will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit, we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit and, accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of This Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the District's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the District's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.

Vannink, Trine, Day & Co, LLP

Fresno, California
December 29, 2015



**INDEPENDENT AUDITOR'S REPORT ON COMPLIANCE FOR
EACH MAJOR PROGRAM AND REPORT ON INTERNAL CONTROL
OVER COMPLIANCE REQUIRED BY OMB CIRCULAR A-133**

Board of Trustees
West Hills Community College District
Coalinga, California

Report on Compliance for Each Major Federal Program

We have audited West Hills Community College District's (the District) compliance with the types of compliance requirements described in the OMB *Compliance Supplement* that could have a direct and material effect on each of the District's major Federal programs for the year ended June 30, 2015. The District's major Federal programs are identified in the Summary of Auditor's Results section of the accompanying Schedule of Findings and Questioned Costs.

Management's Responsibility

Management is responsible for compliance with the requirements of laws, regulations, contracts, and grants applicable to its Federal programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance for each of the District's major Federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and OMB Circular A-133, *Audits of State, Local Governments, and Non-Profit Organizations*. Those standards and OMB Circular A-133 require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major Federal program occurred. An audit includes examining, on a test basis, evidence about the District's compliance with those requirements and performing such other procedures as we consider necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance for each major Federal program. However, our audit does not provide a legal determination of the District's compliance.

Opinion on Each Major Federal Program

In our opinion, the District complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major Federal programs for the year ended June 30, 2015.

Report on Internal Control Over Compliance

Management of the District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered the District's internal control over compliance with the types of requirements that could have a direct and material effect on each major Federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major Federal program and to test and report on internal control over compliance in accordance with OMB Circular A-133, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of the District's internal control over compliance.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a Federal program on a timely basis. *A material weakness in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a Federal program will not be prevented, or detected and corrected, on a timely basis. *A significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a Federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of OMB Circular A-133. Accordingly, this report is not suitable for any other purpose.

Vannink, Trine, Day & Co, LLP

Fresno, California
December 29, 2015



INDEPENDENT AUDITOR'S REPORT ON STATE COMPLIANCE

Board of Trustees
West Hills Community College District
Coalinga, California

Report on State Compliance

We have audited West Hills Community College District's (the District) compliance with the types of compliance requirements as identified in the California Community Colleges Chancellor's Office *District Audit Manual* issued in August 2014 that could have a direct and material effect on each of the District's programs as noted below for the year ended June 30, 2015.

Management's Responsibility

Management is responsible for compliance with the requirements identified in the California Community Colleges Chancellor's Office *District Audit Manual* issued in August 2014.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance of each of the District's State programs based on our audit of the types of compliance requirements referred to above. We conducted our audit in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the standards and procedures identified in the California Community Colleges Chancellor's Office *District Audit Manual*. These standards require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the compliance requirements referred to above could have a material effect on the applicable programs noted below. An audit includes examining, on a test basis, evidence about the District's compliance with those requirements and performing such procedures as we consider necessary in the circumstances. We believe that our audit provides a reasonable basis for our opinion. Our audit does not provide a legal determination of the District's compliance with those requirements.

Unmodified Opinion for Each of the Programs

In our opinion, the District complied, in all material respects, with the compliance requirements referred to above that are applicable to the programs noted below that were audited for the year ended June 30, 2015.

In connection with the audit referred to above, we selected and tested transactions and records to determine the District's compliance with State laws and regulations applicable to the following:

Section 421	Salaries of Classroom Instructors (50 Percent Law)
Section 423	Apportionment for Instructional Service Agreements/Contracts
Section 424	State General Apportionment Funding System
Section 425	Residency Determination for Credit Courses
Section 426	Students Actively Enrolled
Section 427	Concurrent Enrollment of K-12 Students in Community College Credit Courses
Section 430	Schedule Maintenance Program
Section 431	Gann Limit Calculation
Section 435	Open Enrollment
Section 438	Student Fees – Health Fees and Use of Health Fee Funds
Section 439	Proposition 39 Clean Energy
Section 440	Intersession Extension Programs
Section 474	Extended Opportunity Programs and Services (EOPS) and Cooperative Agencies Resources for Education (CARE)
Section 475	Disabled Student Programs and Services (DSPS)
Section 479	To Be Arranged (TBA) Hours
Section 490	Proposition 1D State Bond Funded Projects
Section 491	Proposition 30 Education Protection Account Funds

The District did not participate in any Intersession Extension Programs; therefore, the compliance tests within this section were not applicable.

The District did not receive any funds from Proposition 1D State Bond Funded Projects; therefore, the compliance tests within this section were not applicable.

Vannink, Trine, Day & Co, LLP

Fresno, California
December 29, 2015

SCHEDULE OF FINDINGS AND QUESTIONED COSTS

WEST HILLS COMMUNITY COLLEGE DISTRICT

SUMMARY OF AUDITOR'S RESULTS FOR THE YEAR ENDED JUNE 30, 2015

FINANCIAL STATEMENTS

Type of auditor's report issued:	<u>Unmodified</u>
Internal control over financial reporting:	
Material weaknesses identified?	<u>No</u>
Significant deficiencies identified?	<u>None reported</u>
Noncompliance material to financial statements noted?	<u>No</u>

FEDERAL AWARDS

Internal control over major Federal programs:	
Material weaknesses identified?	<u>No</u>
Significant deficiencies identified?	<u>None reported</u>
Type of auditor's report issued on compliance for major Federal programs:	<u>Unmodified</u>
Any audit findings disclosed that are required to be reported in accordance with Section .510(a) of OMB?	<u>No</u>
Identification of major Federal programs:	

<u>CFDA Numbers</u>	<u>Name of Federal Program or Cluster</u>
<u>84.007, 84.033, 84.063, 84.268</u>	<u>Student Financial Assistance Cluster</u>
<u>84.031S</u>	<u>Title V - Higher Education - Institutional Aid</u>
	<u>Vocational and Technical Education Act</u>
<u>84.048</u>	<u>(VTEA) programs</u>
	<u>Trade Adjustment Assistance Community</u>
<u>17.282</u>	<u>College & Career Training</u>

Dollar threshold used to distinguish between Type A and Type B programs:	<u>\$ 300,000</u>
Auditee qualified as low-risk auditee?	<u>Yes</u>

STATE AWARDS

Type of auditor's report issued on compliance for State programs:	<u>Unmodified</u>
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WEST HILLS COMMUNITY COLLEGE DISTRICT

**FINANCIAL STATEMENT FINDINGS AND RECOMMENDATIONS
FOR THE YEAR ENDED JUNE 30, 2015**

None reported.

WEST HILLS COMMUNITY COLLEGE DISTRICT

**FEDERAL AWARDS FINDINGS AND QUESTIONED COSTS
FOR THE YEAR ENDED JUNE 30, 2015**

None reported.

WEST HILLS COMMUNITY COLLEGE DISTRICT

**STATE AWARDS FINDINGS AND QUESTIONED COSTS
FOR THE YEAR ENDED JUNE 30, 2015**

None reported.

WEST HILLS COMMUNITY COLLEGE DISTRICT

**SUMMARY SCHEDULE OF PRIOR AUDIT FINDINGS
FOR THE YEAR ENDED JUNE 30, 2015**

None reported.

ADDITIONAL SUPPLEMENTARY INFORMATION
(UNAUDITED)

WEST HILLS COMMUNITY COLLEGE DISTRICT

GOVERNMENTAL FUNDS

BALANCE SHEETS

JUNE 30, 2015

	General Unrestricted	General Restricted	Cafeteria
ASSETS			
Cash and cash equivalents	\$ 12,081,070	\$ 55,045	\$ 9,756
Investments	-	-	-
Accounts receivable	702,132	2,374,114	1,331
Student loans receivable	2,770,631	-	2,736
Due from other funds	628,762	2,945,851	21,908
Prepaid expenses	42,873	26,138	-
Stores inventories	-	-	-
Other current assets	-	-	-
Total Assets	<u>\$ 16,225,468</u>	<u>\$ 5,401,148</u>	<u>\$ 35,731</u>
LIABILITIES AND FUND EQUITY			
LIABILITIES			
Accounts payable	\$ 1,557,216	\$ 1,098,920	\$ 35,232
Due to other funds	6,623,711	796,292	-
Other current liabilities	-	-	-
Unearned revenue	4,034,642	3,505,936	500
Total Liabilities	<u>12,215,569</u>	<u>5,401,148</u>	<u>35,732</u>
FUND EQUITY			
Fund Balances			
Restricted	-	-	-
Nonspendable	42,873	26,138	-
Unreserved			
Committed	-	-	-
Uncommitted	3,967,026	(26,138)	(1)
Total Fund Equity	<u>4,009,899</u>	<u>-</u>	<u>(1)</u>
Total Liabilities and Fund Equity	<u>\$ 16,225,468</u>	<u>\$ 5,401,148</u>	<u>\$ 35,731</u>

See accompanying note to additional supplementary information.

Child Development	Farm Operations	Residence Living	Revenue Bond Interest and Redemption	COP/SFID Debt Service	COP #1 Capital Outlay
\$ 568,170	\$ 8,232	\$ 276	\$ 2,979,650	\$ -	\$ -
-	-	-	-	-	-
130,393	3,329	-	42,505	-	-
-	-	-	-	-	-
-	170,625	26,697	-	-	-
-	-	-	-	-	-
-	-	-	-	-	-
-	-	-	-	-	-
<u>\$ 698,563</u>	<u>\$ 182,186</u>	<u>\$ 26,973</u>	<u>\$ 3,022,155</u>	<u>\$ -</u>	<u>\$ -</u>
\$ 136,383	\$ 22,784	\$ 26,772	\$ -	\$ -	\$ -
561,146	-	200	-	-	-
-	-	-	-	-	-
-	-	-	-	-	-
<u>697,529</u>	<u>22,784</u>	<u>26,972</u>	<u>-</u>	<u>-</u>	<u>-</u>
-	-	-	3,022,155	-	-
-	-	-	-	-	-
-	-	-	-	-	-
1,034	159,402	1	-	-	-
<u>1,034</u>	<u>159,402</u>	<u>1</u>	<u>3,022,155</u>	<u>-</u>	<u>-</u>
<u>\$ 698,563</u>	<u>\$ 182,186</u>	<u>\$ 26,973</u>	<u>\$ 3,022,155</u>	<u>\$ -</u>	<u>\$ -</u>

WEST HILLS COMMUNITY COLLEGE DISTRICT

GOVERNMENTAL FUNDS BALANCE SHEETS, Continued JUNE 30, 2015

	MUSC New Market Tax Credit	FOF1 New Market Tax Credit	Capital Outlay Projects
ASSETS			
Cash and cash equivalents	\$ 1,672,035	\$ 1,124,975	\$ 5,511,013
Investments	-	-	-
Accounts receivable	9,736	-	9,108
Student loans receivable	-	-	-
Due from other funds	55,349	-	3,744,346
Prepaid expenses	-	-	-
Stores inventories	-	-	-
Other current assets	-	-	-
Total Assets	<u>\$ 1,737,120</u>	<u>\$ 1,124,975</u>	<u>\$ 9,264,467</u>
LIABILITIES AND FUND EQUITY			
LIABILITIES			
Accounts payable	\$ -	\$ -	\$ 181,085
Due to other funds	-	-	139,508
Other current liabilities	-	-	-
Unearned revenue	-	-	-
Total Liabilities	<u>-</u>	<u>-</u>	<u>320,593</u>
FUND EQUITY			
Fund Balances			
Restricted	1,737,120	1,124,975	8,943,874
Nonspendable	-	-	-
Unreserved			
Committed	-	-	-
Uncommitted	-	-	-
Total Fund Equity	<u>1,737,120</u>	<u>1,124,975</u>	<u>8,943,874</u>
Total Liabilities and Fund Equity	<u>\$ 1,737,120</u>	<u>\$ 1,124,975</u>	<u>\$ 9,264,467</u>

See accompanying note to additional supplementary information.

Revenue Bond Construction	General Construction	Total Governmental Fund (Memorandum Only)
\$ 14,251,179	\$ -	\$ 38,261,401
-	-	-
52,822	-	3,325,470
-	-	2,773,367
84,160	-	7,677,698
-	-	69,011
-	-	-
-	-	-
<u>\$ 14,388,161</u>	<u>\$ -</u>	<u>\$ 52,106,947</u>
\$ -	\$ -	\$ 3,058,392
223,620	-	8,344,477
-	-	-
-	-	7,541,078
<u>223,620</u>	<u>-</u>	<u>18,943,947</u>
14,164,541	-	28,992,665
-	-	69,011
-	-	-
-	-	4,101,324
<u>14,164,541</u>	<u>-</u>	<u>33,163,000</u>
<u>\$ 14,388,161</u>	<u>\$ -</u>	<u>\$ 52,106,947</u>

WEST HILLS COMMUNITY COLLEGE DISTRICT

GOVERNMENTAL FUNDS

STATEMENTS OF REVENUES, EXPENDITURES, AND CHANGES

IN FUND BALANCES

FOR THE YEAR ENDED JUNE 30, 2015

	General Unrestricted	General Restricted	Cafeteria
REVENUES			
Federal revenues	\$ 3,233	\$ 8,382,035	\$ -
State revenues	26,336,017	6,634,397	-
Local revenues	7,578,543	173,704	760,579
Total Revenues	<u>33,917,793</u>	<u>15,190,136</u>	<u>760,579</u>
EXPENDITURES			
Current Expenditures			
Academic salaries	12,647,871	3,156,117	-
Classified salaries	6,316,928	4,059,374	322,702
Employee benefits	7,010,241	2,310,914	134,481
Books and supplies	652,489	470,963	455,135
Services and operating expenditures	2,849,623	2,179,023	324,028
Student financial aid	(9,926)	268,644	-
Capital outlay	121,971	603,003	5,857
Debt service - principal	141,426	-	-
Debt service - interest and other	37,952	-	-
Total Expenditures	<u>29,768,575</u>	<u>13,048,038</u>	<u>1,242,203</u>
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	<u>4,149,218</u>	<u>2,142,098</u>	<u>(481,624)</u>
OTHER FINANCING SOURCES (USES)			
Operating transfers in	1,403,634	143,299	481,623
Operating transfers out	(4,802,277)	(2,285,397)	-
Other sources	16,455	-	-
Other uses	-	-	-
Total Other Financing Sources (Uses)	<u>(3,382,188)</u>	<u>(2,142,098)</u>	<u>481,623</u>
EXCESS OF REVENUES AND OTHER FINANCING SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	<u>767,030</u>	<u>-</u>	<u>(1)</u>
FUND BALANCE, BEGINNING OF YEAR	<u>3,242,869</u>	<u>-</u>	<u>-</u>
FUND BALANCE, END OF YEAR	<u>\$ 4,009,899</u>	<u>\$ -</u>	<u>\$ (1)</u>

See accompanying note to additional supplementary information.

Child Development	Farm Operations	Residence Living	Revenue Bond Interest and Redemption	COP/SFID Debt Service	COP #1 Capital Outlay
\$ 407,436	\$ -	\$ -	\$ -	\$ -	\$ -
3,473,567	-	-	17,802	-	-
199,205	150,757	323,333	3,825,991	-	328,259
4,080,208	150,757	323,333	3,843,793	-	328,259
-	120,349	-	-	-	-
2,877,151	54,052	177,260	-	-	-
1,087,311	58,403	142,147	-	-	-
238,582	80,393	19,230	-	-	-
1,152,846	294,049	205,470	-	-	268,749
-	-	-	-	-	-
427	1,589	11,992	-	-	-
42,000	-	-	1,130,000	-	70,200,000
-	-	-	2,667,444	-	4,764
5,398,317	608,835	556,099	3,797,444	-	70,473,513
(1,318,109)	(458,078)	(232,766)	46,349	-	(70,145,254)
1,319,143	517,403	232,767	-	-	4,970,849
-	-	-	(7,224)	(4,970,849)	(1,099,282)
-	-	-	-	-	-
-	-	-	-	-	-
1,319,143	517,403	232,767	(7,224)	(4,970,849)	3,871,567
1,034	59,325	1	39,125	(4,970,849)	(66,273,687)
-	100,077	-	2,983,030	4,970,849	66,273,687
\$ 1,034	\$ 159,402	\$ 1	\$ 3,022,155	\$ -	\$ -

WEST HILLS COMMUNITY COLLEGE DISTRICT

GOVERNMENTAL FUNDS

STATEMENTS OF REVENUES, EXPENDITURES, AND CHANGES

IN FUND BALANCES, Continued

FOR THE YEAR ENDED JUNE 30, 2015

	MUSC New Market Tax Credit	FOF1 New Market Tax Credit	Capital Outlay Projects
REVENUES			
Federal revenues	\$ -	\$ -	\$ -
State revenues	-	-	146,572
Local revenues	111,734	99,590	272,628
Total Revenues	<u>111,734</u>	<u>99,590</u>	<u>419,200</u>
EXPENDITURES			
Current Expenditures			
Academic salaries	-	-	-
Classified salaries	-	-	-
Employee benefits	-	-	-
Books and supplies	-	-	2,546
Services and operating expenditures	146,973	1,801	1,016,195
Student financial aid	-	-	-
Capital outlay	-	-	2,404,809
Debt service - principal	-	-	143,959
Debt service - interest and other	84,068	100,825	33,694
Total Expenditures	<u>231,041</u>	<u>102,626</u>	<u>3,601,203</u>
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	<u>(119,307)</u>	<u>(3,036)</u>	<u>(3,182,003)</u>
OTHER FINANCING SOURCES (USES)			
Operating transfers in	-	-	5,003,325
Operating transfers out	-	-	-
Other sources	-	-	-
Other uses	-	-	-
Total Other Financing Sources (Uses)	<u>-</u>	<u>-</u>	<u>5,003,325</u>
EXCESS OF REVENUES AND OTHER FINANCING SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	<u>(119,307)</u>	<u>(3,036)</u>	<u>1,821,322</u>
FUND BALANCE, BEGINNING OF YEAR	<u>1,856,427</u>	<u>1,128,011</u>	<u>7,122,552</u>
FUND BALANCE, END OF YEAR	<u>\$ 1,737,120</u>	<u>\$ 1,124,975</u>	<u>\$ 8,943,874</u>

See accompanying note to additional supplementary information.

Revenue Bond Construction	General Construction	Total Governmental Fund (Memorandum Only)
\$ -	\$ -	\$ 8,792,704
-	-	36,608,355
185,153	-	14,009,476
185,153	-	59,410,535
-	-	15,924,337
-	-	13,807,467
-	-	10,743,497
-	-	1,919,338
168,907	-	8,607,664
-	-	258,718
-	-	3,149,648
13,050,000	-	84,707,385
673,912	-	3,602,659
13,892,819	-	142,720,713
(13,707,666)	-	(83,310,178)
7,239	-	14,079,282
(2,793,463)	(15)	(15,958,507)
17,738,912	-	17,755,367
-	-	-
14,952,688	(15)	15,876,142
1,245,022	(15)	(67,434,036)
12,919,519	15	100,597,036
\$ 14,164,541	\$ -	\$ 33,163,000

WEST HILLS COMMUNITY COLLEGE DISTRICT

FIDUCIARY FUNDS BALANCE SHEETS JUNE 30, 2015

	Agency Funds		
	Associated Students Agency	Student Financial Aid	Foundation Agency
ASSETS			
Cash and cash equivalents	\$ 37,984	\$ 272,035	\$ 5,042
Investments	-	-	-
Accounts receivable	905	76,632	31,908
Student loans receivable	59	58,710	-
Due from primary government	80,281	154,122	-
Prepaid expenses	-	56,102	-
Total Assets	\$ 119,229	\$ 617,601	\$ 36,950
LIABILITIES AND FUND EQUITY			
LIABILITIES			
Accounts payable	\$ 31,167	\$ 481,206	\$ 11,229
Due to primary government	43,946	8	25,721
Other current liabilities	-	-	-
Unearned revenue	12	81,984	-
Due to student groups	44,104	54,403	-
Total Liabilities	119,229	617,601	36,950
NET POSITION			
Net Position			
Restricted	-	-	-
Total Net Position	-	-	-
Total Liabilities and Net Position	\$ 119,229	\$ 617,601	\$ 36,950

See accompanying note to additional supplementary information.

Trust Funds			
Scholarship and Loan	GASB 45 Trust	Other Trust	Total
\$ 77,163	\$ -	\$ 42,418	\$ 434,642
-	6,618,112	-	6,618,112
-	-	-	109,445
-	-	-	58,769
37,943	500,000	6,004	778,350
-	-	-	56,102
<u>\$ 115,106</u>	<u>\$ 7,118,112</u>	<u>\$ 48,422</u>	<u>\$ 8,055,420</u>
\$ -	\$ -	\$ -	\$ 523,602
35,892	-	6,004	111,571
-	-	-	-
-	-	-	81,996
-	-	-	98,507
<u>35,892</u>	<u>-</u>	<u>6,004</u>	<u>815,676</u>
79,214	7,118,112	42,418	7,239,744
<u>79,214</u>	<u>7,118,112</u>	<u>42,418</u>	<u>7,239,744</u>
<u>\$ 115,106</u>	<u>\$ 7,118,112</u>	<u>\$ 48,422</u>	<u>\$ 8,055,420</u>

WEST HILLS COMMUNITY COLLEGE DISTRICT

FIDUCIARY FUNDS

STATEMENTS OF REVENUES, EXPENDITURES, AND CHANGES IN NET POSITION FOR THE YEAR ENDED JUNE 30, 2015

	Agency Funds		
	Associated Students Agency	Student Financial Aid	Foundation Agency
REVENUES			
Federal revenues	\$ -	\$ 14,671,596	\$ -
State revenues	-	1,093,922	-
Local revenues	4,483	1,668	61,852
Total Revenues	<u>4,483</u>	<u>15,767,186</u>	<u>61,852</u>
EXPENDITURES			
Current Expenditures			
Academic salaries	-	-	108,123
Classified salaries	-	-	267,525
Employee benefits	-	-	111,297
Books and supplies	-	-	193
Services and operating expenditures	44,406	257,406	145,387
Student financial aid	400	15,842,423	-
Total Expenditures	<u>44,806</u>	<u>16,099,829</u>	<u>632,525</u>
EXCESS OF REVENUES OVER (UNDER) EXPENDITURES	<u>(40,323)</u>	<u>(332,643)</u>	<u>(570,673)</u>
OTHER FINANCING SOURCES (USES)			
Operating transfers in	-	284,237	570,673
Total Other Financing Sources (Uses)	<u>-</u>	<u>284,237</u>	<u>570,673</u>
EXCESS OF REVENUES AND OTHER FINANCING SOURCES OVER (UNDER) EXPENDITURES AND OTHER USES	<u>(40,323)</u>	<u>(48,406)</u>	<u>-</u>
NET POSITION, BEGINNING OF YEAR	<u>40,323</u>	<u>48,406</u>	<u>-</u>
NET POSITION, END OF YEAR	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>

See accompanying note to additional supplementary information.

Trust Funds			
Scholarship and Loan	GASB 45 Trust	Other Trust	Total
\$ -	\$ -	\$ -	\$ 14,671,596
-	-	-	1,093,922
-	210,925	4,992	283,920
-	210,925	4,992	16,049,438
-	-	-	108,123
-	-	-	267,525
-	-	-	111,297
-	-	-	193
-	500	5,354	453,053
10,405	-	-	15,853,228
10,405	500	5,354	16,793,419
(10,405)	210,425	(362)	(743,981)
24,315	1,000,000	-	1,879,225
24,315	1,000,000	-	1,879,225
13,910	1,210,425	(362)	1,135,244
65,304	5,907,687	42,780	6,104,500
\$ 79,214	\$ 7,118,112	\$ 42,418	\$ 7,239,744

WEST HILLS COMMUNITY COLLEGE DISTRICT

NOTE TO ADDITIONAL SUPPLEMENTARY INFORMATION JUNE 30, 2015

NOTE 1 - PURPOSE OF SCHEDULES

Fund Financial Statements

The accompanying financial statements report the governmental fund activities of West Hills Community College District and are presented on the modified accrual basis of accounting. Therefore, some amounts presented in these financial statements may differ from amounts present in, or used in, the preparation of the basic financial statements.

APPENDIX B

GENERAL AND FINANCIAL INFORMATION ABOUT THE DISTRICT

THE DISTRICT

General Information

The District was formed in 1961 but was operational since 1932 in the form of a Coalinga Extension Center of what was then called Fresno State College. Originally, the District encompassed the same area as the Coalinga High School District. Thereafter annexation elections expanded the District's geographical boundaries, making the District today into one of the largest community college districts in the State.

The District serves an area of approximately 3,600 square miles, encompassing portions of the following five counties: Fresno, Kings, San Benito, Monterey and Madera. Based on assessed valuations for 2016-17, approximately 61% of the assessed value of the District is in Fresno County, and approximately 34% of the District's assessed value is in Kings County.

The District operates two separate college campuses and an off-campus educational center: (1) the Coalinga Campus situated at 300 Cherry Lane, Coalinga, California (the **"Coalinga Campus"**), (2) the City of Lemoore campus situated at 555 College Avenue, Lemoore, California (the **"Lemoore Campus"**) and (3) the City of Firebaugh North District Educational Center located at 1511 Ninth Street, Firebaugh, California (the **"Firebaugh Center"**). The District estimates a full-time equivalent student (**"FTES"**) enrollment of approximately 5,400 students for fiscal year 2016-17.

The West Hills Community College District provides postsecondary education to the students of Coalinga-Huron Unified School District, Lemoore Union High School District, Riverdale Joint Unified School District, Golden Plains Unified School District, Firebaugh-Las Deltas Unified School District, Reef- Sunset Unified School District, and Mendota Unified School District. The West Hills Community College District maintains a District Office and a center at Naval Air Station Lemoore. There were no changes in the boundaries of the District during the fiscal year.

The District is also committed to distance learning and other technological advances to create opportunities for education through the internet, satellite and cable television, extending even beyond the traditional service area. The colleges offer transfer programs, associate in arts and associate in science degrees. For background and demographic information about the region in which the District is located, see "APPENDIX A – General Demographic Information about Kings and Fresno Counties."

Administration

The District is governed by a seven-member Board of Trustees, each member of which is elected to a four-year term. The Trustees are elected at large from various parts of the District including Coalinga, Firebaugh, Riverdale and Tranquility (in Fresno County) and Avenal and Lemoore (in Kings County). The terms of the Board are staggered with elections in odd numbered years. Current members of the Board, together with their offices and the dates their terms expire, are listed below:

WEST HILLS COMMUNITY COLLEGE DISTRICT
Board of Trustees

Name	Office	Term Expires
Mark McKean	President	November 2019
Nina Oxborrow	Vice President	November 2017
Jack Minnite	Clerk	November 2017
Steve Cantu	Member	November 2019
Bobby Lee	Member	November 2019
J.L. Levinson	Member	November 2017
Martin Maldonado	Member	November 2019

The Chancellor of the District is responsible for administering the affairs of the District in accordance with the policies of the Board and for the supervision of the District's other key personnel. The District's Chancellor and certain key administrative personnel are as follows:

Dr. Frank P. Gornick, Chancellor. Dr. Gornick joined the District in January, 1994. A graduate of West Hills College Coalinga, Dr. Gornick holds a Ph.D. from St. Louis University. Under his leadership, the District expanded with the opening of West Hills College Lemoore in 2002. It has received national recognition by the MetLife Foundation and Campus Compact. Prior to joining the District, he served as Dean of Students at Bakersfield College.

Ken Stoppenbrink, Deputy Chancellor. Mr. Stoppenbrink joined the District in 1996 as Director of Human Resources. He was named Deputy Chancellor in 2013, and previously served as Vice Chancellor of Business Services since 2004. He holds a master's degree in e-business and has broad knowledge of human resources, business operations and budgeting. Prior to joining the District, Mr. Stoppenbrink was human resources director for Coalinga Regional Medical Center and Dameron Hospital Association in Stockton.

Recent Enrollment Trends

The following table shows the number of full-time equivalent student for the District as follows:

WEST HILLS COMMUNITY COLLEGE DISTRICT
Annual Full-Time Equivalent Students
Fiscal Years 2008-09 through 2016-17 (estimated)

Fiscal Year	FTES	Percentage Change
2004-05	4,703	--
2005-06	4,805	2.17%
2006-07	4,950	3.02
2007-08	5,050	2.02
2008-09	5,205	3.07
2009-10	4,973	(4.46)
2010-11	5,132	3.20
2011-12	4,664	(9.12)
2012-13	4,727	1.35
2013-14	5,100	7.89
2014-15	5,100	--
2015-16	5,281	3.55
2016-17 ⁽¹⁾	5,400	2.25

(1) Estimated.

Source: West Hills Community College District Audits for fiscal years 2008-2015; West Hills Community College District Budget for fiscal year 2015-16 and 2016-17.

Employee Relations

In the fall of 1974, the California State Legislature enacted a public school employee collective bargaining law known as the Rodda Act. This law provides that employees are to be divided into appropriate bargaining units that are to be represented by an exclusive bargaining agent. The District presently employs approximately 98 full-time and 180 part-time faculty; and approximately 250 full-time and 160 part-time classified employees.

WEST HILLS COMMUNITY COLLEGE DISTRICT
Labor Relations Organizations

Labor Organization	Number of Employees In Organization	Contract Expiration Date
West Hill College Faculty Association/CTA/NEA	98	6/30/2019
California School Employees Chapter 429	410	6/30/2016*

* Employees continue to work under expired contract while negotiations regarding wages are finalized.

Source: West Hills Community College District.

The District considers relations with its bargaining units as amicable. The District has never experienced a strike or work slowdown, and characterizes its relations with bargaining units as amicable.

DISTRICT FINANCIAL INFORMATION

District Retirement Systems

Qualified employees of the School District are covered under multiple-employer defined benefit pension plans maintained by agencies of the State. Certificated employees are members of the State Teachers' Retirement System ("**STRS**") and classified employees are members of the Public Employees' Retirement System ("**PERS**"). Both STRS and PERS are operated on a Statewide basis. *The information set forth below regarding the STRS and PERS programs, other than the information provided by the School District regarding its annual contributions thereto, has been obtained from publicly available sources which are believed to be reliable but are not guaranteed as to accuracy or completeness, and should not to be construed as a representation by either the School District or the Underwriter.*

Implementation of GASB Nos. 68 and 71. Commencing with fiscal year ended June 30, 2015, the School District implemented the provisions of GASB Statement No. 68, as amended by GASB Statement No. 71, which imposes certain new pension accounting and financial reporting requirements in the notes to its audited financial statements commencing with financial statements for fiscal years ending after June 30, 2014. Statement No. 68, as amended, generally requires the School District to recognize its proportionate share of the unfunded pension obligation for STRS and PERS by recognizing a net pension liability measured as of a date (the measurement date) no earlier than the end of its prior fiscal year. As a result of the implementation of GASB Statement Nos. 68 and 71, the School District was required to restate its beginning net position as of July 1, 2014. See "APPENDIX A – Audited Financial Statements of the School District For Fiscal Year Ending June 30, 2015."

STRS. All full-time certificated employees participate in STRS, a cost-sharing, multiple-employer contributory public employee retirement system. STRS provides retirement, disability and survivor benefits to plan members and beneficiaries under a defined benefit program. Benefit provisions and contribution amounts are established by State statutes, as legislatively amended. The program is funded through a combination of investment earnings and statutorily set contributions from three sources: employees, employers and the State. See "Pension Reform Act of 2013 (Assembly Bill 340)" below for further discussion.

The School District's contribution to STRS for recent, current and projected future fiscal years are set forth in the following table.

WEST HILLS COMMUNITY COLLEGE DISTRICT STRS Contributions

Fiscal Year	Contribution
2010-11	\$1,060,792
2011-12	1,152,657
2012-13	1,028,107
2013-14	1,104,428
2014-15	1,070,578
2015-16*	1,398,085
2016-17*	1,709,140

*Budgeted.

Source: West Hills Community College District.

Historically, employee, employer and State contribution rates did not vary annually to account for funding shortfalls or surpluses in the STRS plan. In recent years, the combination of investment earnings and statutory contributions were not sufficient to pay actuarially required amounts. As a result, the STRS defined benefit program showed an estimated unfunded actuarial liability of approximately \$76.2 billion as of June 30, 2015 (the date of the last actuarial valuation). In connection with the State's adoption of its fiscal year 2014-15 Budget, the Governor signed into law Assembly Bill 1469 ("**AB 1469**"), which represents a legislative effort to address the unfunded liabilities of the STRS pension plan. AB 1469 addressed the funding gap by increasing contributions by employees, employers and the State. In particular, employer contribution rates are scheduled to increase through at least fiscal year 2020-21, from a contribution rate of 8.25% in fiscal year 2013-14 to 19.1% in fiscal year 2020-21. Thereafter, employer contribution rates will be determined by the STRS board to reflect the contribution required to eliminate unfunded liabilities by June 30, 2046.

The School District's employer contribution rates for fiscal years 2014-15 and 2015-16 were 8.88% and 10.73%, respectively. Projected employer contribution rates for school districts (including the School District) for fiscal year 2016-17 through fiscal year 2020-21 are set forth in the following table.

PROJECTED EMPLOYER CONTRIBUTION RATES (STRS)
Fiscal Years 2016-17 through 2020-21

Fiscal Year	Projected Employer Contribution Rate⁽¹⁾
2016-17	12.58%
2017-18	14.43
2018-19	16.28
2019-20	18.13
2020-21	19.10

(1) Expressed as a percentage of covered payroll.
Source: AB 1469

PERS. All full-time and some part-time classified employees participate in PERS, an agent multiple-employer contributory public employee retirement system that acts as a common investment and administrative agent for participating public entities within the State. PERS provides retirement, disability, and death benefits to plan members and beneficiaries. The School District is part of a cost-sharing pool within PERS known as the "Schools Pool." Benefit provisions are established by State statutes, as legislatively amended. Contributions to PERS are made by employers and employees. Each fiscal year, the School District is required to contribute an amount based on an actuarially determined employer rate. The School District's employer contributions to PERS for recent, current and projected future fiscal years are set forth in the following table.

WEST HILLS COMMUNITY COLLEGE DISTRICT
CalPERS Contributions

Fiscal Year	Contribution
2010-11	\$1,289,847
2011-12	1,268,860
2012-13	1,283,335
2013-14	1,340,254
2014-15	1,386,708
2015-16*	1,560,019
2016-17*	2,097,250

*Budgeted.

Source: West Hills Community College District.

Like the STRS program, the PERS program has experienced an unfunded liability in recent years. The PERS unfunded liability, on a market value of assets basis, was approximately \$16.5 billion as of June 30, 2015 (the date of the last actuarial valuation). To address this issue, the PERS board has taken a number of actions. In April 2013, for example, the PERS board approved changes to the PERS amortization and smoothing policy intended to reduce volatility in employer contribution rates. In addition, in April 2014, PERS set new contribution rates, reflecting new demographic assumptions and other changes in actuarial assumptions. The new rates and underlying assumptions, which are aimed at eliminating the unfunded liability of PERS in approximately 30 years, will be implemented for school districts beginning in fiscal year 2016-17, with the costs spread over 20 years and the increases phased in over the first five years.

The School District's employer contribution rates for fiscal years 2014-15 and 2015-16 were 11.771% and 11.847%, respectively. Projected employer contribution rates for school districts (including the School District) for fiscal year 2016-17 through fiscal year 2020-21 are set forth in the following table.

PROJECTED EMPLOYER CONTRIBUTION RATES (PERS)
Fiscal Years 2016-17 through 2020-21⁽¹⁾

Fiscal Year	Projected Employer Contribution Rate⁽²⁾
2016-17	13.888%
2017-18	15.500
2018-19	17.100
2019-20	18.600
2020-21	19.800

(1) Rates were estimated by PERS in 2016. The PERS board is expected to approve official employer contribution rates for each fiscal year shown during the immediately preceding fiscal year.

(2) Expressed as a percentage of covered payroll.

Source: PERS

California Public Employees' Pension Reform Act of 2013. On September 12, 2012, the Governor signed into law the California Public Employees' Pension Reform Act of 2013 ("PEPRA"), which impacted various aspects of public retirement systems in the State, including the STRS and PERS programs. In general, PEPRA (i) increased the retirement age for public employees depending on job function, (ii) capped the annual pension benefit payouts for public employees hired after January 1, 2013, (iii) required public employees hired after January 1,

2013 to pay at least 50% of the costs of their pension benefits (as described in more detail below), (iv) required final compensation for public employees hired after January 1, 2013 to be determined based on the highest average annual pensionable compensation earned over a period of at least 36 consecutive months, and (v) attempted to address other perceived abuses in the public retirement systems in the State. PEPPRA applies to all public employee retirement systems in the State, *except* the retirement systems of the University of California, and charter cities and charter counties whose pension plans are not governed by State law. PEPPRA's provisions went into effect on January 1, 2013 with respect to new State, school, and city and local agency employees hired on or after that date; existing employees who are members of employee associations, including employee associations of the School District, have a five-year window to negotiate compliance with PEPPRA through collective bargaining.

PERS has predicted that the impact of PEPPRA on employees and employers, including the School District and other employers in the PERS system, will vary, based on each employer's current level of benefits. As a result of the implementation of PEPPRA, new members must pay at least 50% of the normal costs of the plan, which can fluctuate from year to year. To the extent that the new formulas lower retirement benefits, employer contribution rates could decrease over time as current employees retire and employees subject to the new formulas make up a larger percentage of the workforce. This change would, in some circumstances, result in a lower retirement benefit for employees than they currently earn.

With respect to the STRS pension program, employees hired after January 1, 2013 will pay the greater of either (1) fifty percent of the normal cost of their retirement plan, rounded to the nearest one-quarter percent, or (2) the contribution rate paid by then-current members (i.e., employees in the STRS plan as of January 1, 2013). The member contribution rate could be increased from this level through collective bargaining or may be adjusted based on other factors. Employers will pay at least the normal cost rate, after subtracting the member's contribution.

The School District is unable to predict the amount of future contributions it will have to make to PERS and STRS as a result of the implementation of PEPPRA, and as a result of negotiations with its employee associations, or, notwithstanding the adoption of PEPPRA, resulting from any legislative changes regarding the PERS and STRS employer contributions that may be adopted in the future.

Additional Information. Additional information regarding the School District's retirement programs is available in Note 13 to the School District's audited financial statements attached hereto as APPENDIX A. In addition, both STRS and PERS issue separate comprehensive financial reports that include financial statements and required supplemental information. Copies of such reports may be obtained from STRS and PERS, respectively, as follows: (i) STRS, P.O. Box 15275, Sacramento, California 95851-0275; and (ii) PERS, 400 Q Street, Sacramento, California 95811. More information regarding STRS and PERS can also be obtained at their websites, www.calstrs.com and www.calpers.ca.gov, respectively. *The references to these Internet websites are shown for reference and convenience only and the information contained on such websites is not incorporated by reference into this Official Statement. The information contained on these websites may not be current and has not been reviewed by the School District or the Underwriter for accuracy or completeness.*

Other Post-Employment Benefits (“OPEB”) - Health Care Benefits.

The Plan. The Post Employment Benefit Plan (the “**Plan**”) is a single-employer defined benefit healthcare plan administered by West Hills Community College District. The Plan provides medical and dental insurance benefits to eligible retirees and their spouses. Membership of the Plan consists of 57 retirees and beneficiaries currently receiving benefits and over 272 active plan members.

The contribution requirements of plan members and the District are established and may be amended by the District and the District's bargaining units. The required contribution is based on projected pay-as-you-go financing requirements with an additional amount to prefund benefits as determined annually through agreements between the District and the bargaining units. For fiscal year 2015, the District contributed 100% of the required "pay as you go" portion of \$463,000 and has also contributed funds totaling \$589,822 towards the future obligations of the District. The annual required contribution (“**ARC**”) for the District was \$837,975. The net amount of the Trust's investment returns/losses and the cumulative balance of the ARC has left a Net Plan Asset totaling \$2,662,793 as of June 30, 2015.

APPLE. The District contributes to the APPLE plan for employees not covered under CalPERS or CalSTRS plans. The plan provides benefits in a lump sum distribution of the employees' vested balance as of their retirement date. Active plan members and the District are each required to contribute 3.75% of an individual's salary to the plan, for a total of 7.5% of an individual's salary. Individuals enrolled in the plan are 100% vested in the contributions made to it. The District's contribution to the plan for the fiscal year ending June 30, 2015, was \$53,060.

Unfunded Actuarial Accrued Liability. In the November 1, 2014, actuarial valuation, the entry age normal method was used. The actuarial assumptions included a 6.5 percent investment rate of return (net of administrative expenses), based on the Plan being funded in an irrevocable employee benefit trust fund invested in a long-term fixed income portfolio. Healthcare cost trend rates were 4.0 percent. The cost trend rate used for the Dental and Vision Programs was 4.0 percent. The UAAL is being amortized at a level dollar method. The remaining amortization period at June 30, 2015, was 19 years. As of June 30, 2015, the Trust held assets with a value of \$6,618,112. See “DISTRICT FINANCIAL INFORMATION – Indebtedness of the District”.

OPEB Funded Status and Funding Progress. Actuarial valuations of an ongoing plan involve estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, investment returns, mortality, and the healthcare cost trend. Amounts determined regarding the funded status of the plan and the annual required contributions of the employer are subject to continual revision as actual results are compared with past expectations and new estimates are made about the future. The schedule of funding progress presents multiyear trend information about whether the actuarial value of plan assets is increasing or decreasing over time relative to the actuarial accrued liabilities for benefits:

**Schedule of OPEB Funding Progress
West Hills Community College District**

Actuarial Valuation Date	Actuarial Value of Assets	Actuarial Accrued Liability Entry Age Normal	Unfunded Actuarial Accrued Liability	Funded Ratio	Covered Payroll	UAAL as a % of Covered Payroll
November 1, 2008	\$1,475,006	\$2,624,302	\$1,149,296	56.21%	\$29,446,414	3.90%
November 1, 2011	2,734,825	7,259,572	4,524,747	37.67	24,904,850	18.17
November 1, 2012	3,892,368	7,180,848	3,288,480	54.20	23,702,465	13.87
November 1, 2014	6,040,662	10,670,120	4,629,458	56.61	23,836,774	19.42

Source: West Hills Community College District Audited Financial Statement for Fiscal Year 2014-15.

As required by Statement No. 45 (“**GASB 45**”) published by Governmental Accounting Standards Board, the District is required to account for and report the outstanding obligations and commitments related to OPEB in essentially the same manner as for pensions. The District’s annual OPEB cost is calculated based on the ARC of the District, an amount actuarially determined in accordance with GASB 45. The following is the District’s OPEB cost for the year ended June 30, 2015:

**WEST HILLS COMMUNITY COLLEGE DISTRICT
OPEB Cost for Year Ending June 30, 2015**

Annual required contribution	\$(837,975)
Additional interest earned, net of expenses, on net plan assets	(50,927)
Adjustment to annual required contribution	(255,117)
Annual OPEB cost (expense)	(1,144,019)
Contributions	1,052,822
Net change in OPEB asset	(91,197)
Net OPEB asset, beginning of year	2,753,990
Net OPEB asset, end of year	\$2,662,793

Source: West Hills Community College District.

Participation in Public Entity Risk Pools and Joint Powers Authorities. The District is a member of the Central Valley Trust (“**CVT**”), the Self Insured Schools of California (“**SISC**”), the State Wide Association of Community Colleges (“**SWACC**”), and the Protected Insurance Program for Schools (“**PIPS**”) Joint Powers Authorities (“**JPs**”). The District pays annual premiums for its health, property liability, and worker’s compensation coverage. The relationship between the District and the JPAs is such that it is not a component unit of the District for financial reporting purposes.

The JPAs have budgeting and financial reporting requirements independent of member units and their financial statements are not presented in this appendix. Audited financial statements are available from the respective entities.

The District’s share of year-end assets, liabilities, or fund equity has not been calculated. During the year ended June 30, 2015, the District made payments of \$1,354,652, \$4,114,221, \$440,963, and \$261,539, to CVT, SISC, PIPS, and SWACC, respectively for health, worker’s compensation, and property liability coverage.

District Insurance Coverage

For fiscal year 2014-2015, the District participated in the PIPS Joint Powers Authority, an insurance purchasing pool. The intent of PIPS is to achieve the benefit of a reduced premium for the District by virtue of its grouping and representation with other participants in PIPS. The workers' compensation experience of the participating districts is calculated as one experience, and a common premium rate is applied to all districts in PIPS. Each participant pays its workers' compensation premium based on its individual rate. Total savings are then calculated and each participant's individual performance is compared to the overall saving. A participant will then either receive money from or be required to contribute to the "equity pooling fund." This "equity pooling" arrangement insures that each participant shares equally in the overall performance of PIPS. Participation in PIPS is limited to community college districts that can meet PIPS's selection criteria.

Accounting Practices

The accounting practices of the District conform to generally accepted accounting principles in accordance with policies and procedures of the California Colleges Budgeting and Accounting Manual. This manual, according to Section 84030 of the California Education Code, is to be followed by all California community college districts.

District accounting is organized on the basis of fund groups, with each group consisting of a separate set of self-balancing accounts containing assets, liabilities, fund balances, revenues and expenditures. The major fund classification is the general fund which accounts for all financial resources not requiring a special fund placement. The District's fiscal year begins on July 1 and ends on June 30.

District expenditures are accrued at the end of the fiscal year to reflect the receipt of goods and services in that year. Revenues generally are recorded on a cash basis, except for items that are susceptible to accrual (measurable and/or available to finance operations). Current taxes are considered susceptible to accrual. Revenues from specific state and federally funded projects are recognized when qualified expenditures have been incurred. State block grant apportionments are accrued to the extent that they are measurable and predictable. The State Department of Education sends the District updated information from time to time explaining the acceptable accounting treatment of revenue and expenditure categories.

The Governmental Accounting Standards Board ("**GASB**") published its Statement No. 34 "Basic Financial Statements – and Management's Discussion and Analysis – for State and Local Governments" on June 30, 1999. Statement No. 34 provides guidelines to auditors, state and local governments and special purpose governments such as school districts and public utilities, on new requirements for financial reporting for all governmental agencies in the United States. Generally, the basic financial statements and required supplementary information should include (i) Management's Discussion and Analysis; (ii) financial statements prepared using the economic measurement focus and the accrual basis of accounting and (ii) fund financial statements prepared using the current financial resources measurement focus and the modified accrual method of accounting and (iii) required supplementary information.

Budget Process

The District is required by provisions of the State Education Code to maintain a balanced budget each year, where the sum of expenditures plus the ending fund balance cannot exceed revenues plus the carry-over fund balance from the previous year. The Board of Governors of the California Community Colleges imposes a uniform budgeting format for all California community college districts. Under current law, the District Board of Trustees approves a tentative budget by July 1 and an adopted budget by September 15 of each fiscal year. Inquiries about the budget or other financial information may be sent to Ken Stoppenbrink, Deputy Chancellor, at West Hills Community College District, 9800 Cody Street, Coalinga, California 93210, or e-mail at kenstoppenbrink@whccd.edu.

Financial Statements

The District's general fund finances the legally authorized activities of the District for which restricted funds are not provided. General fund revenues are derived from such sources as State school fund apportionments, taxes, use of money and property, and aid from other governmental agencies. The District's June 30, 2015 Audited Financial Statements were prepared by Vavrinek, Trine, ay & Co., LLP, Fresno, California (the "**Auditor**"). Excerpts from the District's audited financial statements for Fiscal Year ended June 30, 2015 are attached to the Official Statement as APPENDIX A.

The District has not requested and the Auditor has not provided any review or update of such statements in connection with inclusion in this Official Statement.

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Revenues, Expenditures and Changes in Net Assets. The following table summarizes the District's revenues, expenses and change in net assets for Fiscal Years 2010-11 through 2014-15 (as shown in the District's audited financial statements).

WEST HILLS COMMUNITY COLLEGE DISTRICT
Summary of Primary Government Revenues, Expenditures and Changes in Net Assets
For Fiscal Years 2010-11 through 2014-15 (Audited)

	2010-11	2011-12	2012-13	2013-14	2014-15
Operating Revenues					
Net Tuition and Fees	\$2,250,906	\$2,356,964	\$2,090,400	\$2,358,262	\$2,389,671
Auxiliary Sales and Charges	--	--	--	--	--
Cafeteria	737,183	592,333	493,105	678,143	760,579
Farm	105,128	250,474	99,533	239,535	150,757
TOTAL OPERATING REVENUES	3,093,217	3,199,771	2,683,038	3,275,940	3,301,007
Operating Expenses					
Salaries	29,874,551	28,417,084	29,297,717	32,166,269	30,127,390
Employee benefits	9,234,070	9,381,176	9,595,613	10,141,473	11,132,195
Supplies, materials and other operating expenses and services	24,793,111	31,119,544	29,190,961	14,012,730	15,912,743
Depreciation	2,950,450	3,890,183	4,845,683	5,521,442	4,899,715
TOTAL OPERATING EXPENSES	66,852,182	72,807,987	72,929,974	61,841,914	62,072,043
Operating Loss	(63,758,965)	(69,608,216)	(70,246,936)	(58,565,974)	(58,771,036)
Non-Operating Revenues (Expenses)					
Grants and Contracts, noncapital:					
Federal	25,295,919	22,989,300	25,561,075	13,355,263	8,792,704
State	9,590,504	10,399,272	8,591,594	8,733,991	11,357,274
Local	182,084	140,966	512,756	1,249,529	1,397,719
State apportionments, non-capital	25,602,247	22,543,966	22,272,175	24,015,968	24,484,627
Local property taxes, levied for general purposes	3,934,785	5,291,619	5,908,033	6,511,374	4,535,626
State taxes and other revenues	63,914	64,323	731,222	1,027,051	938,602
Investment income, net	2,780,474	2,057,008	785,986	1,688,195	920,372
Interest and other expenses on debt	(2,986,836)	(2,403,164)	(2,131,953)	362,548	(4,296,974)
Net transfers (to)/from trust and agency funds	--	--	--	(1,345,694)	(1,879,225)
Other non-operating expenses	960,078	896,185	3,994,710	3,222,469	741,720
TOTAL NON-OPERATING REVENUES (EXPENSES)	65,423,169	61,979,475	66,225,598	58,820,694	46,992,445
Income (Loss) Before Other Revenues and Expenses	1,664,204	(7,628,741)	(4,021,338)	254,720	(11,778,591)
Other Revenues and Expenditures					
State revenues, capital	11,376,675	6,209,957	2,000	--	--
Local revenues, capital	42,682	292,678	1,374,638	1,260,835	3,854,752
TOTAL OTHER REVENUES AND EXPENSES	11,419,357	6,502,635	1,376,638	1,260,835	3,854,752
Change in Net Position	13,083,561	(1,126,106)	(2,644,700)	1,515,555	(7,923,839)
Net Position, Beginning of Year as Restated	77,806,615	90,890,176	105,994,522⁽¹⁾	100,465,165⁽²⁾	101,980,720⁽³⁾
Net Position, End of Year	\$90,890,176	\$89,764,070	\$103,349,822	\$101,980,720	\$58,642,955

(1) Increase of \$1,046,289.00 in fiscal year 2012-13 due to implementation of GASB No. 62.

(2) Decrease of \$2,884,657 in fiscal year 2013-14 due to implementation of GASB No. 65.

(3) Decrease of \$35,413,926 in fiscal year 2014-15 due to implementation of GASB No. 68.

Source: West Hills Community College District.

General Fund Budget Summary

The presentation of the District's audits as summarized in the preceding section is used only for District's external audit. The District manages its funds in a different format, including with respect to its budgets. The following table shows the District's General Fund Budget Summary for fiscal year 2016-17, as set forth in the District's 2016-17 Adopted Budget.

WEST HILLS COMMUNITY COLLEGE DISTRICT General Fund Budget and Fund Balances, Revenues and Expenditures For Fiscal Year 2016-17

	<u>2016-17 Adopted Budget</u>
Beginning Balance	\$7,107,000
Revenues:	37,838,4875
Total, Net Beginning Balance and Income	44,945,475
Expenditures:	
Academic Salaries	14,226,025
Classified Salaries	7,241,876
Employee Benefits	8,511,157
Supplies & Materials	883,191
Other Operating Expenses	7,004,857
Capital Outlay	211,469
Other Outgo	6,864,900
Total Expenditures	<u>\$ 44,945,475</u>

Source: West Hills Community College District.

District General Fund Reserves

The District has a policy which has been adopted by the Board of Trustees to maintain unrestricted reserves at a minimum of five percent of expenditures, as well as a Board adopted goal of maintaining unrestricted reserves at ten percent of expenditures. For fiscal year 2014-15, the District maintained unrestricted reserves of 11% of expenditures (\$4.0 million), and for 2015-16 expects to maintain reserves of at least 10% of expenditures.

District Actions to Address State Funding Reductions

Community college districts in California derive a large percentage of their general fund revenues from the State. See "FUNDING OF COMMUNITY COLLEGE DISTRICT IN CALIFORNIA" below. As a result, they have had to address the impact of reduced revenues which resulted from the general nationwide economic downturn beginning in 2008 and subsequent reductions in education spending by the State. Past actions the District has taken to address reduced State funding include the implementation of expenditure control initiatives, organizational changes, management of reserves, conservative budget planning and management of student enrollment limits.

The California budget situation has shown signs of improvement. In November 2012, California voters passed Proposition 30, which increases income and sales taxes for a temporary period. Proposition has resulted in increased State revenues and subsequent increases in education spending in fiscal year 2013-14, as well as in the 2015-16 Proposed State Budget. See “-State Funding of Education and Recent State Budgets” below.

CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS

Principal of and interest on the Refunding Bonds are payable from the proceeds of an *ad valorem* tax levied by the County for the payment thereof. Articles XIII A, XIII B, XIII C, and XIII D of the State Constitution, Propositions 62, 98, 111 and 218, and certain other provisions of law discussed below, are included in this section to describe the potential effect of these Constitutional and statutory measures on the ability of the District to levy taxes and spend tax proceeds for operating and other purposes, and it should not be inferred from the inclusion of such materials that these laws impose any limitation on the ability of the District to levy taxes for payment of the Refunding Bonds. The tax levied by the County for payment of the Refunding Bonds was approved by the District’s voters in compliance with Article XIII A and all applicable laws.

Constitutionally Required Funding of Education

The State Constitution requires that from all State revenues, there shall be first set apart the moneys to be applied by the State for the support of the public school system and public institutions of higher education. School districts receive a significant portion of their funding from State appropriations. As a result, decreases and increases in State revenues can significantly affect appropriations made by the State Legislature to school districts.

Article XIII A of the California Constitution

Basic Property Tax Levy. On June 6, 1978, California voters approved Proposition 13 (“**Proposition 13**”), which added Article XIII A to the State Constitution (“**Article XIII A**”). Article XIII A limits the amount of any *ad valorem* tax on real property to 1% of the full cash value thereof, except that additional *ad valorem* taxes may be levied to pay debt service on (i) indebtedness approved by the voters prior to July 1, 1978, (ii) (as a result of an amendment to Article XIII A approved by State voters on June 3, 1986) on bonded indebtedness for the acquisition or improvement of real property which has been approved on or after July 1, 1978 by two-thirds of the voters on such indebtedness, and (iii) (as a result of an amendment to Article XIII A approved by State voters on November 7, 2000) bonded indebtedness incurred by a school district or community college district for the construction, reconstruction, rehabilitation or replacement of school facilities or the acquisition or lease of real property for school facilities, approved by 55% of the voters of the district, but only if certain accountability measures are included in the proposition (which provided the authority for the issuance of the Prior Bonds). Article XIII A defines full cash value to mean “the county assessor’s valuation of real property as shown on the 1975-76 tax bill under full cash value, or thereafter, the appraised value of real property when purchased, newly constructed, or a change in ownership have occurred after the 1975 assessment”. This full cash value may be increased at a rate not to exceed 2% per year to account for inflation.

Article XIII A has subsequently been amended to permit reduction of the “full cash value” base in the event of declining property values caused by damage, destruction or other factors, to provide that there would be no increase in the “full cash value” base in the event of reconstruction of property damaged or destroyed in a disaster and in other minor or technical ways.

Legislation Implementing Article XIII A. Legislation has been enacted and amended a number of times since 1978 to implement Article XIII A. Under current law, local agencies are no longer permitted to levy directly any property tax (except to pay voter-approved indebtedness). The 1% property tax is automatically levied by the county and distributed according to a formula among taxing agencies. The formula apportions the tax roughly in proportion to the relative shares of taxes levied prior to 1979.

Increases of assessed valuation resulting from reappraisals of property due to new construction, change in ownership or from the annual adjustment not to exceed 2% are allocated among the various jurisdictions in the “taxing area” based upon their respective “situation.” Any such allocation made to a local agency continues as part of its allocation in future years.

Inflationary Adjustment of Assessed Valuation. As described above, the assessed value of a property may be increased at a rate not to exceed 2% per year to account for inflation. On December 27, 2001, the Orange County Superior Court, in *County of Orange v. Orange County Assessment Appeals Board No. 3*, held that where a home’s taxable value did not increase for two years, due to a flat real estate market, the Orange County assessor violated the 2% inflation adjustment provision of Article XIII A, when the assessor tried to “recapture” the tax value of the property by increasing its assessed value by 4% in a single year. The assessors in most California counties, including the County, use a similar methodology in raising the taxable values of property beyond 2% in a single year. The State Board of Equalization has approved this methodology for increasing assessed values. On appeal, the Appellate Court held that the trial court erred in ruling that assessments are always limited to no more than 2% of the previous year’s assessment. On May 10, 2004 a petition for review was filed with the California Supreme Court. The petition has been denied by the California Supreme Court. As a result of this litigation, the “recapture” provision described above may continue to be employed in determining the full cash value of property for property tax purposes.

Article XIII B of the California Constitution

Article XIII B (“**Article XIII B**”) of the State Constitution, as subsequently amended by Propositions 98 and 111, respectively, limits the annual appropriations of the State and of any city, county, school district, authority or other political subdivision of the State to the level of appropriations of the particular governmental entity for the prior fiscal year, as adjusted for changes in the cost of living and in population and for transfers in the financial responsibility for providing services and for certain declared emergencies. For fiscal years beginning on or after July 1, 1990, the appropriations limit of each entity of government shall be the appropriations limit for the 1986-87 fiscal year adjusted for the changes made from that fiscal year under the provisions of Article XIII B, as amended.

The appropriations of an entity of local government subject to Article XIII B limitations include the proceeds of taxes levied by or for that entity and the proceeds of certain state subventions to that entity. “Proceeds of taxes” include, but are not limited to, all tax revenues and the proceeds to the entity from (a) regulatory licenses, user charges and user fees (but only

to the extent that these proceeds exceed the reasonable costs in providing the regulation, product or service), and (b) the investment of tax revenues.

Appropriations subject to limitation do not include (a) refunds of taxes, (b) appropriations for debt service, (c) appropriations required to comply with certain mandates of the courts or the federal government, (d) appropriations of certain special districts, (e) appropriations for all qualified capital outlay projects as defined by the legislature, (f) appropriations derived from certain fuel and vehicle taxes and (g) appropriations derived from certain taxes on tobacco products.

Article XIII B includes a requirement that all revenues received by an entity of government other than the State in a fiscal year and in the fiscal year immediately following it in excess of the amount permitted to be appropriated during that fiscal year and the fiscal year immediately following it shall be returned by a revision of tax rates or fee schedules within the next two subsequent fiscal years. However, in the event that a school district's revenues exceed its spending limit, the district may in any fiscal year increase its appropriations limit to equal its spending by borrowing appropriations limit from the State.

Article XIII B also includes a requirement that 50% of all revenues received by the State in a fiscal year and in the fiscal year immediately following it in excess of the amount permitted to be appropriated during that fiscal year and the fiscal year immediately following it shall be transferred and allocated to the State School Fund under Section 8.5 of Article XVI of the State Constitution.

Unitary Property

Some amount of property tax revenue of the District is derived from utility property which is considered part of a utility system with components located in many taxing jurisdictions ("**unitary property**"). Under the State Constitution, such property is assessed by the State Board of Equalization ("**SBE**") as part of a "going concern" rather than as individual pieces of real or personal property. State-assessed unitary and certain other property is allocated to the counties by SBE, taxed at special county-wide rates, and the tax revenues distributed to taxing jurisdictions (including the District) according to statutory formulae generally based on the distribution of taxes in the prior year.

Articles XIII C and XIII D

On November 5, 1996, the voters of the State of California approved Proposition 218, popularly known as the "Right to Vote on Taxes Act." Proposition 218 added to the California Constitution Articles XIII C and XIII D (respectively, "**Article XIII C**" and "**Article XIII D**"), which contain a number of provisions affecting the ability of local agencies, including school districts, to levy and collect both existing and future taxes, assessments, fees and charges.

According to the "Title and Summary" of Proposition 218 prepared by the California Attorney General, Proposition 218 limits "the authority of local governments to impose taxes and property-related assessments, fees and charges." Among other things, Article XIII C establishes that every tax is either a "general tax" (imposed for general governmental purposes) or a "special tax" (imposed for specific purposes), prohibits special purpose government agencies such as school districts from levying general taxes, and prohibits any local agency from imposing, extending or increasing any special tax beyond its maximum authorized rate without a two-thirds vote; and also provides that the initiative power will not be limited in matters of reducing or repealing local taxes, assessments, fees and charges. Article XIII C further provides

that no tax may be assessed on property other than *ad valorem* property taxes imposed in accordance with Articles XIII and XIII A of the California Constitution and special taxes approved by a two-thirds vote under Article XIII A, Section 4.

On November 2, 2010, Proposition 26 was approved by State voters, which amended Article XIII C to expand the definition of “tax” to include “any levy, charge, or exaction of any kind imposed by a local government” except the following: (1) a charge imposed for a specific benefit conferred or privilege granted directly to the payor that is not provided to those not charged, and which does not exceed the reasonable costs to the local government of conferring the benefit or granting the privilege; (2) a charge imposed for a specific government service or product provided directly to the payor that is not provided to those not charged, and which does not exceed the reasonable costs to the local government of providing the service or product; (3) a charge imposed for the reasonable regulatory costs to a local government for issuing licenses and permits, performing investigations, inspections, and audits, enforcing agricultural marketing orders, and the administrative enforcement and adjudication thereof; (4) a charge imposed for entrance to or use of local government property, or the purchase, rental, or lease of local government property; (5) a fine, penalty, or other monetary charge imposed by the judicial branch of government or a local government, as a result of a violation of law; (6) a charge imposed as a condition of property development; and (7) assessments and property-related fees imposed in accordance with the provisions of Article XIII D. Proposition 26 provides that the local government bears the burden of proving by a preponderance of the evidence that a levy, charge, or other exaction is not a tax, that the amount is no more than necessary to cover the reasonable costs of the governmental activity, and that the manner in which those costs are allocated to a payor bear a fair or reasonable relationship to the payor’s burdens on, or benefits received from, the governmental activity.

Article XIII D deals with assessments and property-related fees and charges, and explicitly provides that nothing in Article XIII C or XIII D will be construed to affect existing laws relating to the imposition of fees or charges as a condition of property development.

While the provisions of Proposition 218 may have an indirect effect on the District, such as by limiting or reducing the revenues otherwise available to other local governments whose boundaries encompass property located within the District (thereby causing such local governments to reduce service levels and possibly adversely affecting the value of property within the District), the District does not believe that Proposition 218 will directly impact the revenues available to pay debt service on the Refunding Bonds.

Proposition 98

On November 8, 1988, California voters approved Proposition 98, a combined initiative constitutional amendment and statute called the “Classroom Instructional Improvement and Accountability Act” (the “**Accountability Act**”). Certain provisions of the Accountability Act have, however, been modified by Proposition 111, discussed below, the provisions of which became effective on July 1, 1990. The Accountability Act changes State funding of public education below the university level and the operation of the State’s appropriations limit. The Accountability Act guarantees State funding for K-12 school districts and community college districts (hereinafter referred to collectively as “K-14 school districts”) at a level equal to the greater of (a) the same percentage of general fund revenues as the percentage appropriated to such districts in 1986-87, and (b) the amount actually appropriated to such districts from the general fund in the previous fiscal year, adjusted for increases in enrollment and changes in the cost of living. The Accountability Act permits the Legislature to suspend this formula for a one-year period.

The Accountability Act also changes how tax revenues in excess of the State appropriations limit are distributed. Any excess State tax revenues up to a specified amount would, instead of being returned to taxpayers, be transferred to K-14 school districts. Any such transfer to K-14 school districts would be excluded from the appropriations limit for K-14 school districts and the K-14 school district appropriations limit for the next year would automatically be increased by the amount of such transfer. These additional moneys would enter the base funding calculation for K 14 school districts for subsequent years, creating further pressure on other portions of the State budget, particularly if revenues decline in a year following an Article XIII B surplus. The maximum amount of excess tax revenues which could be transferred to K 14 school districts is 4% of the minimum State spending for education mandated by the Accountability Act.

Proposition 111

On June 5, 1990, the voters approved Proposition 111 (Senate Constitutional Amendment No. 1) called the “Traffic Congestion Relief and Spending Limit Act of 1990” (“**Proposition 111**”) which further modified Article XIII B and Sections 8 and 8.5 of Article XVI of the State Constitution with respect to appropriations limitations and school funding priority and allocation.

The most significant provisions of Proposition 111 are summarized as follows:

Annual Adjustments to Spending Limit. The annual adjustments to the Article XIII B spending limit were liberalized to be more closely linked to the rate of economic growth. Instead of being tied to the Consumer Price Index, the “change in the cost of living” is now measured by the change in California *per capita* personal income. The definition of “change in population” specifies that a portion of the State’s spending limit is to be adjusted to reflect changes in school attendance.

Treatment of Excess Tax Revenues. “Excess” tax revenues with respect to Article XIII B are now determined based on a two-year cycle, so that the State can avoid having to return to taxpayers excess tax revenues in one year if its appropriations in the next fiscal year are under its limit. In addition, the Proposition 98 provision regarding excess tax revenues was modified. After any two-year period, if there are excess State tax revenues, 50% of the excess are to be transferred to K-14 school districts with the balance returned to taxpayers; under prior

law, 100% of excess State tax revenues went to K-14 school districts, but only up to a maximum of 4% of the schools' minimum funding level. Also, reversing prior law, any excess State tax revenues transferred to K-14 school districts are not built into the school districts' base expenditures for calculating their entitlement for State aid in the next year, and the State's appropriations limit is not to be increased by this amount.

Exclusions from Spending Limit. Two exceptions were added to the calculation of appropriations which are subject to the Article XIII B spending limit. First, there are excluded all appropriations for "qualified capital outlay projects" as defined by the Legislature. Second, there are excluded any increases in gasoline taxes above the 1990 level (then nine cents per gallon), sales and use taxes on such increment in gasoline taxes, and increases in receipts from vehicle weight fees above the levels in effect on January 1, 1990. These latter provisions were necessary to make effective the transportation funding package approved by the Legislature and the Governor, which expected to raise over \$15 billion in additional taxes from 1990 through 2000 to fund transportation programs.

Recalculation of Appropriations Limit. The Article XIII B appropriations limit for each unit of government, including the State, is to be recalculated beginning in fiscal year 1990-91. It is based on the actual limit for fiscal year 1986-87, adjusted forward to 1990-91 as if Proposition 111 had been in effect.

School Funding Guarantee. There is a complex adjustment in the formula enacted in Proposition 98 which guarantees K-14 school districts a certain amount of State general fund revenues. Under prior law, K-14 school districts were guaranteed the greater of (1) 40.9% of State general fund revenues (the "**first test**") or (2) the amount appropriated in the prior year adjusted for changes in the cost of living (measured as in Article XIII B by reference to *per capita* personal income) and enrollment (the "**second test**"). Under Proposition 111, schools will receive the greater of (1) the first test, (2) the second test, or (3) a third test, which will replace the second test in any year when growth in *per capita* State general fund revenues from the prior year is less than the annual growth in California per capita personal income (the "**third test**"). Under the third test, schools will receive the amount appropriated in the prior year adjusted for change in enrollment and *per capita* State general fund revenues, plus an additional small adjustment factor. If the third test is used in any year, the difference between the third test and the second test will become a "credit" to schools which will be paid in future years when State general fund revenue growth exceeds personal income growth.

Proposition 39

On November 7, 2000, California voters approved an amendment (commonly known as "**Proposition 39**") to the California Constitution. This amendment (1) allows school facilities bond measures to be approved by 55% (rather than two-thirds) of the voters in local elections and permits property taxes to exceed the current 1% limit in order to repay the bonds and (2) changes existing statutory law regarding charter school facilities. As adopted, the constitutional amendments may be changed only with another Statewide vote of the people. The statutory provisions could be changed by a majority vote of both houses of the Legislature and approval by the Governor, but only to further the purposes of the proposition. The local school jurisdictions affected by this proposition are K-12 school districts, community college districts, including the District, and county offices of education. As noted above, the California Constitution previously limited property taxes to 1% of the value of property. Prior to the approval of Proposition 39, property taxes could only exceed this limit to pay for (1) any local

government debts approved by the voters prior to July 1, 1978 or (2) bonds to acquire or improve real property that receive two-thirds voter approval after July 1, 1978.

The 55% vote requirement authorized by Proposition 39 applies only if the local bond measure presented to the voters includes: (1) a requirement that the bond funds can be used only for construction, rehabilitation, equipping of school facilities, or the acquisition or lease of real property for school facilities; (2) a specific list of school projects to be funded and certification that the school board has evaluated safety, class size reduction, and information technology needs in developing the list; and (3) a requirement that the school board conduct annual, independent financial and performance audits until all bond funds have been spent to ensure that the bond funds have been used only for the projects listed in the measure. Legislation approved in June 2000 places certain limitations on local school bonds to be approved by 55% of the voters. These provisions require that the tax rate levied as the result of any single election be no more than \$60 (for a unified school district), \$30 (for an elementary school district or high school district), or \$25 (for a community college district), per \$100,000 of taxable property value. These requirements are not part of this proposition and can be changed with a majority vote of both houses of the Legislature and approval by the Governor.

Proposition 30

Proposition 30 appeared on the November 6, 2012 statewide ballot as an initiated constitutional amendment ("**Proposition 30**"), and it was approved by State voters. Proposition 30 increased the State sales tax from 7.25% to 7.50%, increased personal income tax rates on higher income brackets for seven years, and temporarily imposed an additional tax on all retailers, at the rate of 0.25% of gross receipts from the sale of all tangible personal property sold in the State from January 1, 2013 to December 31, 2016. Proposition 30 also imposed an additional excise tax on the storage, use, or other consumption in the State of tangible personal property purchased from a retailer on and after January 1, 2013 and before January 1, 2017. This excise tax is levied at a rate of 0.25% of the sales price of the property so purchased. For personal income taxes imposed beginning in the taxable year commencing January 1, 2012 and ending December 31, 2018, Proposition 30 increased the marginal personal income tax rate by: (i) 1% for taxable income over \$250,000 but less than \$300,000 for single filers (over \$340,000 but less than \$408,000 for heads of household and over \$500,000 but less than \$600,000 for joint filers), (ii) 2% for taxable income over \$300,000 but less than \$500,000 for single filers (over \$408,000 but less than \$680,000 for heads of household and over \$600,000 but less than \$1,000,000 for joint filers), and (iii) 3% for taxable income over \$500,000 for single filers (over \$680,000 for heads of household and over \$1,000,000 for joint filers).

The revenues generated from the temporary tax increases are included in the calculation of the Proposition 98 minimum funding guarantee for school districts and community college districts. See "Proposition 98" and "Proposition 111" above. From an accounting perspective, the revenues generated from the temporary tax increases will be deposited into the State account created pursuant to Proposition 30 called the Education Protection Account (the "**EPA**"). Pursuant to Proposition 30, funds in the EPA will be allocated quarterly, with 89% of such funds provided to schools districts and 11% provided to community college districts. The funds will be distributed to school districts and community college districts in the same manner as existing unrestricted per-student funding, except that no school district will receive less than \$200 per unit of ADA and no community college district will receive less than \$100 per full time equivalent student. The governing board of each school district and community college district is granted sole authority to determine how the moneys received from the EPA are spent,

provided that, the appropriate governing board is required to make these spending determinations in open session at a public meeting and such local governing boards are prohibited from using any funds from the EPA for salaries or benefits of administrators or any other administrative costs.

The California Extension of Proposition 30, also known as Proposition 55 (“**Proposition 55**”), will be on the November 8, 2016 ballot in California as an initiated constitutional amendment. If approved by the voters, Proposition 55 will extend the temporary personal income tax increases approved in 2012 pursuant to Proposition 30 on incomes over \$250,000 for 12 years to be used for education and healthcare funding.

Proposition 1A and Proposition 22

On November 2, 2004, California voters approved Proposition 1A, which amended the State constitution to significantly reduce the State’s authority over major local government revenue sources. Under Proposition 1A, the State cannot (i) reduce local sales tax rates or alter the method of allocating the revenue generated by such taxes, (ii) shift property taxes from local governments to schools or community colleges, (iii) change how property tax revenues are shared among local governments without two-thirds approval of both houses of the State Legislature or (iv) decrease Vehicle License Fee revenues without providing local governments with equal replacement funding. Under Proposition 1A, beginning, in 2008-09, the State may shift to schools and community colleges a limited amount of local government property tax revenue if certain conditions are met, including: (i) a proclamation by the Governor that the shift is needed due to a severe financial hardship of the State, and (ii) approval of the shift by the State Legislature with a two-thirds vote of both houses. Under such a shift, the State must repay local governments for their property tax losses, with interest, within three years. Proposition 1A does allow the State to approve voluntary exchanges of local sales tax and property tax revenues among local governments within a county. Proposition 1A also amended the State Constitution to require the State to suspend certain State laws creating mandates in any year that the State does not fully reimburse local governments for their costs to comply with the mandates. This provision does not apply to mandates relating to schools or community colleges or to those mandates relating to employee rights.

Proposition 22, a constitutional initiative entitled the “Local Taxpayer, Public Safety, and Transportation Protection Act of 2010,” approved on November 2, 2010, superseded many of the provision of Proposition 1A. This initiative amends the State constitution to prohibit the legislature from diverting or shifting revenues that are dedicated to funding services provided by local government or funds dedicated to transportation improvement projects and services. Under this proposition, the State is not allowed to take revenue derived from locally imposed taxes, such as hotel taxes, parcel taxes, utility taxes and sales taxes, and local public transit and transportation funds. Further, in the event that a local governmental agency sues the State alleging a violation of these provisions and wins, then the State must automatically appropriate the funds needed to pay that local government. This Proposition was intended to, among other things, stabilize local government revenue sources by restricting the State’s control over local property taxes. Proposition 22 did not prevent the California State Legislature from dissolving State redevelopment agencies pursuant to AB 1X26, as confirmed by the decision of the California Supreme Court decision in *California Redevelopment Association v. Matosantos* (2011).

Because Proposition 22 reduces the State’s authority to use or reallocate certain revenue sources, fees and taxes for State general fund purposes, the State will have to take

other actions to balance its budget, such as reducing State spending or increasing State taxes, and school and college districts that receive Proposition 98 or other funding from the State will be more directly dependent upon the State's general fund.

California Senate Bill 222

Senate Bill 222 ("**SB 222**") was signed by the California Governor on July 13, 2015 and became effective on January 1, 2016. SB 222 amended Section 15251 of the California Education Code and added Section 52515 to the California Government Code to provide that voter approved general obligation bonds which are secured by *ad valorem* tax collections such as the Refunding Bonds are secured by a statutory lien on all revenues received pursuant to the levy and collection of the property tax imposed to service those bonds. Said lien shall attach automatically and is valid and binding from the time the bonds are executed and delivered. The lien is enforceable against the issuer, its successors, transferees, and creditors, and all others asserting rights therein, irrespective of whether those parties have notice of the lien and without the need for any further act. The effect of SB 222 is the treatment of general obligation bonds as secured debt in bankruptcy due to the existence of a statutory lien.

Future Initiatives

Article XIII A, Article XIII B, Article XIII C and Article XIII D of the California Constitution and Propositions 98, 22, 26, 30 and 39 were each adopted as measures that qualified for the ballot under the State's initiative process. From time to time other initiative measures could be adopted further affecting District revenues or the District's ability to expend revenues. The nature and impact of these measures cannot be anticipated by the District.

Oil and Gas Producing Properties

On June 29, 1979, the State Board of Equalization adopted Rule 468 ("**Rule 468**") to establish valuation principles for oil and gas interests. The right to remove petroleum and natural gas from the earth is considered a taxable real property interest. Rule 468 provides that increases in recoverable amounts of such minerals caused by changed physical or economic conditions constitute additions to such a property interest and that a reduction in recoverable amounts of minerals caused by production or changes in the expectation of future production capabilities constitute a reduction in the interest.

Rule 468 provides that the unique nature of oil and gas mineral property interests requires the application of specialized appraisal techniques designed to satisfy the requirements of Article XIII A. Rule 468 uses an appraisal unit valuation consisting of four components: (i) proved reserves, (ii) wells, casings and parts thereof, (iii) land (and other mineral interests), and (iv) improvements.

The market value of an oil and gas mineral property interest is determined by estimating the value of the volumes of proved reserves. Proved reserves are those which geological and engineering information indicate with reasonable certainty to be recoverable in the future, taking into account reasonably projected physical and economic conditions. Present and projected economic conditions are determined by reference to all economic factors considered by knowledgeable and informed persons engaged in the operation and buying or selling of such properties, e.g. capitalization rates, product prices and operation expenses.

Rule 468 provides that the base year value of the property is estimated as of lien date 1975 or as of the date a change in ownership occurs subsequent to lien date 1975. Newly constructed improvements and additions in reserves are valued as of the lien date of the year for which the roll is being prepared. Improvements removed from the site are deducted from taxable value. The base year values are determined using factual market data such as prices and expenses ordinarily considered by knowledgeable and informed persons engaged in the operation, buying, and selling of oil, gas and other mineral-producing properties and the production therefrom. Once determined, a base year value may be increased no more than 2% per year. However, the base year reserve values must be adjusted annually for the value of depleted reserves caused by production or changes in the expectation of future production and additions to reserves established in a given year by discovery, construction or improvements, or changes in economic conditions.

FUNDING OF COMMUNITY COLLEGE DISTRICTS IN CALIFORNIA

General

California community college districts (other than Basic Aid Districts, as described below) receive operating income from (1) a State portion funded from the State's general fund, (ii) a local portion derived from the community college district's share of the county-wide property tax; (iii) revenues generated from the community college district's operations, consisting mainly of student fees and sales, and (iv) federal government grants and transfers.

State Funding System; FTES

Senate Bill 361, which was signed by the Governor on September 29, 2006 ("**SB 361**"), revised the previously existing community college funding system. The funding system includes allocation of state general apportionment revenues to community college districts based on criteria developed by the Board of Governors of the California Community Colleges (the "**Board of Governors**") in accordance with prescribed statewide minimum requirements. In establishing these minimum requirements, the Board of Governors is required to acknowledge community college districts' need to receive an annual allocation based on the number of colleges and comprehensive centers in each respective district, plus funding received based on the number of credit and noncredit full-time equivalent students ("**FTES**") in each district. SB 361 also specifies that, commencing with fiscal year 2006-07, the minimum funding per FTES will be:

- (1) not less than \$4,367 per credit FTES (subject to cost of living adjustments funded through the budget act in subsequent fiscal years);
- (2) at a uniform rate of \$2,626 per noncredit FTES (adjusted for the change in cost of living provided in the budget act in subsequent fiscal years); and
- (3) set at \$3,092 per FTES (adjusted for the change in cost of living provided in the budget act in subsequent fiscal years) for a new instructional category of "career development and college preparation."

Pursuant to SB 361, the Chancellor of the California Community Colleges (the "**Chancellor**") developed criteria for one-time grants for districts that would have received more

funding under the prior system or a proposed rural college access grant than under the new system and the Budget Act of 2006.

The following table shows the District's historical funding per FTES and total funding with respect to fiscal years 2009-10 through 2015-16 (estimated).

WEST HILLS COMMUNITY COLLEGE DISTRICT
Program-Based Funding
Fiscal Years 2009-10 through 2014-15 (actual)
and 2015-16 (estimated)

Fiscal Year	Base Revenue per Unit of FTES	Funded FTES	Unfunded FTES⁽¹⁾	Total Funding⁽²⁾
2009-10	\$5,670.72	4,964	478	\$28,145,880
2010-11	5,705.71	4,664	237	29,272,355
2011-12	5,326.40	4,735	480	24,840,464
2012-13	5,001.01	4,779	0	22,109,421
2013-14	5,200.17	4,898	302	25,469,600
2014-15	5,200.00	5,100	0	26,575,000
2015-16 ⁽³⁾	5,200.00	5,100	0	26,575,000

(1) In each fiscal year, the State budget established an enrollment cap on the maximum number of FTES, known as the "funded" FTES, for which a community college district will receive a revenue allocation, as determined by the program-based model. A district's enrollment cap is based on the previous fiscal year's reported FTES, plus the growth allowance provided for by the State budget, if any. All student hours in excess of the enrollment cap are considered "unfunded" FTES.

(2) Total Funding is a function of base revenue per unit of FTES, funded FTES as well as other factors.

(3) Estimate.

Source: West Hills Community College District.

Local revenues are first used to satisfy a community college district's expenditures. The major local revenue source is local property taxes that are collected from within district boundaries. Student enrollment fees from the local community college district generally account for the remainder of local revenues for the district. Property taxes and student enrollment fees are applied towards fulfilling the district's financial need. Once these sources are exhausted, State funds are used. State aid is subject to the appropriation of funds in the State's annual budget. Decreases in State revenues may affect appropriations made by the legislature to the district. The sum of the property taxes, student enrollment fees, and State aid generally comprise the district's revenue limit. "**Basic Aid**" community college districts are those districts whose local property tax and student enrollment fee collections exceed the revenue allocation determined by the program-based model. Basic Aid Districts do not receive any funds from the State. The current law in California allows these districts to keep the excess funds without penalty. The implication for Basic Aid Districts is that the legislatively determined annual cost of living adjustment and other politically determined factors are less significant in determining such districts' primary funding sources. Rather, property tax growth and the local economy become the determinant factors. The District is not a Basic Aid District.

A small part of a community college district's budget is from local sources other than property taxes and student enrollment fees, such as interest income, donations and sales of property. Every community college district receives the same amount of lottery funds per pupil from the State; however, these are not categorical funds as they are not for particular programs or students. The initiative authorizing the lottery does require the funds to be used for instructional purposes, and prohibits their use for capital purposes.

State Funding of Education and Recent State Budgets

General. The largest percentage of community college district revenues comes from the State in accordance with the State's formula for funding community college districts and the Proposition 98 minimum funding guarantee with respect to education appropriations. See "State Funding of Education and Recent State Budgets -Fiscal Year 2016-17 State Budget" herein. The following description of the State's budget has been obtained from publicly available information which the District believes to be reliable; however, none of the District, its counsel or the Financial Advisor guarantees the accuracy or completeness of this information and have not independently verified such information. Additional information regarding State budgets is available at various State-maintained websites, including www.dof.ca.gov. These websites are not incorporated herein by reference and none of the District, its counsel, or the Financial Advisor make any representation as to the accuracy of the information provided herein.

The State Budget Process. The State's fiscal year begins on July 1 and ends on June 30. According to the State Constitution, the Governor is required to propose a budget for the next fiscal year (the "**Governor's Budget**") to the State Legislature no later than January 10 of each year. State law requires the Governor to update the Governor's Budget projections and budgetary proposals by May 14 of each year (the "**May Revision**"). Proposition 25, which was adopted by voters in the State at an election held on November 2, 2010, amended the State Constitution such that a final budget must be adopted by a simple majority vote of each house of the State Legislature by no later than June 15 and the Governor must sign the adopted budget by no later than June 30. The budget becomes law upon the signature of the Governor (the "**Budget Act**").

Under State law, the annual proposed Governor's Budget cannot provide for projected expenditures in excess of projected revenues and balances available from prior fiscal years. Following the submission of the Governor's Budget, the State Legislature takes up the proposal. The primary source of the annual expenditure authorizations is the Budget Act, as approved by the State Legislature and signed by the Governor. The Governor may reduce or eliminate specific line items in the Budget Act or any other appropriations bill without vetoing the entire bill. Such individual line-item vetoes are subject to override by a two-thirds majority vote of each House of the State Legislature. Appropriations also may be included in the legislation other than the Budget Act. Bills containing appropriations (except for K-12 school districts and community college districts (collectively, "**K-14 districts**") must be approved by a two-thirds majority vote in each House of the State Legislature and be signed by the Governor. Bills containing education appropriations for K-14 districts require only a simple majority vote. Continuing appropriations, available without regard for fiscal year, may also be provided by statute or the State Constitution. Funds necessary to meet an appropriation need not be in the State Treasury at the time such appropriation is enacted; revenues may be appropriated in anticipation of their receipt. However, delays in the adoption of a final State budget in any fiscal year may affect payments of State funds during such budget impasse.

Fiscal Year 2016-17 State Budget. On June 27, 2016, the Governor signed the Fiscal Year 2016-17 State Budget (the “**2016-17 State Budget**”). The 2016-17 State Budget authorizes General Fund expenditures of \$122.5 billion and assumes General Fund revenue source in the amount of \$125.2 billion. The 2016-17 State Budget increases the Budget Stabilization Account/Rainy Day Fund to a total balance of \$6.7 billion. The State has \$232 billion in long-term costs, debts, and liabilities. The vast majority of these liabilities - \$228 billion - are related to retirement costs of State and University of California employees. The 2016-17 State Budget pays down the State’s debts and liabilities by a total of \$1.3 billion from Proposition 2 funds. The 2016-17 State Budget contains expenditures related to counteracting the effects of poverty, strengthening infrastructure, and reducing the costs of housing.

The 2016-17 State Budget contains adjustments affecting community college districts including but not limited to, the following:

Apportionment Adjustments.

- A decrease of \$198.4 million Proposition 98 General Fund in fiscal year 2016-17 as a result of increased offsetting local property tax revenues.
- An increase of \$114.3 million Proposition 98 General Fund for 2-percent growth in full-time equivalent student enrollment.
- An increase of \$75 million Proposition 98 General Fund to support increased community college operating expenses in areas such as employee benefits, facilities, professional development converting faculty from part-time to full-time, and other general expenses.
- An increase of up to \$31.7 million Proposition 98 General Fund in fiscal year 2015-16, provided on a contingency basis, for an anticipated shortfall in redevelopment agency property taxes for community colleges apportionments. Any funds not needed to support the anticipated shortfall would become available for additional mandate debt payments.

Career Technical Education.

- An increase of \$200 million Proposition 98 General Fund to establish the Strong Workforce Program.
- A one-time increase of \$48 million Proposition 98 General Fund to support the Career Technical Education Pathways Program. These funds provide resources for community colleges and high schools to develop, enhance, and expand career technical education programs that build upon existing regional capacity to meet regional labor market demands. Career Technical Education Pathways Program funding determinations will be aligned and integrated within the regional collaborations of the Strong Workforce Program.

Improving Student Success.

- An increase of \$30 million in one-time Proposition 98 General Fund to fund additional basic skills transformation grants in fiscal year 2016-17. Commencing in fiscal year 2017-18, these funds will be allocated as part of a revised Student Success for Basic Skills Students Program that focuses on implementing practices that increase students' transition to college-level courses.
- An increase of \$25 million one-time Proposition 98 General Fund for innovation awards focusing on innovations in curriculum and instruction, assessment of prior learning and experiences, and access to financial aid.
- An increase of \$15 million one-time Proposition 98 General Fund to provide California College Promise Innovation grants.
- An increase of \$10 million Proposition 98 General Fund to support the Institutional Effectiveness Partnership Initiative.

Enhancing the Use of Technology

- An increase of \$20 million one-time Proposition 98 General Fund to expedite and enhance the adaptation and development of online courses that will be available through the online exchange.
- An increase of \$15 million Proposition 98 General Fund, of which \$7 million is one-time, to address system-wide data security efforts and to expand broadband capacity across community college campuses.

Other Ongoing Adjustments

- An increase of \$14.7 million Proposition 98 General Fund to restore the Student Services for CalWORKS recipients, part-time faculty office hours, and Fund for Student Success categorical programs to pre-recession funding levels.

Other Limited-Term Adjustments

- An increase of \$184.6 million in one-time Proposition 98 General Fund for deferred maintenance, instructional equipment, and specified water conservation projects.
- An increase of \$105.5 million one-time Proposition 98 General Fund to pay for outstanding mandate debt on a per full-time equivalent student basis to reduce mandate debt while providing districts with discretionary one-time funding for investments in local priorities, including professional development campus security, technology, and open education and zero-textbook-cost degrees.

- Proposition 39-The California Clean Energy Jobs Act was approved by voters in 2012 and increases state corporate tax revenues. For fiscal year 2013-14 through fiscal year 2017-18, the measure requires half of the increased revenues, up to \$550 million per year, to be used to support energy efficiency projects. The 2016-17 State Budget increases the amount of energy efficiency funds available to community colleges in fiscal year 2016-17 by \$10.5 million to \$49.3 million to reflect increased revenue estimates.

Future State Budgets. The District cannot predict what actions will be taken in the future by the State Legislature and the Governor to address the State's current or future budget deficits and cash management practices. Future State budgets will be affected by national and State economic conditions, including economic downturns and other factors over which the District will have no control. To the extent that the State budget process results in reduced revenues, deferred revenues or increased expenses for the District, the District will be required to make adjustments to its budget and cash management practices. In the event current or future State budgets decrease the District's revenues or increase required expenditures by the District from the levels assumed by the District, the District will be required to generate additional revenues, curtail programs or services, or use its reserve funds to ensure a balanced budget.

The State has not entered into any contractual commitment with the District, the Counties, or the owners of the Bonds to provide State budget information to the District or the owners of the Bonds. Although they believe the State sources of information listed above are reliable, neither the District nor the Underwriter assumes any responsibility for the accuracy of the State Budget information set forth or referred to in this Official Statement or incorporated herein.

Indebtedness of the District

Long-Term Debt Summary. A schedule of changes in general long-term debt for the year ended June 30, 2015, is shown below:

WEST HILLS COMMUNITY COLLEGE DISTRICT Schedule of Long Term Debt, as of June 30, 2015

Type of Debt	Balance Beginning of Year	Additions	Deductions	Balance End of Year
General obligation bonds - 2005 Refunding	\$11,935,000	\$--	\$11,430,000	\$505,000
General obligation refunding bonds - 2012	2,890,000	--	145,000	2,745,000
Bond premium (18 year amortization)	62,950	--	3,934	59,016
General obligation bonds - 2008 (Northern)				
Current interest	2,745,000	--	2,110,000	635,000
Capital appreciation	1,148,631	80,075	85,000	1,143,706
Bond premium (25 year amortization)	292,284	--	14,614	277,670
General obligation bonds - 2008, B (Northern)				
Current interest	7,800,000	--	60,000	7,740,000
Capital appreciation	184,259	14,759	--	199,018
Bond premium (25 year amortization)	267,693	--	11,639	256,054
General obligation bonds - 2015 Refunding (Northern), Series A	--	2,270,000	--	2,270,000
General obligation bonds - 2015 Refunding (Northern), Series A Premium (14 year amortization)	--	217,267	--	217,267
General obligation bonds - 2008 (Coalinga)				
Current interest	2,380,000	--	--	2,380,000
Capital appreciation	470,680	40,360	100,000	411,040
Bond premium (25 year amortization)	254,224	--	12,711	241,513
General obligation bonds - 2008, B (Coalinga)				
Current interest	6,590,000	--	65,000	6,525,000
Capital appreciation	2,330,502	176,431	--	2,506,933
Bond premium (25 year amortization)	336,232	--	14,619	321,613
General obligation bonds - 2008 (Lemoore)				
Current interest	4,955,000	--	--	4,955,000
Capital appreciation	865,214	88,573	145,000	808,787
Bond premium (25 year amortization)	354,111	--	17,706	336,405
General obligation bonds - 2008, B (Lemoore)				9,625,000
Current interest	9,625,000	--	--	--
Capital appreciation	3,560,925	294,117	40,000	3,815,042
Bond premium (30 year amortization)	665,291	--	24,640	640,651
General obligation bonds - 2012, A (Lemoore)	12,655,000	--	--	12,655,000
General obligation bonds - 2015 Refunding, Series C	--	10,395,000	--	10,395,000
General obligation bonds - 2015 Refunding, Series C Premium (16 year amortization)	--	841,645	--	841,645
General obligation bonds - 2014, Series A Ed Tech ⁽¹⁾	--	4,015,000	--	4,015,000
Certificates of Participation - 2008 ⁽²⁾	70,200,000	--	70,200,000	--
Capital Leases	1,195,744	16,455	285,385	926,814
CDE-Child Care Revolving Loan ⁽³⁾	168,000	--	42,000	126,000
Total Long-Term Obligations ⁽⁴⁾	\$143,931,740	\$18,449,682	\$84,807,248	\$77,574,174
Compensated absences-net ⁽⁵⁾	\$1,116,750	\$395,586	\$--	\$1,512,336

(1) The Series A Ed Tech Bonds were privately placed.

(2) The Certificates of Participation have been repaid.

(3) The Day Care Center loans are paid by the Child Development Fund and the capital leases are paid by the General and Special Revenue Funds.

(4) Payments on the general obligation bonds are made by the Bond Interest and Redemption Fund with local property tax revenues.

(5) The accrued vacation will be paid by the fund for which the employee worked.

Source: The District

General Obligation Bonds.

District General Obligation Bonds. On November 3, 1998, District voters authorized the issuance of up to \$19 million principal amount of general obligation bonds of the District. Pursuant to such authorization, the District issued its Series A Bonds in the aggregate principal amount of \$4,000,000 (the “**1998 A Bonds**”), and its Series B Bonds in the aggregate principal amount of \$15,000,000 (the “**1998 B Bonds**”). The 1998 A Bonds were refunded with the proceeds of the District’s 2012 General Obligation Refunding Bonds (the “**2012 Bonds**”). The 1998 B Bonds were redeemed on August 1, 2008 with the proceeds of the District’s 2005 Refunding General Obligation Bonds (the “**2005 Bonds**”), which 2005 Bonds were redeemed on August 1, 2016 with the proceeds of the District’s 2015 General Obligation Refunding Bonds, Series C (the “**2015 Series C Bonds**”).

On November 4, 2014, District voters authorized the issuance of up to \$20 million principal amount of general obligation bonds of the District. Pursuant to such authorization, the District issued its 2014 Series A Ed Tech Bonds in the aggregate principal amount of \$4,015,000 (the “**2014 A Bonds**”).

School Facilities Improvement District Bonds. In 2008, the District undertook formation proceedings for the formation of three School Facilities Improvement Districts within its boundaries, pursuant to the provisions of the California Education Code. These SFIDs were designated “School Facilities Improvement District No. 1 (Northern Area)”, “School Facilities Improvement District No. 2 (Coalinga Area)”, and “School Facilities Improvement District No. 3 (Lemoore Area)”. General obligation bond elections were subsequently held in such areas on November 4, 2008, each of which was successful, as follows:

<u>SFID</u>	<u>Voter Authorization</u>
SFID No. 1 (Northern Area)	\$11,800,000
SFID No. 2 (Coalinga Area)	11,600,000
SFID No. 3 (Lemoore Area)	31,000,000

On November 6, 2012, the electors of SFID No. 3 reauthorized \$12,655,000 principal amount of the 2008 bond authorization so that the District could complete needed education projects within SFID No. 3. A corresponding amount of the 2008 authorization has subsequently been cancelled for SFID No. 3.

Pursuant to such authorizations, the District has issued the bonds set forth on the above table, which are secured by *ad valorem* taxes levied and collected within the boundaries of each respective SFID. In addition, one series of bond anticipation notes has been issued with respect to SFID No. 2.

CDE Revolving Loan. The District entered into four separate interest-free facilities loans with the California Department of Education for child care facilities; two facilities at the Firebaugh campus and two at the Lemoore campus. The loans were each for \$130,000 and are to be repaid over a ten-year period without interest.

Operating Leases. The District has utilized capital lease agreements to purchase land, buildings, and equipment. The current lease purchase agreements in the amount of \$1,195,744 will be paid through the General and the Other Special Revenue Funds.

Investment of District Funds

In accordance with Government Code Section 53600 *et seq.*, the Fresno County Treasurer manages funds deposited with it by the District. Fresno County is required to invest such funds in accordance with California Government Code Sections 53601 *et seq.* In addition, counties are required to establish their own investment policies which may impose limitations beyond those required by the Government Code. For further information concerning County investments, access Fresno County's website: <http://www.co.fresno.ca.us>. The information contained in such website has not been reviewed by the District or the Underwriter and is not incorporated in this Official Statement by reference.

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APPENDIX C

GENERAL INFORMATION ABOUT FRESNO COUNTY AND KINGS COUNTY

General

Fresno County. Fresno County is California's fifth largest county, covering approximately 6,000 square miles. It is located in the geographic center of the State and is the nation's leading crop-producing county.

Within Fresno County, there are roughly four different agricultural areas. East and south of the City of Fresno, grapes and other fruit and nut crops are grown, harvested and processed for shipment; west of the City of Fresno is the largest melon-producing area, which lies within the Mendota Unified School District. Also to the west, large crops of cotton, alfalfa, barley, rice, wheat and vegetables are produced. In the southwest are oil wells, extensive cattle and sheep ranches.

Fresno County is the trade, financial and commercial center for many surrounding counties in Central California and is a hub of transportation facilities connecting Central California to all parts of the country. Two major north-south highways, State Highway 99 and Interstate Highway 5, pass through Fresno County. State Highways 180 and 145 run east and west. Railroads, major airlines, bus lines and numerous trucking companies also serve the area.

Kings County. Kings County is located in the south central San Joaquin Valley. Kings County is home to the Lemoore Naval Air Station and three California State Correctional facilities, two in Corcoran and one in Avenal. The county has four incorporated communities: Lemoore, Hanford, Avenal, and Corcoran.

Kings County, which covers an area of 1,396 square miles in central California, has its County seat in the City of Hanford. The population of Kings County is over 152,000, located in the four incorporated cities and in unincorporated parts of Kings County. The major employers of Kings County are the Avenal State Prison, the Corcoran State Prison and the Lemoore Naval Air Station. Agriculture is the major industry in Kings County with approximately 761,266 acres out of a total of 893,440 total Kings County acreage, dedicated or available for farming. The Santa Fe Railroad, Southern Pacific Railroad, and San Joaquin Railroad serve the Kings County.

Population

The table below shows population estimates for the cities in Fresno County and Kings County for the last five years, as of January 1.

Fresno County and Kings County Population Estimates Calendar Years 2012 through 2016

	2012	2013	2014	2015	2016
FRESNO COUNTY					
Clovis	98,377	100,091	102,188	105,269	108,039
Coalinga	16,788	16,742	16,467	16,478	16,667
Firebaugh	7,776	7,785	7,809	8,123	8,154
Fowler	5,742	5,807	5,883	5,848	5,944
Fresno	503,825	508,994	515,609	516,537	520,453
Huron	6,770	6,797	6,843	6,806	6,914
Kerman	13,908	14,241	14,339	14,284	14,366
Kingsburg	11,509	11,602	11,685	12,041	12,101
Mendota	11,141	11,190	11,225	11,634	11,763
Orange Cove	9,297	9,363	9,410	9,159	9,220
Parlier	14,791	14,888	15,019	15,035	15,395
Reedley	24,563	24,993	25,122	25,943	25,999
Sanger	24,580	24,729	24,908	25,407	26,024
San Joaquin	4,021	4,034	4,056	4,038	4,047
Selma	23,631	23,825	23,977	24,533	24,844
Balance of County	167,774	168,098	169,500	173,736	174,611
Fresno County Total	943,493	953,179	964,040	974,871	984,541
KINGS COUNTY					
Avenal	14,841	14,164	13,239	13,029	12,373
Corcoran	23,559	23,069	22,515	22,215	22,691
Hanford	54,860	55,122	55,283	55,337	55,840
Lemoore	24,695	25,096	25,281	25,686	26,199
Balance of County	33,819	33,676	33,863	33,471	33,270
Incorporated	117,955	117,451	116,318	116,267	117,103
Kings County Total	151,774	151,127	150,181	149,738	150,373

Source: State Department of Finance, Demographic Research.

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Employment and Industry

The District is included in both the Fresno Metropolitan Statistical Area (“**MSA**”) and the Hanford-Corcoran Metropolitan Statistical Area (“**MSA**”). The tables below provide information about employment by industry type for Fresno County and Kings County for calendar years 2011 through 2015. Annual figures are not yet available for the calendar year 2016.

Fresno MSA. The unemployment rate in Fresno County was 8.7 percent in August 2016, down from a revised 9.3 percent in July 2016, and below the year-ago estimate of 9.0 percent. This compares with an unadjusted unemployment rate of 5.6 percent in California and 5.0 percent for the nation during the same period.

Hanford-Corcoran MSA. The unemployment rate in Kings County was 8.9 percent in August 2016, down from a revised 9.6 percent in July 2016, and unchanged the year-ago estimate of 8.9 percent. This compares with an unadjusted unemployment rate of 5.6 percent for California and 5.0 percent for the nation during the same period.

**FRESNO MSA
(Fresno County)
Annual Average Civilian Labor Force, Employment and Unemployment,
Unemployment by Industry
(March 2015 Benchmark)**

	2011	2012	2013	2014	2015
Civilian Labor Force ⁽¹⁾	442,800	440,400	439,900	441,000	444,200
Employment	369,500	373,600	381,800	389,800	398,900
Unemployment	73,300	66,800	58,100	51,200	45,300
Unemployment Rate	16.5%	15.2%	13.2%	11.6%	10.2%
<u>Wage and Salary Employment:</u> ⁽²⁾					
Agriculture	47,900	48,900	49,200	49,100	47,300
Mining and Logging	200	300	300	300	300
Construction	11,500	12,200	13,100	13,700	14,900
Manufacturing	23,800	23,700	23,100	23,400	25,500
Wholesale Trade	12,500	12,800	13,600	14,000	13,800
Retail Trade	33,400	33,800	35,100	36,500	37,500
Trans., Warehousing, Utilities	11,400	11,600	12,000	11,900	12,200
Information	3,500	3,800	3,800	3,800	3,900
Financial and Insurance	8,900	8,800	8,700	8,400	8,400
Professional and Business Services	27,000	26,900	29,100	31,600	31,400
Educational and Health Services	49,400	51,100	56,100	57,600	60,400
Leisure and Hospitality	27,100	28,000	29,000	30,600	31,400
Other Services	10,100	10,600	10,900	11,200	11,500
Federal Government	10,200	10,200	9,900	9,800	9,600
State Government	10,700	10,500	10,600	11,400	11,900
Local Government	44,900	43,400	43,600	44,900	47,300
Total All Industries ⁽³⁾	336,600	340,400	352,300	362,400	371,800

(1) Labor force data is by place of residence; includes self-employed individuals, unpaid family workers, household domestic workers, and workers on strike.

(2) Industry employment is by place of work; excludes self-employed individuals, unpaid family workers, household domestic workers, and workers on strike.

(3) Totals may not add due to rounding.

Source: State of California Employment Development Department.

**HANFORD-CORCORAN MSA
(Kings County)
Annual Average Civilian Labor Force, Employment and Unemployment,
Unemployment by Industry
(March 2015 Benchmark)**

	2011	2012	2013	2014	2015
Civilian Labor Force ⁽¹⁾	59,000	58,900	58,100	57,400	58,400
Employment	49,600	50,100	50,300	50,500	52,200
Unemployment	9,400	8,800	7,800	6,900	6,100
Unemployment Rate	15.9%	14.9%	13.5%	12.1%	10.5%
<u>Wage and Salary Employment:</u> ⁽²⁾					
Agriculture	6,200	6,500	6,900	6,600	7,500
Mining and Logging	900	800	800	800	900
Manufacturing	4,300	4,400	4,500	4,600	4,900
Wholesale Trade	600	600	600	600	600
Retail Trade	4,000	4,000	4,100	4,200	4,200
Trans., Warehousing, Utilities	800	800	900	900	1,000
Information	200	200	200	200	200
Financial Activities	1,000	1,000	900	900	1,000
Professional and Business Services	1,200	1,300	1,300	1,400	1,300
Educational and Health Services	5,300	5,400	5,600	5,900	6,100
Leisure and Hospitality	2,800	2,800	2,900	3,000	3,200
Other Services	500	600	600	600	600
Federal Government	1,200	1,100	1,100	1,100	1,200
State Government	5,900	5,700	5,400	5,300	5,400
Local Government	7,700	7,800	7,800	7,800	7,900
Total All Industries ⁽³⁾	42,500	42,900	43,600	44,100	46,100

(1) Labor force data is by place of residence; includes self-employed individuals, unpaid family workers, household domestic workers, and workers on strike.

(2) Industry employment is by place of work; excludes self-employed individuals, unpaid family workers, household domestic workers, and workers on strike.

(3) Totals may not add due to rounding.

Source: State of California Employment Development Department.

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Largest Employers

The following table shows the major employers in Fresno County and Kings County as of April 2015, in alphabetical order.

FRESNO COUNTY AND KINGS COUNTY

Major Employers - April 2015

Employer Name	Location	Industry
FRESNO COUNTY		
Aetna	Fresno	Insurance
California State University	Fresno	Schools-Universities & Colleges Academic
California State University	Fresno	Schools-Universities & Colleges Academic
Cargill	Fresno	Meat Packers (Mfrs)
Cargill Meat Solutions	Fresno	Locker Plants
Community Regional Medical Ctr	Fresno	Hospitals
Foster Farms	Fresno	Poultry Farms
Fresno Community Hosp & Med	Fresno	Physicians & Surgeons
Fresno Community Hospitals	Fresno	Hospitals
Fresno County Economic Comm	Fresno	Social Service & Welfare Organizations
Fresno County Sheriff's Dept	Fresno	Police Departments
Fresno Police Dept	Fresno	Police Departments
Fresno Police Dept	Fresno	Police Departments
Fresno Police-Mgmt Support	Fresno	Police Departments
Fresno State	Fresno	Schools-Universities & Colleges Academic
Kaiser Foundation Hospitals	Fresno	Hospitals
Pelco-Schneider Electric	Clovis	Security Control Equip & Systems-Mfrs
Pitman Farms	Sanger	Farms
Pleasant Valley State Prison	Coalinga	State Govt-Correctional Institutions
Shehadey Pavilion At St Agnes	Fresno	Hospitals
St Agnes Medical Ctr	Fresno	Hospitals
Stamoules Produce Co	Mendota	Fruits & Vegetables & Produce-Retail
State Center Community College	Fresno	Schools-Universities & Colleges Academic
US Veterans Hospital	Fresno	Hospitals
Zacky Farms	Fresno	Poultry & Eggs NEC
KINGS COUNTY		
Adventist Medical Ctr Hanford	Hanford	Hospitals
Badasci & Wood Transport	Lemoore	Trucking
California State Prison	Corcoran	State Govt-Correctional Institutions
California State Prison	Corcoran	State Govt-Correctional Institutions
Central Valley Meat Co Inc	Hanford	Meat Packers (Mfrs)
Del Monte Foods	Hanford	Canned Specialties (Mfrs)
Hanford Comm Medical Ctr	Hanford	Health Services
Hanford Regional Healthcare	Hanford	Physicians & Surgeons
J G Boswell Co	Corcoran	Manufacturers
Kings County Admin	Hanford	Government Offices-County
Kings County Government Ctr	Hanford	Government Offices-County
Kmart	Lemoore	Department Stores
Lemoore High School	Lemoore	Schools
Leprino Foods Co	Lemoore	Cheese Processors (Mfrs)
Leprino Foods Co	Lemoore	Cheese Processors (Mfrs)
Marquez Brothers Intl Inc	Hanford	Mexican Food Products-Wholesale
Olam Spices & Vegetables	Hanford	Agricultural Products
Tachi Palace Hotel & Casino	Lemoore	Casinos
US Naval Air Station	Lemoore	Federal Government-National Security
US Naval Hospital	Lemoore	Hospitals
Walmart	Hanford	Department Stores
Walmart Distribution Ctr	Hanford	Distribution Centers (Whls)
Walmart Supercenter	Hanford	Department Stores
Warmerdam Packing	Hanford	Fruits & Vegetables-Growers & Shippers
West Hills College-Lemoore	Lemoore	Schools-Universities & Colleges Academic

Source: State of California Employment Development Department, extracted from The America's Labor Market Information System (ALMIS) Employer Database, 2016 2nd Edition.

Effective Buying Income

“Effective Buying Income” is defined as personal income less personal tax and nontax payments, a number often referred to as “disposable” or “after-tax” income. Personal income is the aggregate of wages and salaries, other labor-related income (such as employer contributions to private pension funds), proprietor’s income, rental income (which includes imputed rental income of owner-occupants of non-farm dwellings), dividends paid by corporations, interest income from all sources, and transfer payments (such as pensions and welfare assistance). Deducted from this total are personal taxes (federal, state and local), nontax payments (fines, fees, penalties, etc.) and personal contributions to social insurance. According to U.S. government definitions, the resultant figure is commonly known as “disposable personal income.”

The following table summarizes the total household effective buying income for Fresno County, Kings County, the State and the United States for the period 2011 through 2015. Effective Buying Income data is not yet available for calendar year 2016.

**FRESNO COUNTY, KINGS COUNTY,
STATE OF CALIFORNIA AND THE UNITED STATES
Effective Buying Income
Median Household
2011 through 2015**

Year	Area	Total Effective Buying Income (000's Omitted)	Median Household Effective Buying Income
2011	Fresno County	\$14,294,385	\$36,444
	Kings County	2,041,173	38,001
	California	814,578,458	47,062
	United States	6,438,704,664	41,253
2012	Fresno County	\$14,652,155	\$37,735
	Kings County	2,053,198	39,204
	California	864,088,828	47,307
	United States	6,737,867,730	41,358
2013	Fresno County	\$14,713,743	\$38,382
	Kings County	2,241,710	43,288
	California	858,676,636	48,340
	United States	6,982,757,379	43,715
2014	Fresno County	\$15,070,070	\$38,000
	Kings County	2,225,910	42,684
	California	901,189,699	50,072
	United States	7,357,153,421	45,448
2015	Fresno County	\$16,227,013	\$40,819
	Kings County	2,203,403	42,219
	California	981,231,666	53,589
	United States	7,757,960,339	46,738

Source: The Nielsen Company (US), Inc.

Commercial Activity

Summaries of historic taxable sales within Fresno County and Kings County during the past five years in which data is available are shown in the following tables. Figures are not yet available for calendar years 2015 or 2016.

Total taxable sales during calendar year 2014 in Fresno County were reported to be \$13,328,511,000, a 5.63% increase over the total taxable sales of \$12,618,111,000 reported during calendar year 2013.

FRESNO COUNTY
Annual Taxable Transactions
Number of Permits and Valuation of Taxable Transactions
(Dollars in Thousands)

	Retail Stores		Total All Outlets	
	Number of Permits	Taxable Transactions	Number of Permits	Taxable Transactions
2010	12,653	\$6,973,970	19,350	\$10,154,265
2011	12,659	7,602,313	19,238	11,179,478
2012	12,670	8,164,919	19,164	12,020,630
2013	12,047	8,597,480	18,112	12,618,111
2014	12,268	8,998,182	18,304	13,328,511

Source: California State Board of Equalization, Taxable Sales in California (Sales & Use Tax).

Total taxable sales during calendar year 2014 in Kings County were reported to be \$1,564,920,000, a 7.20% increase over the total taxable sales of \$1,459,712,000 reported during calendar year 2013.

KINGS COUNTY
Annual Taxable Transactions
Number of Permits and Valuation of Taxable Transactions
(Dollars in Thousands)

	Retail Stores		Total All Outlets	
	Number of Permits	Taxable Transactions	Number of Permits	Taxable Transactions
2010	1,408	\$817,260	2,082	\$1,188,331
2011	1,480	910,423	2,139	1,324,038
2012	1,528	930,699	2,173	1,385,862
2013	1,438	986,740	2,042	1,459,712
2014	1,482	1,013,786	2,098	1,564,920

Source: California State Board of Equalization, Taxable Sales in California (Sales & Use Tax).

Construction Activity

Provided below are the building permits and valuations for Fresno County and Kings County for calendar years 2011 through 2015. Annual figures are not yet available for calendar year 2016.

FRESNO COUNTY Calendar Years 2011-2015 - Total Building Permit Valuations (Valuations in Thousands)

	2011	2012	2013	2014	2015
<u>Permit Valuation</u>					
New Single-family	\$206,433.7	\$304,106.2	\$622,066.8	\$388,564.8	\$580,986.1
New Multi-family	32,396.8	17,836.2	66,027.4	43,654.0	34,183.6
Res. Alterations/Additions	<u>57,450.9</u>	<u>27,063.5</u>	<u>30,063.8</u>	<u>35,354.2</u>	<u>31,800.5</u>
Total Residential	296,281.4	349,005.9	718,158.0	467,573.1	646,970.2
 New Commercial	 26,560.2	 95,185.4	 129,117.6	 74,140.9	 210,280.3
New Industrial	9,158.9	9,469.7	20,967.0	21,368.5	8,359.4
New Other	3,872.6	3,231.6	49,089.1	74,012.1	121,042.6
Com. Alterations/Additions	<u>98,846.8</u>	<u>77,031.1</u>	<u>77,977.8</u>	<u>70,566.8</u>	<u>88,609.5</u>
Total Nonresidential	138,438.5	184,917.8	277,151.5	240,088.3	428,291.8
 <u>New Dwelling Units</u>					
Single Family	924	1,349	2,310	1,410	2,153
Multiple Family	<u>385</u>	<u>243</u>	<u>773</u>	<u>539</u>	<u>343</u>
TOTAL	1,309	1,592	3,083	1,949	2,496

Source: Construction Industry Research Board, Building Permit Summary.

KINGS COUNTY Calendar Years 2011-2015 - Total Building Permit Valuations (Valuations in Thousands)

	2011	2012	2013	2014	2015
<u>Permit Valuation</u>					
New Single-family	\$18,733.1	\$38,696.1	\$36,406.8	\$44,537.7	\$80,977.8
New Multi-family	6,125.6	0.0	1,500.0	12,758.6	10,422.9
Res. Alterations/Additions	<u>8,884.3</u>	<u>5,330.9</u>	<u>5,531.6</u>	<u>3,706.7</u>	<u>5,507.3</u>
Total Residential	33,743.0	44,027.0	43,438.4	61,003.0	96,908.0
 New Commercial	 7,543.2	 25,896.5	 16,886.4	 8,232.6	 19,467.6
New Industrial	1,756.0	4,699.8	1,231.2	2,137.9	0.0
New Other	1,606.8	12.0	7,170.3	15,240.1	17,442.5
Com. Alterations/Additions	<u>11,234.1</u>	<u>8,981.7</u>	<u>4,223.8</u>	<u>5,727.5</u>	<u>11,690.7</u>
Total Nonresidential	22,140.1	39,590.0	29,511.6	31,338.1	48,600.8
 <u>New Dwelling Units</u>					
Single Family	115	247	232	265	387
Multiple Family	<u>80</u>	<u>0</u>	<u>6</u>	<u>160</u>	<u>128</u>
TOTAL	195	247	238	425	515

Source: Construction Industry Research Board, Building Permit Summary.

Transportation

Fresno County. Two major railroads, a modern system of highways and a growing airport complex have contributed to the industrial, commercial and residential growth of Fresno County. Santa Fe and Southern Pacific provide main line rail freight service to the area. Amtrak has passenger service daily. Fresno Air Terminal in the City of Fresno provides regularly scheduled passenger and freight service to major metropolitan centers in the nation. Fresno-Chandler Downtown Airport, also in the City of Fresno, can accommodate approximately 297 general aircraft with approximately 231 currently based at the facility.

Freeway 99 is a north-south artery that passes through the heart of Fresno County and the San Joaquin Valley, connecting many of the Valley's major cities. Interstate Highway 5 runs in a north-south direction through the western part of Fresno County and the San Joaquin Valley. Both Freeway 99 and Interstate Highway 5 are major north-south routes between Los Angeles, San Francisco and Sacramento. Freeway 41, Freeways 168 and 180 serve the Fresno metropolitan area and connect it to the eastern and western parts of Fresno County. The deepwater Port of Stockton is located 122 miles north of Fresno County on Freeway 99.

Kings County. Southern Pacific Railway freight service is provided through the San Joaquin Valley Railroad. An AMTRAK passenger station is close by with stops in the Cities of Corcoran and Hanford. Kings Area Rural Transit has daily commuter service. Highway access includes Interstate 5 which connects to California Highways 198, 41 and 43. State Highways 33 and 269 run through Avenal.

Airports within 30 miles include - Fresno Air Terminal for freight and passenger service, Hanford Municipal Utility Airport with 4,200 foot runway is 10 miles away. There is also one privately owned airport in Avenal and it is the home of the Central California Soaring Club.

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APPENDIX D
FORMS OF OPINION OF BOND COUNSEL
SERIES A BONDS

December 8, 2016

Board of Trustees
West Hills Community College District
9800 Cody Street
Coalinga, California 93210

OPINION: \$2,195,000 West Hills Community College District 2016 General
Obligation Refunding Bonds, Series A (School Facilities Improvement
District No. 2 (Coalinga Area))

Members of the Board of Trustees:

Ladies and Gentlemen:

We have acted as bond counsel to the West Hills Community College District (the "District") in connection with the issuance by the District of its 2016 General Obligation Refunding Bonds, Series A (School Facilities Improvement District No. 2 (Coalinga Area)), in the aggregate principal amount of \$2,195,000 (the "Bonds"). The Bonds have been authorized to be issued under the provisions of Articles 9 and 11 of Chapter 3 of Part 1 of Division 2 of Title 5 of the California Government Code (the "Bond Law"), and a resolution of the Board of Trustees of the District (the "Board") adopted on October 18, 2016 (the "Bond Resolution"). We have examined the law and such certified proceedings and other papers as we have deemed necessary to render this opinion.

As to questions of fact material to our opinion, we have relied upon representations of the Board contained in the Bond Resolution and in the certified proceedings and certifications of public officials and others furnished to us, without undertaking to verify the same by independent investigation.

Based upon the foregoing, we are of the opinion, under existing law, as follows:

1. The District is duly established and validly existing as a school district with the power to issue the Bonds, and to perform its obligations under the Bond Resolution and the Bonds.
2. The Bond Resolution has been duly adopted by the Board and constitutes a valid and binding obligation of the District enforceable against the District in accordance with its terms.

3. The Bonds have been duly authorized, executed and delivered by the District and are valid and binding general obligations of the District with respect to the District and to School Facilities Improvement District No. 2 of the West Hills Community College District ("SFID No. 2"), and the Board of Supervisors of Fresno County, California, are required under the Act to levy an ad valorem tax upon the property in SFID No. 2 to be collected by Fresno County, without regard to rate or amount, for the payment of principal of and interest on all outstanding bonds of SFID No. 2, including the Bonds.

4. Interest on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations; it should be noted, however, that for the purpose of computing the alternative minimum tax imposed on corporations (as defined for federal income tax purposes), such interest is taken into account in determining certain income and earnings. The opinions set forth in the preceding sentence are subject to the condition that the District comply with all requirements of the Internal Revenue Code of 1986 Code which must be satisfied subsequent to the issuance of the Bonds in order that interest thereon be, or continue to be, excluded from gross income for federal income tax purposes. The District has covenanted in the Resolution and in other instruments relating to the Bonds to comply with each of such requirements; and the District has full legal authority to make and comply with such covenants. Failure to comply with certain of such requirements may cause the inclusion of interest on the Bonds in gross income for federal income tax purposes to be retroactive to the date of issuance of the Bonds. We express no opinion regarding other federal tax consequences arising with respect to the Bonds.

5. The interest on the Bonds is exempt from personal income taxation imposed by the State of California.

The rights of the owners of the Bonds and the enforceability of the Bonds and the Bond Resolution may be subject to bankruptcy, insolvency, reorganization, moratorium and other similar laws affecting creditors' rights heretofore or hereafter enacted and may also be subject to the exercise of judicial discretion in appropriate cases.

Respectfully submitted,

Jones Hall,
A Professional Law Corporation

FORMS OF OPINION OF BOND COUNSEL

SERIES B BONDS

December 8, 2016

Board of Trustees
West Hills Community College District
9800 Cody Street
Coalinga, California 93210

OPINION: \$14,455,000 West Hills Community College District 2016 General Obligation Refunding Bonds, Series B (School Facilities Improvement District No. 3 (Lemoore Area))

Members of the Board of Trustees:

Ladies and Gentlemen:

We have acted as bond counsel to the West Hills Community College District (the "District") in connection with the issuance by the District of its 2016 General Obligation Refunding Bonds, Series B (School Facilities Improvement District No. 3 (Lemoore Area)), in the aggregate principal amount of \$14,455,000 (the "Bonds"). The Bonds have been authorized to be issued under the provisions of Articles 9 and 11 of Chapter 3 of Part 1 of Division 2 of Title 5 of the California Government Code (the "Bond Law"), and a resolution of the Board of Trustees of the District (the "Board") adopted on October 18, 2016 (the "Bond Resolution"). We have examined the law and such certified proceedings and other papers as we have deemed necessary to render this opinion.

As to questions of fact material to our opinion, we have relied upon representations of the Board contained in the Bond Resolution and in the certified proceedings and certifications of public officials and others furnished to us, without undertaking to verify the same by independent investigation.

Based upon the foregoing, we are of the opinion, under existing law, as follows:

1. The District is duly established and validly existing as a school district with the power to issue the Bonds, and to perform its obligations under the Bond Resolution and the Bonds.

2. The Bond Resolution has been duly adopted by the Board and constitutes a valid and binding obligation of the District enforceable against the District in accordance with its terms.

3. The Bonds have been duly authorized, executed and delivered by the District and are valid and binding general obligations of the District with respect to the District and to School Facilities Improvement District No. 3 of the West Hills Community College District ("SFID No.

3”), and the Board of Supervisors of Fresno County, California, are required under the Act to levy an ad valorem tax upon the property in SFID No. 3 to be collected by Fresno County, without regard to rate or amount, for the payment of principal of and interest on all outstanding bonds of SFID No. 3, including the Bonds.

4. Interest on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of the federal alternative minimum tax imposed on individuals and corporations; it should be noted, however, that for the purpose of computing the alternative minimum tax imposed on corporations (as defined for federal income tax purposes), such interest is taken into account in determining certain income and earnings. The opinions set forth in the preceding sentence are subject to the condition that the District comply with all requirements of the Internal Revenue Code of 1986 Code which must be satisfied subsequent to the issuance of the Bonds in order that interest thereon be, or continue to be, excluded from gross income for federal income tax purposes. The District has covenanted in the Resolution and in other instruments relating to the Bonds to comply with each of such requirements; and the District has full legal authority to make and comply with such covenants. Failure to comply with certain of such requirements may cause the inclusion of interest on the Bonds in gross income for federal income tax purposes to be retroactive to the date of issuance of the Bonds. We express no opinion regarding other federal tax consequences arising with respect to the Bonds.

5. The interest on the Bonds is exempt from personal income taxation imposed by the State of California.

The rights of the owners of the Bonds and the enforceability of the Bonds and the Bond Resolution may be subject to bankruptcy, insolvency, reorganization, moratorium and other similar laws affecting creditors' rights heretofore or hereafter enacted and may also be subject to the exercise of judicial discretion in appropriate cases.

Respectfully submitted,

Jones Hall,
A Professional Law Corporation

APPENDIX E

FORM OF CONTINUING DISCLOSURE CERTIFICATE

This Continuing Disclosure Certificate (the “Disclosure Certificate”) is executed and delivered by the West Hills Community College District (the “Issuer” or the “District”) in connection with the issuance of (i) \$2,195,000 West Hills Community College District 2016 General Obligation Refunding Bonds, Series A (School Facilities Improvement District No. 2 (Coalinga Area)) and (ii) \$14,455,000 West Hills Community College District 2016 General Obligation Refunding Bonds, Series B (School Facilities Improvement District No. 3 (Lemoore Area)) (together, the “Bonds”). The Bonds are being issued pursuant to Resolutions of the Board of Trustees of the District adopted on October 18, 2016 (the “Resolution”). The Issuer covenants and agrees as follows:

Section 1. Purpose of the Disclosure Certificate. This Disclosure Certificate is being executed and delivered by the District for the benefit of the holders and beneficial owners of the Bonds and in order to assist the Participating Underwriter in complying with S.E.C. Rule 15c2-12(b)(5).

Section 2. Definitions. In addition to the definitions set forth in the Resolution, which apply to any capitalized term used in this Disclosure Certificate unless otherwise defined in this Section, the following capitalized terms have the following meanings:

“*Annual Report*” means any Annual Report provided by the District under and as described in Sections 3 and 4.

“*Annual Report Date*” means the date that is nine months after the end of the District’s fiscal year (currently March 31 based on the District’s fiscal year end of June 30).

“*Dissemination Agent*” means Dale Scott & Company Inc., or any successor Dissemination Agent designated in writing by the District and which has filed with the District a written acceptance of such designation.

“*Listed Events*” means any of the events listed in Section 5(a).

“*MSRB*” means the Municipal Securities Rulemaking Board, which has been designated by the Securities and Exchange Commission as the sole repository of disclosure information for purposes of the Rule.

“*Participating Underwriter*” means Wells Fargo Bank, National Association, the original underwriter of the Bonds required to comply with the Rule in connection with the offering of the Bonds.

“*Rule*” means Rule 15c2-12(b)(5) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time.

“*SFID No. 2*” means School Facilities Improvement District No. 2 (Coalinga Area) of the District.

“SFID No. 3” means School Facilities Improvement District No. 3 (Lemoore Area) of the District.

Section 3. Provision of Annual Reports.

(a) The District shall, or shall cause the Dissemination Agent to provide, not later than nine months after the end of the District’s fiscal year (which currently would be March 31), commencing no later than March 31, 2017 with the report for the 2015-16 fiscal year, provide to the Participating Underwriter and to the MSRB, in an electronic format as prescribed by the MSRB, an Annual Report that is consistent with the requirements of Section 4 of this Disclosure Certificate; provided, however, that the first Annual Report shall consist solely of the Official Statement for the Bonds. Not later than 15 Business Days prior to the Annual Report Date, the District shall provide the Annual Report to the Dissemination Agent (if other than the District). If by 15 Business Days prior to the Annual Report Date the Dissemination Agent (if other than the District) has not received a copy of the Annual Report, the Dissemination Agent shall contact the District to determine if the District is in compliance with the previous sentence. The Annual Report may be submitted as a single document or as separate documents comprising a package, and may include by reference other information as provided in Section 4 of this Disclosure Certificate; provided that the audited financial statements of the District may be submitted separately from the balance of the Annual Report, and later than the Annual Report Date, if not available by that date. If the District’s fiscal year changes, it shall give notice of such change in the same manner as for a Listed Event under Section 5(b). The District shall provide a written certification with each Annual Report furnished to the Dissemination Agent to the effect that such Annual Report constitutes the Annual Report required to be furnished by the District hereunder.

(b) If the District does not provide (or cause the Dissemination Agent to provide) an Annual Report by the Annual Report Date, the District shall provide (or cause the Dissemination Agent to provide) in a timely manner to the MSRB, in an electronic format as prescribed by the MSRB, a notice in substantially the form attached as Exhibit A.

(c) With respect to the Annual Report, the Dissemination Agent shall:

(i) determine each year prior to the Annual Report Date the then-applicable rules and electronic format prescribed by the MSRB for the filing of annual continuing disclosure reports; and

(ii) if the Dissemination Agent is other than the District, file a report with the District certifying that the Annual Report has been provided pursuant to this Disclosure Certificate, and stating the date it was provided.

Section 4. Content of Annual Reports. The Issuer’s Annual Report shall contain or incorporate by reference the following:

(a) Audited Financial Statements prepared in accordance with generally accepted accounting principles, as promulgated to apply to governmental entities from time to time by the Governmental Accounting Standards Board. If the Issuer’s audited financial statements are not available by the Annual Report Date, the Annual Report shall contain unaudited financial statements in a format similar to the financial statements contained in the final Official Statement, and the audited financial statements shall be filed in the same manner as the Annual Report when they become available;

- (b) the Issuer's adopted Budget for the most recently available fiscal year;
- (c) assessed value of taxable property in the District, SFID No. 2 and SFID No. 3 for the most recently available fiscal year, as shown on the recent equalized assessment role;
- (d) changes, if any, in the operation of the County of Fresno Investment Pool which would affect the Issuer's access to property taxes used to pay debt service on the Bonds;
- (e) assessed valuation of the properties of the top twenty secured property taxpayers in the District, SFID No. 2 and SFID No. 3 for the most recently available fiscal year;
- (f) property tax levies, collections and delinquencies for the District, SFID No. 2 and SFID No. 3 for the most recently completed fiscal year, if available from the respective County at the time of filing the Annual Report, and, with respect to collections and delinquencies, such information shall only be provided only if the District's *ad valorem* taxes securing general obligation bonds are no longer included on a County Teeter Plan; and
- (g) in addition to any of the information expressly required to be provided under paragraphs (a) through (d) of this Section, the Issuer shall provide such further information, if any, as may be necessary to make the specifically required statements, in the light of the circumstances under which they are made, not misleading.

Any or all of the items listed above may be included by specific reference to other documents, including official statements of debt issues of the Issuer or related public entities, which are available to the public on the MSRB's Internet web site or filed with the Securities and Exchange Commission. The Issuer shall clearly identify each such other document so included by reference.

Section 5. Reporting of Significant Events.

- (a) The District shall give or cause to be given, notice of the occurrence of any of the following Listed Events with respect to the Bonds:
 - (1) Principal and interest payment delinquencies.
 - (2) Non-payment related defaults, if material.
 - (3) Unscheduled draws on debt service reserves reflecting financial difficulties.
 - (4) Unscheduled draws on credit enhancements reflecting financial difficulties.
 - (5) Substitution of credit or liquidity providers, or their failure to perform.
 - (6) Adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the security, or other material events affecting the tax-exempt status of the security.
 - (7) Modifications to rights of security holders, if material.

- (8) Bond calls, if material, and tender offers.
- (9) Defeasances.
- (10) Release, substitution, or sale of property securing repayment of the securities, if material.
- (11) Rating changes.
- (12) Bankruptcy, insolvency, receivership or similar event of the obligated person.
- (13) The consummation of a merger, consolidation, or acquisition involving an obligated person or the sale of all or substantially all of the assets of the obligated person, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material.
- (14) Appointment of a successor or additional trustee or the change of name of a trustee, if material.

(b) Whenever the District obtains knowledge of the occurrence of a Listed Event, the District shall, or shall cause the Dissemination Agent (if not the District) to, file a notice of such occurrence with the MSRB, in an electronic format as prescribed by the MSRB, in a timely manner not in excess of 10 business days after the occurrence of the Listed Event. Notwithstanding the foregoing, notice of Listed Events described in subsections (a)(8) and (9) above need not be given under this subsection any earlier than the notice (if any) of the underlying event is given to holders of affected Bonds under the Indenture.

(c) The District acknowledges that the events described in subparagraphs (a)(2), (a)(7), (a)(8) (if the event is a bond call), (a)(10), (a)(13), and (a)(14) of this Section 5 contain the qualifier "if material." The District shall cause a notice to be filed as set forth in paragraph (b) above with respect to any such event only to the extent that the District determines the event's occurrence is material for purposes of U.S. federal securities law.

(d) For purposes of this Disclosure Certificate, any event described in paragraph (a)(12) above is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent, or similar officer for the District in a proceeding under the United States Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the District, or if such jurisdiction has been assumed by leaving the existing governing body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement, or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the District.

Section 6. Identifying Information for Filings with the MSRB. All documents provided to the MSRB under the Disclosure Certificate shall be accompanied by identifying information as prescribed by the MSRB.

Section 7. Termination of Reporting Obligation. The Issuer's obligations under this Disclosure Certificate shall terminate upon the legal defeasance, prior redemption or payment in full of all of the Bonds. If such termination occurs prior to the final maturity of the Bonds, the

Issuer shall give notice of such termination in the same manner as for a Listed Event under Section 5(b).

Section 8. Dissemination Agent. The Issuer may, from time to time, appoint or engage a Dissemination Agent to assist it in carrying out its obligations under this Disclosure Certificate, and may discharge any such Agent, with or without appointing a successor Dissemination Agent.

Section 9. Amendment; Waiver. Notwithstanding any other provision of this Disclosure Certificate, the Issuer may amend this Disclosure Certificate, and any provision of this Disclosure Certificate may be waived, provided that the following conditions are satisfied:

(a) if the amendment or waiver relates to the provisions of Sections 3(a), 4 or 5(a), it may only be made in connection with a change in circumstances that arises from a change in legal requirements, change in law, or change in the identity, nature, or status of an obligated person with respect to the Bonds, or type of business conducted;

(b) the undertakings herein, as proposed to be amended or waived, would, in the opinion of nationally recognized bond counsel, have complied with the requirements of the Rule at the time of the primary offering of the Bonds, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances; and

(c) the proposed amendment or waiver either (i) is approved by holders of the Bonds in the manner provided in the Indenture for amendments to the Indenture with the consent of holders, or (ii) does not, in the opinion of the Trustee or nationally recognized bond counsel, materially impair the interests of the holders or beneficial owners of the Bonds.

If the annual financial information or operating data to be provided in the Annual Report is amended pursuant to the provisions hereof, the first annual financial information filed pursuant hereto containing the amended operating data or financial information shall explain, in narrative form, the reasons for the amendment and the impact of the change in the type of operating data or financial information being provided.

If an amendment is made to the undertaking specifying the accounting principles to be followed in preparing financial statements, the annual financial information for the year in which the change is made shall present a comparison between the financial statements or information prepared on the basis of the new accounting principles and those prepared on the basis of the former accounting principles. The comparison shall include a qualitative discussion of the differences in the accounting principles and the impact of the change in the accounting principles on the presentation of the financial information, in order to provide information to investors to enable them to evaluate the ability of the Issuer to meet its obligations. To the extent reasonably feasible, the comparison shall be quantitative. A notice of the change in the accounting principles shall be filed in the same manner as for a Listed Event under Section 5(b).

Section 10. Additional Information. Nothing in this Disclosure Certificate shall be deemed to prevent the Issuer from disseminating any other information, using the means of dissemination set forth in this Disclosure Certificate or any other means of communication, or including any other information in any Annual Report or notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Certificate. If the Issuer chooses to include any information in any Annual Report or notice of occurrence of a Listed Event in addition to that which is specifically required by this Disclosure Certificate, the Issuer shall have

no obligation under this Disclosure Certificate to update such information or include it in any future Annual Report or notice of occurrence of a Listed Event.

Section 11. Default. In the event of a failure of the Issuer to comply with any provision of this Disclosure Certificate, any holder or beneficial owner of the Bonds may take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the Issuer to comply with its obligations under this Disclosure Certificate. A default under this Disclosure Certificate shall not be deemed an Event of Default under the Resolution, and the sole remedy under this Disclosure Certificate in the event of any failure of the Issuer to comply with this Disclosure Certificate shall be an action to compel performance.

Section 12. Duties, Immunities and Liabilities of Dissemination Agent. The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Certificate, and the Issuer agrees to indemnify and save the Dissemination Agent, its officers, directors, employees and agents, harmless against any loss, expense and liabilities which it may incur arising out of or in the exercise or performance of its powers and duties hereunder, including the costs and expenses (including attorneys fees) of defending against any claim of liability, but excluding liabilities due to the Dissemination Agent's negligence or willful misconduct. The obligations of the Issuer under this Section shall survive resignation or removal of the Dissemination Agent and payment of the Bonds.

Section 13. Beneficiaries. This Disclosure Certificate shall inure solely to the benefit of the Issuer, the Dissemination Agent, the Participating Underwriter and holders and beneficial owners from time to time of the Bonds, and shall create no rights in any other person or entity.

Date: December 8, 2016

WEST HILLS COMMUNITY COLLEGE
DISTRICT

By: _____

ACCEPTANCE OF APPOINTMENT AS
DISSEMINATION AGENT:

DALE SCOTT & COMPANY INC.

By: _____
Authorized Officer

EXHIBIT A

NOTICE OF FAILURE TO FILE ANNUAL REPORT

Name of Issuer: West Hills Community College District

Name of Bond Issue: \$2,195,000 Bonds of the West Hills Community College District
2016 General Obligation Refunding Bonds, Series A (School
Facilities Improvement District No. 2 (Coalinga Area))

\$14,455,000 Bonds of the West Hills Community College District,
2016 General Obligation Refunding Bonds, Series B (School
Facilities Improvement District No. 3 (Lemoore Area))

Date of Issuance: December 8, 2016

NOTICE IS HEREBY GIVEN that the Issuer has not provided an Annual Report with
respect to the above-named Bonds. The Issuer anticipates that the Annual Report will be filed
by _____.

Dated: _____

WEST HILLS COMMUNITY COLLEGE
DISTRICT

By _____

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APPENDIX F

BOOK-ENTRY ONLY SYSTEM

The following description of the Depository Trust Company ("DTC"), the procedures and record keeping with respect to beneficial ownership interests in the Bonds, payment of principal, interest and other payments on the Bonds to DTC Participants or Beneficial Owners, confirmation and transfer of beneficial ownership interest in the Bonds and other related transactions by and between DTC, the DTC Participants and the Beneficial Owners is based solely on information provided by DTC. Accordingly, no representations can be made concerning these matters and neither the DTC Participants nor the Beneficial Owners should rely on the foregoing information with respect to such matters, but should instead confirm the same with DTC or the DTC Participants, as the case may be.

Neither the issuer of the Bonds (the "Issuer") nor the trustee, fiscal agent or paying agent appointed with respect to the Bonds (the "Agent") take any responsibility for the information contained in this Appendix.

No assurances can be given that DTC, DTC Participants or Indirect Participants will distribute to the Beneficial Owners (a) payments of interest, principal or premium, if any, with respect to the Bonds, (b) certificates representing ownership interest in or other confirmation or ownership interest in the Bonds, or (c) redemption or other notices sent to DTC or Cede & Co., its nominee, as the registered owner of the Bonds, or that they will so do on a timely basis, or that DTC, DTC Participants or DTC Indirect Participants will act in the manner described in this Appendix. The current "Rules" applicable to DTC are on file with the Securities and Exchange Commission and the current "Procedures" of DTC to be followed in dealing with DTC Participants are on file with DTC.

1. The Depository Trust Company ("DTC"), New York, NY, will act as securities depository for the securities (the "Securities"). The Securities will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Security certificate will be issued for each issue of the Securities, each in the aggregate principal amount of such issue, and will be deposited with DTC. If, however, the aggregate principal amount of any issue exceeds \$500 million, one certificate will be issued with respect to each \$500 million of principal amount, and an additional certificate will be issued with respect to any remaining principal amount of such issue.

2. DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and

dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). On August 8, 2011, Standard & Poor's downgraded its rating of DTC from AAA to AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com and www.dtc.org. The information contained on this Internet site is not incorporated herein by reference.

3. Purchases of Securities under the DTC system must be made by or through Direct Participants, which will receive a credit for the Securities on DTC's records. The ownership interest of each actual purchaser of each Security ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Securities are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in Securities, except in the event that use of the book-entry system for the Securities is discontinued.

4. To facilitate subsequent transfers, all Securities deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Securities with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Securities; DTC's records reflect only the identity of the Direct Participants to whose accounts such Securities are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

5. Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Securities may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Securities, such as redemptions, tenders, defaults, and proposed amendments to the Security documents. For example, Beneficial Owners of Securities may wish to ascertain that the nominee holding the Securities for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

6. Redemption notices shall be sent to DTC. If less than all of the Securities within an issue are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

7. Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to Securities unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to Issuer as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts Securities are credited on the record date (identified in a listing attached to the Omnibus Proxy).

8. Redemption proceeds, distributions, and dividend payments on the Securities will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from Issuer or Agent, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, Agent, or Issuer, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds, distributions, and dividend payments to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of Issuer or Agent, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

9. DTC may discontinue providing its services as depository with respect to the Securities at any time by giving reasonable notice to Issuer or Agent. Under such circumstances, in the event that a successor depository is not obtained, Security certificates are required to be printed and delivered.

10. Issuer may decide to discontinue use of the system of book-entry-only transfers through DTC (or a successor securities depository). In that event, Security certificates will be printed and delivered to DTC.

11. The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that Issuer believes to be reliable, but Issuer takes no responsibility for the accuracy thereof.

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APPENDIX G

SPECIMEN MUNICIPAL BOND INSURANCE POLICY

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MUNICIPAL BOND INSURANCE POLICY

ISSUER:

Policy No: -N

BONDS: \$ in aggregate principal amount of

Effective Date:

Premium: \$

ASSURED GUARANTY MUNICIPAL CORP. ("AGM"), for consideration received, hereby UNCONDITIONALLY AND IRREVOCABLY agrees to pay to the trustee (the "Trustee") or paying agent (the "Paying Agent") (as set forth in the documentation providing for the issuance of and securing the Bonds) for the Bonds, for the benefit of the Owners or, at the election of AGM, directly to each Owner, subject only to the terms of this Policy (which includes each endorsement hereto), that portion of the principal of and interest on the Bonds that shall become Due for Payment but shall be unpaid by reason of Nonpayment by the Issuer.

On the later of the day on which such principal and interest becomes Due for Payment or the Business Day next following the Business Day on which AGM shall have received Notice of Nonpayment, AGM will disburse to or for the benefit of each Owner of a Bond the face amount of principal of and interest on the Bond that is then Due for Payment but is then unpaid by reason of Nonpayment by the Issuer, but only upon receipt by AGM, in a form reasonably satisfactory to it, of (a) evidence of the Owner's right to receive payment of the principal or interest then Due for Payment and (b) evidence, including any appropriate instruments of assignment, that all of the Owner's rights with respect to payment of such principal or interest that is Due for Payment shall thereupon vest in AGM. A Notice of Nonpayment will be deemed received on a given Business Day if it is received prior to 1:00 p.m. (New York time) on such Business Day; otherwise, it will be deemed received on the next Business Day. If any Notice of Nonpayment received by AGM is incomplete, it shall be deemed not to have been received by AGM for purposes of the preceding sentence and AGM shall promptly so advise the Trustee, Paying Agent or Owner, as appropriate, who may submit an amended Notice of Nonpayment. Upon disbursement in respect of a Bond, AGM shall become the owner of the Bond, any appurtenant coupon to the Bond or right to receipt of payment of principal of or interest on the Bond and shall be fully subrogated to the rights of the Owner, including the Owner's right to receive payments under the Bond, to the extent of any payment by AGM hereunder. Payment by AGM to the Trustee or Paying Agent for the benefit of the Owners shall, to the extent thereof, discharge the obligation of AGM under this Policy.

Except to the extent expressly modified by an endorsement hereto, the following terms shall have the meanings specified for all purposes of this Policy. "Business Day" means any day other than (a) a Saturday or Sunday or (b) a day on which banking institutions in the State of New York or the Insurer's Fiscal Agent are authorized or required by law or executive order to remain closed. "Due for Payment" means (a) when referring to the principal of a Bond, payable on the stated maturity date thereof or the date on which the same shall have been duly called for mandatory sinking fund redemption and does not refer to any earlier date on which payment is due by reason of call for redemption (other than by mandatory sinking fund redemption), acceleration or other advancement of maturity unless AGM shall elect, in its sole discretion, to pay such principal due upon such acceleration together with any accrued interest to the date of acceleration and (b) when referring to interest on a Bond, payable on the stated date for payment of interest. "Nonpayment" means, in respect of a Bond, the failure of the Issuer to have provided sufficient funds to the Trustee or, if there is no Trustee, to the Paying Agent for payment in full of all principal and interest that is Due for Payment on such Bond. "Nonpayment" shall also include, in respect of a Bond, any payment of principal or interest that is Due for Payment made to an Owner by or on behalf of the Issuer which has been recovered from such Owner pursuant to the

United States Bankruptcy Code by a trustee in bankruptcy in accordance with a final, nonappealable order of a court having competent jurisdiction. "Notice" means telephonic or telecopied notice, subsequently confirmed in a signed writing, or written notice by registered or certified mail, from an Owner, the Trustee or the Paying Agent to AGM which notice shall specify (a) the person or entity making the claim, (b) the Policy Number, (c) the claimed amount and (d) the date such claimed amount became Due for Payment. "Owner" means, in respect of a Bond, the person or entity who, at the time of Nonpayment, is entitled under the terms of such Bond to payment thereof, except that "Owner" shall not include the Issuer or any person or entity whose direct or indirect obligation constitutes the underlying security for the Bonds.

AGM may appoint a fiscal agent (the "Insurer's Fiscal Agent") for purposes of this Policy by giving written notice to the Trustee and the Paying Agent specifying the name and notice address of the Insurer's Fiscal Agent. From and after the date of receipt of such notice by the Trustee and the Paying Agent, (a) copies of all notices required to be delivered to AGM pursuant to this Policy shall be simultaneously delivered to the Insurer's Fiscal Agent and to AGM and shall not be deemed received until received by both and (b) all payments required to be made by AGM under this Policy may be made directly by AGM or by the Insurer's Fiscal Agent on behalf of AGM. The Insurer's Fiscal Agent is the agent of AGM only and the Insurer's Fiscal Agent shall in no event be liable to any Owner for any act of the Insurer's Fiscal Agent or any failure of AGM to deposit or cause to be deposited sufficient funds to make payments due under this Policy.

To the fullest extent permitted by applicable law, AGM agrees not to assert, and hereby waives, only for the benefit of each Owner, all rights (whether by counterclaim, setoff or otherwise) and defenses (including, without limitation, the defense of fraud), whether acquired by subrogation, assignment or otherwise, to the extent that such rights and defenses may be available to AGM to avoid payment of its obligations under this Policy in accordance with the express provisions of this Policy.

This Policy sets forth in full the undertaking of AGM, and shall not be modified, altered or affected by any other agreement or instrument, including any modification or amendment thereto. Except to the extent expressly modified by an endorsement hereto, (a) any premium paid in respect of this Policy is nonrefundable for any reason whatsoever, including payment, or provision being made for payment, of the Bonds prior to maturity and (b) this Policy may not be canceled or revoked. THIS POLICY IS NOT COVERED BY THE PROPERTY/CASUALTY INSURANCE SECURITY FUND SPECIFIED IN ARTICLE 76 OF THE NEW YORK INSURANCE LAW.

In witness whereof, ASSURED GUARANTY MUNICIPAL CORP. has caused this Policy to be executed on its behalf by its Authorized Officer.

ASSURED GUARANTY MUNICIPAL CORP.

By _____
Authorized Officer

A subsidiary of Assured Guaranty Municipal Holdings Inc.
1633 Broadway, New York, N.Y. 10019
(212) 974-0100

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